

TAB 23



Board of Education Report

File #: Rep-291-23/24, Version: 1

Approval of the Proposed Material Revision for Arts in Action Community Charter

June, 4, 2024

Charter Schools Division

Action Proposed:

Approve the material revision of the charter for Arts in Action Community Charter (“Charter School”), to add two additional sites within the community, as defined in the *LAUSD Policy and Procedures for Charter Schools*. The proposed additional sites are located at 5136 and 5140 Via Corona St. East Los Angeles, CA 90022 in Board District 2 and Region East. The recommendation for approval is based on the information set forth in the attached Staff Assessment and Recommendation Report.

Background:

Arts in Action Community Charter is a TK-5 school currently serving 384 students on a private facility in East Los Angeles at 5115 Via Corona St. East Los Angeles, CA 90022 in Board District 2 and Region East. Arts in Action Community Charter was approved by the LAUSD Board of Education on April 20, 2010. On November 24, 2020, the charter school was renewed for another five-year term to serve 395 students in grades TK-5.

On February 21, 2024, the Charter Schools Division commenced processing of Arts in Action Community Charter’s complete material revision. Arts in Action Community Charter seeks to revise its current charter, which expires June 30, 2026. Effective July 1, 2021, pursuant to Education Code section 47607.4, all charter schools whose term expires on or between January 1, 2022, and June 30, 2025, inclusive, shall have their term extended by two years, and all charter schools whose term expires on or between January 1, 2024, and June 30, 2027, inclusive, shall have their term extended by one additional year. Thus, by operation of law, the charter term for Arts in Action Community Charter expires June 30, 2027.

Based on a comprehensive review of the material revision application and supporting documentation, staff has determined that the charter school has met the standards and criteria set forth in Education Code section 47605 and therefore recommends approval of the material revision of the charter.

Expected Outcomes:

Charter School is expected to operate its school in a manner consistent with Board action, policies and requirements, and local, state, and federal law including ordinances, statutes, and regulations as well as with the terms and conditions set forth in Charter School’s petition. The measurable pupil outcomes and method by which pupil progress toward outcomes will be measured are set forth in the charter petition.

Board Options and Consequences:

“Yes” - If the Board adopts the recommendation of approval of the material revision of the charter, Charter School would continue to operate as a charter school, as amended, for the remainder of the charter term.

“No” - If the Board does not adopt the recommendation of approval of the material revision of the charter, and

instead takes specific action to deny the proposed material revision of the charter, Charter School would continue to operate under the terms of its current charter consistently with the Board's action and direction.

Policy Implications:

There are no policy implications at this time.

Budget Impact:

State income and various other income sources to the District are reduced when current District students enroll at a charter school, and comparable or offsetting expenditure reduction may not occur in such cases. Under Education Code section 47604(d), a chartering authority that grants a charter to a charter school to be operated as or by a nonprofit public benefit corporation is not liable for the debts or obligations of the charter school or for claims arising from the performance of acts, errors, or omissions by the charter school, if the chartering authority has complied with all oversight responsibilities required by law including, but not limited to, those required by Education Code section 47604.32 and Education Code section 47605(m). As the chartering authority, the District will continue to monitor and evaluate the charter school's fiscal condition and operations, and management of public funds, including review of all legally required fiscal reports, and the annual update of the charter school's LCAP. (Ed. Code, §§ 47604.32, 47604.33, & 47606.5). Any significant modifications to the charter school's charter or operations that raise financial implications would require a material revision prior to implementation. Petition approval is also contingent upon adequate liability insurance coverage.

Charter School has selected to join the LAUSD Special Education Local Planning Area (SELPA) Option 3. Charter School's fair share contribution to special education will be 10% of the charter school's AB 602 (rate includes Base, Cost-of-Living Adjustment (COLA), and Growth/Decline reduced by the amount withheld for Program Specialist/Regionalized Services) and Federal IDEA revenues. This amount will be paid from Charter School's Local Control Funding Formula ("LCFF") funds or other unrestricted revenue sources and will be allocated to support the existing District-wide administration of special education supports and services. The amount withheld by the District from the Program Specialist/Regionalized Services in fiscal year will continue to be withheld and adjusted annually for COLA. An additional 10% of special education revenues will be retained by the District and allocated as directed by the Advisory Board and members of the LAUSD SELPA Option 3, with the leadership of the Director, Charter Operated Programs. These funds will be used to support the personnel for the members of the LAUSD SELPA Option 3; build management and operating procedures to create an infrastructure to support schools in meeting the needs of students with mild to severe disabilities; and, to create and implement new programs that serve students in charter schools. If Charter School does not spend their allocation of special education funds during a fiscal year of the charter petition period, the allocation of special education funds to Charter School for the next fiscal year will be reduced in an amount equal to the unspent special education funds of the previous fiscal year.

In addition to the payments required under this option, Charter School may request specific special education related services from the District through fee-for-service arrangements that will reflect the calculated cost of the requested services and will be contingent on the District's available resources.

Any change in the Option election that occurs during Charter School's charter term shall be mutually agreed upon and addressed in an MOU between the charter school and the District. The new Option election shall be effective on July 1 of the next school year with the corresponding fair share contribution.

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Student Impact:

As stated in the *LAUSD Policy and Procedures for Charter Schools*, “[W]hen the LAUSD Board authorizes and oversees a charter school, it establishes a relationship to advance its vision and mission and to accelerate gains in academic achievement and accountability for *all* of its students and public schools,” (*Policy*, p.3). Based on a comprehensive review and assessment of Charter School’s request for material revision of the charter and its record of performance, staff has determined that Charter School has met the requirements for approval of the material revision.

Equity Impact:

Not applicable

Issues and Analysis:

If all applicable pending issues, including but not limited to special education requirements, special education local planning area (SELPA) requirements, governance, fiscal and facilities matters, are not resolved at the time of the Board meeting, the item may be pulled from the agenda as consistent with Education Code sections 47605 and 47607 and the *LAUSD Policy and Procedures for Charter Schools*.

Attachments:

Attachment A - Staff Assessment and Recommendation Report
Attachment B - Arts in Action Community Charter DFS Data Set
Attachment C - Material Revision

Informatives:

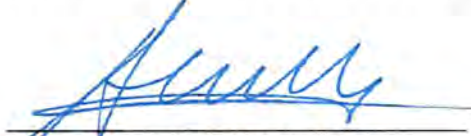
Not applicable

Submitted:

05/07/24

File #: Rep-291-23/24, Version: 1

RESPECTFULLY SUBMITTED,


ALBERTO M. CARVALHO
Superintendent

APPROVED & PRESENTED BY:


VERONICA ARREGUIN
Chief Strategy Officer
Office of the Chief Strategy Officer

REVIEWED BY:


DEVORA NAVERA REED
General Counsel

☒ Approved as to form.

APPROVED & PRESENTED BY:


JOSÉ COLE-GUTIÉRREZ
Director
Charter Schools Division

REVIEWED BY:


NOLBERTO DELGADILLO
Deputy Chief Business Officer, Finance

☒ Approved as to budget impact statement.

ATTACHMENT A

STAFF ASSESSMENT AND RECOMMENDATION REPORT

REQUEST FOR MATERIAL REVISION OF CHARTER

Board of Education Report 291-23/24

June 4, 2024

School Name:	Arts in Action Community Charter		
Type of Charter School:	Start-Up Independent Charter School		
Charter Operator	Schools in Action		
Location Code:	2258		
Type of Site(s):	Private		
Site Address(es):	5115 Via Corona St. East Los Angeles, CA 90022		
Board District(s):	2	Region(s):	East
Grade Levels Served:	TK-5	Current Enrollment:	384
Grade Levels Authorized in Current Charter:	TK-5	Approved Enrollment in Current Charter:	395
CONSIDERATION:	Material Revision to add two additional sites		
CDE PERFORMANCE LEVEL: (PER CDE'S 2024 CLASSIFICATION)	Middle Performing		
STAFF RECOMMENDATION:	Approval		

STAFF ASSESSMENT

I. ACTION PROPOSED

Staff recommends approval of the proposed material revision of the charter for Arts in Action Community Charter (“Charter School”), a TK-5 school located in Board District 2 and Region East, to add additional sites within the community, as defined in the *LAUSD Policy and Procedures for Charter Schools*. The proposed additional sites consist of two connected buildings located at 5136 and 5140 Via Corona St. East Los Angeles, CA 90022 in Board District 2 and Region East. The current site and additional sites are part of East Los Angeles, located within an unincorporated area of Los Angeles County.

Schools in Action, the California nonprofit public benefit corporation that holds the charter under the ultimate direction of the board of directors, seeks the proposed additional site at 5136 and 5140 Via Corona St. to house the charter school’s Transitional Kindergarten (TK) program and allow more flexible utilization of space at the current site. Per the school’s leadership, the additional site would accommodate two TK classes and have a dedicated space for early childhood interventions and special education services.

II. CRITERIA FOR MATERIAL REVISIONS

Material revisions are governed by the same standards and criteria that apply to new petitions (See Ed. Code, §§47605 & 47607). If the material revision contains a request to expand to one or more additional sites, or to add grade levels, staff must also determine whether the charter school is

demonstrably unlikely to serve the interests of the entire community in which the school is proposing to locate. (See Ed. Code, § 47605, subd. (c)(7); Ed. Code, § 47607, subd. (a)(3) & (4)), and whether LAUSD is positioned to absorb the fiscal impact of the charter school expansion. (See Ed. Code, § 47605, subd. (c)(8).) Based on a comprehensive review of the material revision application, staff has determined that the charter school has met the standards and criteria for approval [described in Education Code section 47605] or were determined not to be a basis for denial of the material revision application. Staff analysis includes the following:

- Does the petition, as revised, include a sound educational program, a reasonably comprehensive description of the 15 elements required for petitions, an affirmation of each of the conditions described in Education Code section 47605(e), and are petitioners likely to successfully implement the program set forth in the petition?
These criteria have been determined not to be bases for denial.
- Does the petition contain a declaration of whether or not the charter school shall be deemed the exclusive public employer of the employees of the charter school?
This requirement has been determined not to be a basis for denial.
- Is the proposed charter school demonstrably likely to serve the interests of the entire community in which the school is proposing to locate? (Ed. Code, § 47605, subd. (c)(7).)
Not applicable
- Is the school district positioned to absorb the fiscal impact of the proposed charter school? (Ed. Code, § 47605, subd. (c)(8).)
Not applicable

III. GENERAL SCHOOL INFORMATION

A. Charter Details

	Arts in Action Community Charter
Initial Authorization:	On April 20, 2010, Arts in Action Community Charter was authorized by the LAUSD Board of Education to serve 295 students in grades K-5.
Most Recent Renewal	The charter was renewed on November 24, 2020 for a five-year term (July 1, 2021- June 30, 2026) to serve up to 395 students in grades TK-5. Effective July 1, 2021, pursuant to Education Code section 47607.4, all charter schools whose terms expires on or between January 1, 2022, and June 30, 2025, inclusive, shall have their term extended by two years, and all charter schools whose terms expires on or between January 1, 2024, and June 30, 2027, inclusive, shall have their term extended by one additional year. Thus, by operation of law, the charter term for Arts in Action Community Charter expires June 30, 2027.

	Arts in Action Community Charter
Approved Material Revisions of Current Charter:	N/A
Board Benchmarks in Current Charter Term:	On November 24, 2020, as part of the school’s most recent renewal, the LAUSD Board of Education issued the following academic benchmark to Arts in Action Community Charter: The school will achieve Increased or Increased Significantly in Change Level schoolwide on the California School Dashboard ELA Indicator over the term of the charter with the goal of achieving a Status level that is the same or higher than the applicable state levels by the time the charter is presented for renewal. The school’s annual progress will be reviewed at the school’s Annual Performance-Based Oversight Visit by the district. Arts in Action Community Charter is in the third year of its current term. Due to the suspension of CAASPP (SBAC) testing in 2020 and 2021, Change Level data was first reported based on 2023 data and shows that the school has not met its benchmark in the current year. Please see the “Additional Information” section below.
Material Revision Application:	The processing of Arts in Action Community Charter’s complete material revision application commenced on February 21, 2024. Pursuant to the <i>LAUSD Policy and Procedures for Charter Schools</i> , the 120-day timeline (for presenting the material revision once processing commences) runs through June 20, 2024.
Master Plan for English Learners and Standard English Learners:	Arts in Action Community Charter implements its own Master Plan for English Learners and Standard English Learners.
Special Education SELPA	Arts in Action Community Charter participates in LAUSD Special Education Local Plan Area (SELPA) Option 3.

B. Charter School Operator

Arts in Action Community Charter is operated by Schools in Action, a California nonprofit public benefit corporation that also operates one (1) other LAUSD-authorized charter school.

IV. STUDENT ACHIEVEMENT AND EDUCATIONAL PERFORMANCE

a. Summary

Arts in Action Community Charter has been identified by the state as a Middle performing charter school. Please see discussion of the charter school’s record of academic performance below.

Please see the attached Arts in Action Community Charter Data Set.

b. Measurements of Academic Performance on the California School Dashboard

Due to the COVID-19 pandemic, the 2022 Dashboard only displays the most current year of data (also known as Status). Performance levels are reported based on the 2021-2022 school year data using one of five Status levels (ranging from Very High, High, Medium, Low, and Very Low) for state measures. Below, the 2023 Dashboard Performance Level (colors) based on two years' data are provided.

Arts in Action Community Charter					
Year	ELA	Math	ELPI	Chronic Absent.	Suspension Rate
2022	Low	Low	Low	Very High	Very Low
2023	Orange	Yellow	Green	Orange	Blue

Data Sources: California School Dashboard Research data files 2022 and 2023 <https://www.cde.ca.gov/ds/sd/sd/>

c. English Language Arts Academic Indicator

In 2022 in English Language Arts (ELA), the charter school's Distance from Standard (DFS) was **lower** than the state for All Students and **lower** than the state for **three of four** numerically significant student groups.

	ENGLISH LANGUAGE ARTS INDICATOR	Participation Rate	Arts in Action Community Charter		State		Charter vs. State
			Level	DFS	Level	DFS	
2022	All Students	Met	Low	-63.4	Low	-12.2	Lower
	English Learners	Met	Very Low	-76.7	Low	-61.2	Lower
	Latino	Met	Low	-64.3	Low	-38.6	Lower
	Socioeconomically Disadvantaged	Met	Low	-63.9	Low	-41.4	Lower
	Students with Disabilities	Met	Very Low	-83.6	Very Low	-97.3	Higher

Data Source: California School Dashboard Research data files 2022

In 2023 in ELA, the charter school's DFS was lower than the state for All Students and lower than the state for three of four numerically significant student groups.

	ENGLISH LANGUAGE ARTS INDICATOR	Participation Rate	Arts in Action Community Charter			State		Charter vs. State
			Color	DFS	Change	Color	DFS	
2023	All Students	Met	Orange	-62.9	0.4	Orange	-13.6	Lower
	English Learners	Met	Yellow	-67.4	9.4	Orange	-67.7	Higher
	Latino	Met	Orange	-63.2	1.2	Orange	-40.2	Lower
	Socioeconomically Disadvantaged	Met	Orange	-64.1	-0.2	Orange	-42.6	Lower
	Students with Disabilities	Met	Red	-100.5	-17	Red	-96.3	Lower

Data Source: California School Dashboard Research data files 2023

d. Math Academic Indicator

In 2022 in Math, the charter school's DFS was lower than the state for All Students and higher than the state for two of four numerically significant student groups.

	MATH INDICATOR	Participation Rate	Arts in Action Community Charter		State		Charter vs. State
			Level	DFS	Level	DFS	
2022	All Students	Met	Low	-87.3	Low	-51.7	Lower
	English Learners	Met	Low	-91.8	Low	-92.0	Higher
	Latino	Met	Low	-87.2	Low	-83.4	Lower
	Socioeconomically Disadvantaged	Met	Low	-87.8	Low	-84.0	Lower
	Students with Disabilities	Met	Very Low	-104.9	Very Low	-130.8	Higher

Data Source: California School Dashboard Research data files 2022

In 2023 in Math, the charter school's DFS was lower than the state for All Students and higher than the state for all four numerically significant student groups.

	MATH INDICATOR	Participation Rate	Arts in Action Community Charter			State		Charter vs. State
			Color	DFS	Change	Color	DFS	
2023	All Students	Met	Yellow	-68.2	19.1	Orange	-49.1	Lower
	English Learners	Met	Yellow	-67.2	24.5	Orange	-93.4	Higher
	Latino	Met	Yellow	-68.9	18.2	Orange	-80.8	Higher
	Socioeconomically Disadvantaged	Met	Yellow	-69.5	18.3	Yellow	-80.8	Higher
	Student with Disabilities	Met	Yellow	-78.2	26.7	Orange	-127.3	Higher

Data Source: California School Dashboard Research data files 2023

e. English Learner Progress Academic Indicator

In 2022 on the English Learner Progress Indicator (ELPI), the charter school's performance level was lower than the state's performance level.

2022	English Learner Progress Indicator	ELPAC Participation Rate	Arts in Action Community Charter		State		Charter vs. State
			Level	EL Progress	Level	EL Progress	
	English Learners	Met	Low	38.5%	Medium	50.3%	Lower

Data Source: California School Dashboard Research data files 2022

In 2023 on the ELPI, the charter school's performance level was higher than the state's performance level.

2023	English Learner Progress Indicator	ELPAC Participation Rate	Arts in Action Community Charter		State		Charter vs. State
			Color	EL Progress	Color	EL Progress	
	English Learners	Met	Green	52.5%	Yellow	48.7%	Higher

Data Source: California School Dashboard Research data files 2023

f. Chronic Absenteeism Indicator

The charter school's rate of chronic absenteeism was lower than the state for All Students and for all numerically significant student groups in both 2022 and 2023.

g. Graduation Indicator [HS only]

Not applicable

h. Suspension Rate Indicator

The charter school's percentage of students suspended at least once was lower than the state for All Students and for all numerically significant student groups in both 2022 and 2023.

i. Dashboard Local Indicators

Staff also considered the Local Indicators (e.g., Basics: Teachers, Instructional Materials, Facilities; Implementation of Academic Standards; Parent and Family Engagement; Local Climate Survey; Access to a Broad Course of Study) which have all been reported as "Met."

j. Reclassification Rates

As of the writing of this report, reclassification data for 2021-2022 and 2022-2023 have not been published by the state.

k. Internal Assessment Data

The school did not submit internal assessment data as part of its application for material revision.

l. Additional Information

As noted above, the school has one (1) academic benchmark:

The school will achieve Increased or Increased Significantly in Change Level schoolwide on the California School Dashboard ELA Indicator over the term of the charter with the goal of achieving a Status level that is the same or higher than the applicable state levels by the time the charter is presented for renewal. The school's annual progress will be reviewed at the school's Annual Performance-Based Oversight Visit by the district.

Due to the suspension of CAASPP (SBAC) testing in 2020 and 2021, Change Level data is unavailable for 2021 and 2022. Per the California School Dashboard, the school's 2023 Change Level is Maintained (0.4 DFS points) and thus, the school did not meet its benchmark in 2023. Please note that although Status level comparison to state levels is considered at the time the charter is presented for renewal, the school's 2023 Status (-62.9 DFS) is lower than the state (-13.6 DFS). The Charter Schools Division (CSD) will continue to monitor as part of oversight.

V. ANNUAL PERFORMANCE-BASED OVERSIGHT VISIT RESULTS

In accordance with Education Code section 47604.32, the District's CSD conducts at least one school site visit each year where the CSD evaluates charter school performance in the following four categories: Governance; Student Achievement and Educational Performance; Organizational Management, Programs, and Operations; and Fiscal Operations. Charter schools are rated in each category based on information and evidence gathered at the time of the annual performance-based

oversight visit following a four-point rubric: (4) *Accomplished*, (3) *Proficient*, (2) *Developing*, and (1) *Unsatisfactory*. Please see below for Arts in Action Community Charter's outcomes on its annual oversight evaluation reports for the last two years.

a. Governance

Oversight Ratings/Concerns	
2021-2022	<i>Accomplished</i>
2022-2023	<i>Accomplished</i>
Concerns	No unresolved issues pending

b. Student Achievement and Educational Performance

Oversight Ratings/Concerns	
2021-2022	<i>No Rating*</i>
2022-2023	<i>Developing</i>
Concerns	In 2022-2023, the rating of <i>Developing</i> was due primarily to performance in ELA, Math, ELPI, and Chronic Absenteeism

* Due to the COVID-19 pandemic, state law suspended the reporting of state indicators on the 2021 Dashboard.

c. Organizational Management, Programs, and Operations

Oversight Ratings/Concerns	
2021-2022	<i>Developing</i>
2022-2023	<i>Proficient</i>
Concerns	In 2021-2022, the rating of <i>Developing</i> was due to a small number of teachers without appropriate credentials for all or part of the school year.

d. Fiscal Operations

Oversight Ratings/Concerns	
2021-2022	<i>Accomplished</i>
2022-2023	<i>Proficient</i>
Concerns	No unresolved issues pending

VI. FISCAL MANAGEMENT AND PERFORMANCE

a. Fiscal Condition

Arts in Action Community Charter's fiscal condition is positive and has been upward trending since the 2019-2020 fiscal year.

	2019-2020 (Audited Actuals)	2020-2021 (Audited Actuals)	2021-2022 (Audited Actuals)	2022-2023 (Audited Actuals)	2023-2024 (Second Interim)
Net Assets	\$1,419,283	\$1,604,187	\$2,040,508	\$2,261,116	\$2,573,270
Net Income/Loss	(\$184,818)*	\$184,904	\$436,321	\$220,608	\$312,154
Transfers In/Out	\$0	\$0	\$0	\$0	\$0
Prior Year Adjustment(s)	\$0	\$0	\$0	\$0	\$0

* The net loss reported in Fiscal Year 2019-2020 was primarily attributed to Arts in Action Community Charter's large write-off of its fixed assets due to its move to the new facility located at 5115 Via Corona Street, East Los Angeles, CA 90022 in Fiscal Year 2019-2020.

b. 2022-2023 Independent Audit Report

Audit Opinion: Unmodified

Material Weaknesses: None Reported

Deficiencies/Findings: None Reported

Lack of a Going Concern: None Reported

c. Other Significant Fiscal Information

During the 2021-2022 fiscal year, Arts in Action Community Charter was audited by the California State Teachers' Retirement System (CalSTRS), and issued a report dated July 21, 2021. The CalSTRS Audit Services disclosed the reporting of remuneration, in addition to salary (special compensation) to CalSTRS by Schools in Action (SIA) (Employer), was not in compliance with the Teachers' Retirement Law (Education Code section 22000 et seq. and the California Code of Regulations, title 5, division 3). In brief, these findings were:

- Finding 1 – The Employer incorrectly reported compensation.
- Finding 2 – The Employer incorrectly reported base salary, a retroactive payment, and a pay rate.
- Finding 3 – The Employer reported base salary in the incorrect school year.

During the 2022-2023 and 2023-2024 fiscal oversight process, SIA informed the CSD that they completed a review to identify any additional members who had compensation misreported to CalSTRS, took corrective actions, and addressed the issue as required by CalSTRS. Around September 21, 2022, the requested list of all additional members that were impacted was provided to the Los Angeles County Office of Education (LACOE). SIA informed the CSD that LACOE and the school are still waiting to receive acknowledgement or confirmation from CalSTRS that said items are fully resolved.

The CSD will continue to monitor the CalSTRS audit status through ongoing oversight.

According to SIA's independent audit report for the fiscal year ended June 30, 2023, SIA, its related entities, and its charter schools reported positive net assets of

\$4,977,088 and net income of \$596,604. SIA, without its related entities and its charter schools, reported positive net assets of \$1,924,759 and net income of \$226,031.

Arts in Action Community Charter's submitted a 4-year budget and cash flow projections with its material revision request, including the projected lease payments, and construction and buildout costs pertaining to its proposed facility. Arts in Action Community Charter projects positive net operational results and net assets, and cash reserve levels above the recommended 5% for the remaining years in the current charter term.

Arts In Action Community Charter

ATTACHMENT B

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Academic Performance - English Language Arts

This report shows the performance levels for a single state indicator, English Language Arts, for all student groups. It also shows how the current year (status, DFS) compares to prior years (change) for each state indicator. Status and change each have five possible levels, which are displayed with the data for each indicator. A single asterisk (*) and a single dash (-) shows that the student group has fewer than 11 students and is not reported for privacy reasons. For student groups with 11-29 students or do not have at least 30 students with scores in the current and prior year, status and change are reported, and no performance level (color) will be reported. A double dash "--" means that data is not currently available. Note: Charter Schools are treated as schools (not LEAs) when it comes to reporting Foster Youth and Homeless student groups. Charter schools will need at least 30 or more Foster Youth, or 30 or more Homeless students, to receive a status level for each student group.

Source: Data collected by the California Department of Education (CDE) through the California Longitudinal Pupil Achievement Data System (CALPADS), California School Dashboard, and testing vendor. Aggregate data files are provided by the CDE – Data Reporting Office at <http://www.cde.ca.gov/ds/sd/filesenr.asp> and California School Dashboard System of Support <https://www.cde.ca.gov/ta/ac/cm/>. Please note: There may be slight differences with some of the information in this report and with what is displayed in Dataquest and CA Dashboard due to changes in file modifications such as Date Modified, Date Posted, other data updates by the testing vendor and updates in CALPADS.

ELA (Grades 3-8 and Grade 11) Academic Indicator - CA School Dashboard Indicator																				
RG	BD	Location Code	School	Student Group	2022 Number of Students with Scores	School 2022 Average DFS	School 2022 Status Level	State 2022 Average DFS	State 2022 Status Level	School to State DFS Comparison	2023 Number of Students with Scores	School 2023 Performance Level (color)	School 2023 Average DFS	School 2023 Change	School 2023 Change Level	State 2023 Performance Level (color)	State 2023 Average DFS	State 2023 Change	State 2023 Change Level	School to State DFS Comparison
E	2	2258	Arts In Action Community Charter	All Students	186	-63.4	Low	-12.2	Low	Lower	186	Orange	-62.9	0.4	Maintained	Orange	-13.6	-1.4	Maintained	Lower
				American Indian or Alaska Native	0	--	--	-49.3	Low	--	0	--	--	--	Orange	-47.9	2.0	Maintained	--	
				Asian	*	-	No Performance Level	63.0	Very High	--	*	No Color	--	--	No Change Level	Blue	61.8	-1.2	Maintained	--
				Black or African American	*	-	No Performance Level	-57.7	Low	--	*	No Color	--	--	No Change Level	Orange	-59.6	-2.0	Maintained	--
				English Learner	98	-76.7	Very Low	-61.2	Low	Lower	85	Yellow	-67.4	9.4	Increased	Orange	-67.7	-6.5	Declined	Higher
				Filipino	0	--	--	42.9	High	--	0	--	--	--	--	Green	44.0	1.1	Maintained	--
				Foster Youth	*	-	No Performance Level	-85.6	Very Low	--	*	No Color	--	--	No Change Level	Red	-89.2	-2.5	Maintained	--
				Homeless Youth	*	-	No Performance Level	-62.9	Low	--	*	No Color	--	--	No Change Level	Orange	-67.9	-5.0	Declined	--
				Latino	182	-64.3	Low	-38.6	Low	Lower	184	Orange	-63.2	1.2	Maintained	Orange	-40.2	-1.7	Maintained	Lower
				Native Hawaiian or Pacific Islander	0	--	--	-29.1	Low	--	0	--	--	--	--	Orange	-32.5	-3.4	Declined	--
				Socioeconomically Disadvantaged	182	-63.9	Low	-41.4	Low	Lower	180	Orange	-64.1	-0.2	Maintained	Orange	-42.6	-1.2	Maintained	Lower
				Students with Disabilities	30	-83.6	Very Low	-97.3	Very Low	Higher	45	Red	-100.5	-17	Declined Significantly	Red	-96.3	1.8	Maintained	Lower
				Two or More Races	0	--	--	25.1	High	--	0	--	--	--	--	Green	24.3	-0.8	Maintained	--
				White	0	--	--	21.9	High	--	0	--	--	--	--	Green	20.8	-1.2	Maintained	--

Participation Rate Report below displays the percent of students tested by content area. The Every Student Succeeds Act requires districts and schools to test at least 95 percent of all students and student groups in English language arts and mathematics. It also requires states to factor the participation rate into the Academic Indicator. For any local educational agency (LEA), school, or student group with less than 95 percent of students tested, the ESSA requires a penalty to be applied to the Academic Indicator. To meet this federal requirement, California assigns the Lowest Obtainable Scale Score (LOSS) to each student needed to bring the participation rate of the school, district, and/or student group to 95 percent. The LOSS assigned to each of these students who did not test will be used in calculating the Distance from Standard (DFS).

ELA Participation Rate By Student Group														
	ALL	American Indian or Alaska Native	Asian	Black or African American	English Learner	Filipino	Foster Youth	Homeless Youth	Latino	Native Hawaiian or Pacific Islander	Socioeconomically Disadvantaged	Students with Disabilities	Two or More Races	White
Percent of students tested in 2022 **	100%	--	100%	100%	100%	--	100%	100%	100%	--	100%	100%	--	--
Participation Rate Met 2022 *	Yes	--	Yes	Yes	Yes	--	Yes	Yes	Yes	--	Yes	Yes	--	--
Percent of students tested in 2023	99%	--	100%	100%	99%	--	100%	100%	99%	--	99%	100%	--	--
Participation Rate Met 2023	Yes	--	Yes	Yes	Yes	--	Yes	Yes	Yes	--	Yes	Yes	--	--

* Note: An asterisk (*) indicates that the student group consists of less than 11 students, the minimum size for reporting.

** Whole number rounding is used for the participation rate.

Data Sources: California School Dashboard Research data files 2023

Arts In Action Community Charter

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Academic Performance - Math

This report shows the performance levels for a single state indicator, Mathematics, for all student groups. It also shows how the current year (status, DFS) compares to prior years (change) for each state indicator. Status and change each have five possible levels, which are displayed with the data for each indicator. A single asterisk (*) and a single dash (-) shows that the student group has fewer than 11 students and is not reported for privacy reasons. For student groups with 11-29 students or do not have at least 30 students with scores in the current and prior year, status and change are reported, and no performance level (color) will be reported. A double dash "--" means that data is not currently available. Note: Charter Schools are treated as schools (not LEAs) when it comes to reporting Foster Youth and Homeless student groups. Charter schools will need at least 30 or more Foster Youth, or 30 or more Homeless students, to receive a status level for each student group.

Source: Data collected by the California Department of Education (CDE) through the California Longitudinal Pupil Achievement Data System (CALPADS), California School Dashboard, and testing vendor. Aggregate data files are provided by the CDE – Data Reporting Office at <http://www.cde.ca.gov/ds/sd/sd/filesenr.asp> and California School Dashboard System of Support <https://www.cde.ca.gov/ta/ac/cm/>. Please note: There may be slight differences with some of the information in this report and with what is displayed in Dataquest and CA Dashboard due to changes in file modifications such as Date Modified, Date Posted, other data updates by the testing vendor and updates in CALPADS.

Math (Grades 3-8 and Grade 11) Academic Indicator - CA School Dashboard Indicator																				
RG	BD	Location Code	School	Student Group	School 2022 Number of Students with Scores	School 2022 Average DFS	School 2022 Status Level	State 2022 Average DFS	State 2022 Status Level	School to State DFS Comparison	School 2023 Number of Students with Scores	School 2023 Performance Level (color)	School 2023 Average DFS	School 2023 Change	School 2023 Change Level	State 2023 Performance Level (color)	State 2023 Average DFS	State 2023 Change	State 2023 Change Level	School to State DFS Comparison
E	2	2258	Arts In Action Community Charter	All Students	186	-87.3	Low	-51.7	Low	Lower	186	Yellow	-68.2	19.1	Increased Significantly	Orange	-49.1	2.6	Maintained	Lower
				American Indian or Alaska Native	0	--	--	-90.4	Low	--	0	--	--	--	Yellow	-87.3	4.6	Increased	--	
				Asian	*	-	No Performance Level	48.4	Very High	--	*	No Color	--	--	No Change Level	Blue	50.8	2.3	Maintained	--
				Black or African American	*	-	No Performance Level	-106.9	Very Low	--	*	No Color	--	--	No Change Level	Red	-104.5	2.6	Maintained	--
				English Learner	98	-91.8	Low	-92.0	Low	Higher	85	Yellow	-67.2	24.5	Increased Significantly	Orange	-93.4	-1.4	Maintained	Higher
				Filipino	0	--	--	2.7	High	--	0	--	--	--	Green	7.4	4.8	Increased	--	
				Foster Youth	*	-	No Performance Level	-126.3	Very Low	--	*	No Color	--	--	No Change Level	Red	-127.4	1.4	Maintained	--
				Homeless Youth	*	-	No Performance Level	-101.8	Very Low	--	*	No Color	--	--	No Change Level	Red	-101.3	0.5	Maintained	--
				Latino	182	-87.2	Low	-83.4	Low	Lower	184	Yellow	-68.9	18.2	Increased Significantly	Orange	-80.8	2.6	Maintained	Higher
				Native Hawaiian or Pacific Islander	0	--	--	-71.3	Low	--	0	--	--	--	Orange	-71.3	0.0	Maintained	--	
				Socioeconomically Disadvantaged	182	-87.8	Low	-84.0	Low	Lower	180	Yellow	-69.5	18.3	Increased Significantly	Yellow	-80.8	3.2	Increased	Higher
				Students with Disabilities	30	-104.9	Very Low	-130.8	Very Low	Higher	45	Yellow	-78.2	26.7	Increased Significantly	Orange	-127.3	5.5	Increased	Higher
				Two or More Races	0	--	--	-9.9	Medium	--	0	--	--	--	Yellow	-7.4	2.5	Maintained	--	
				White	0	--	--	-13.4	Medium	--	0	--	--	--	Yellow	-11.1	2.3	Maintained	--	

Participation Rate Report below displays the percent of students tested by content area. The Every Student Succeeds Act requires districts and schools to test at least 95 percent of all students and student groups in English language arts and mathematics. It also requires states to factor the participation rate into the Academic Indicator. For any local educational agency (LEA), school, or student group with less than 95 percent of students tested, the ESSA requires a penalty to be applied to the Academic Indicator. To meet this federal requirement, California assigns the Lowest Obtainable Scale Score (LOSS) to each student needed to bring the participation rate of the school, district, and/or student group to 95 percent. The LOSS assigned to each of these students who did not test will be used in calculating the Distance from Standard (DFS).

Math Participation Rate By Student Group														
	ALL	American Indian or Alaska Native	Asian	Black or African American	English Learner	Filipino	Foster Youth	Homeless Youth	Latino	Native Hawaiian or Pacific Islander	Socioeconomically Disadvantaged	Students with Disabilities	Two or More Races	White
Percent of students tested in 2022 **	100%	--	99%	100%	100%	--	100%	100%	100%	--	100%	100%	--	--
Participation Rate Met 2022 *	Yes	--	Yes	Yes	Yes	--	Yes	Yes	Yes	--	Yes	Yes	--	--
Percent of students tested in 2023	99%	--	100%	100%	99%	--	100%	100%	99%	--	99%	100%	--	--
Participation Rate Met 2023	Yes	--	Yes	Yes	Yes	--	Yes	Yes	Yes	--	Yes	Yes	--	--

* Note: An asterisk (*) indicates that the student group consists of less than 11 students, the minimum size for reporting.

** Whole number rounding is used for the participation rate.

Data Sources: California School Dashboard Research data files 2023

Arts In Action Community Charter

English Learner Progress Indicator (ELPI)

This report shows the percentage of current English learner (EL) students making progress towards English language proficiency at their school. The English Learner Progress Indicator (ELPI) relies on the results of the Summative English Language Proficiency Assessment (ELPAC), including Summative Alternate ELPAC results, to determine EL student progress. For the EL students taking the Summative ELPAC, those who increase an ELPI level or maintain ELPAC Level 4 are counted as making progress towards English language proficiency. ELPI Change measures the rate at which schools are improving their ability to move their EL students towards English language proficiency. It is the difference between the prior year Status and the current year Status. A single asterisk (*) and a single dash (-) shows that the student group has fewer than 11 students and is not reported for privacy reasons. For student groups with 11-29 students or do not have at least 30 students with scores in the current and prior year, status and change are reported, and no performance level (color) will be reported. A double dash "--" means that data is not currently available.

Data collected by the California Department of Education (CDE) through the California Longitudinal Pupil Achievement Data System (CALPADS), California School Dashboard, and testing vendor. Aggregate data files are provided by the CDE – Data Reporting Office at <http://www.cde.ca.gov/ds/sd/sd/filesenr.asp> and California School Dashboard System of Support <https://www.cde.ca.gov/ta/ac/cm/>. Please note: There may be slight differences with some of the information in this report and with what is displayed in Dataquest and CA Dashboard due to changes in file modifications such as Date Modified, Date Posted, other data updates by the testing vendor and updates in CALPADS.

English Learner Progress Indicator - CA School Dashboard Indicator																				
RG	BD	Location Code	School	Student Group	2022 School			2022 State			2023 School					2023 State				
					Number of EL Students with a Performance Level in Both the	Percentage of English Learners making progress towards English	Status Level	Percentage of English Learners making progress towards English	Status Level	School to State ELPI Comparison	Number of EL Students with a Performance Level in Both the	School 2023 Performance Level (color)	Percentage of English Learners making progress towards English	School 2023 Change	School 2023 Change Level	State 2023 Performance Level (color)	Percentage of English Learners making progress towards English	State 2023 Change	State 2023 Change Level	School to State ELPI Comparison
E	2	2258	Arts In Action Community Charter	English Learner	109	38.5%	Low	50.3%	Medium	Lower	101	Green	52.5%	13.9%	Increased Significantly	Yellow	48.7%	-1.6%	Maintained	Higher

Districts and schools that do not meet the 95 percent participation rate on the Summative ELPAC and Summative Alternative ELPAC and have at least 30 EL students enrolled during the testing window (February 1 to May 31) will receive a modified ELPI rate on the California School Dashboard (Dashboard). For each district and school that does not meet the 95 percent target, the minimum number of students needed to reach a participation rate of at least 95 percent is determined. The resulting number of students will be counted as not making progress in the current ELPI Status calculation.

ELPAC Participation				
Year	Number of EL Student Enrolled	Number of EL Students Tested	Percent of EL Students Tested	Participation Rate Met
2022	139	138	99.3%	Yes
2023	129	125	98.4%	Yes

Note: Schools that do not meet the 95 percent participation rate on the Summative ELPAC and Summative Alternative ELPAC and have at least 30 EL students enrolled during the testing window (February 1 to May 31) will receive a modified ELPI rate on the California School Dashboard (Dashboard).

* Note: An asterisk (*) indicates that the student group consists of less than 11 students, the minimum size for reporting.

Data Sources: California School Dashboard Research data files 2023

2022 Student English Language Acquisition Results		
The percentage of current EL students who progressed at least one ELPI level, maintained ELPI level 4, maintained lower ELPI levels (i.e., levels 1, 2L, 2H, 3L, or 3H), or decreased at least one ELPI Level.		
School		State
Arts In Action Community Charter		
ELs Who Progressed at Least One ELPI Level	38.5%	47.5%
ELs Who Maintained ELPI Level 4	0.0%	2.8%
ELs Who Maintained ELPI Level 1, 2L, 2H, 3L, 3H	33.9%	31.4%
ELs Who Decreased at Least One ELPI Level	27.5%	18.3%

2023 Student English Language Acquisition Results		
The percentage of current EL students who progressed at least one ELPI level, maintained ELPI level 4, maintained lower ELPI levels (i.e., levels 1, 2L, 2H, 3L, or 3H), or decreased at least one ELPI Level.		
School		State
Arts In Action Community Charter		
ELs Who Progressed at Least One ELPI Level	52.5%	48.7%
ELs Who Maintained ELPI Level 4	0.0%	2.8%
ELs Who Maintained ELPI Level 1, 2L, 2H, 3L, 3H	29.3%	32.7%
ELs Who Decreased at Least One ELPI Level	18.2%	18.0%

Arts In Action Community Charter

Chronic Absenteeism

This report shows the percentage of students in Kindergarten through grade eight who were absent 10 percent or more of the school year. For most state indicators, the desired outcome is to have a high percentage of performance in the current year. However, chronic absenteeism has a reverse goal of having the lowest percentage of students chronically absent in the current year. Current and prior year data is compared to see whether a school made improvement (i.e., had a lower rate of Chronic Absenteeism in 2023 than it did in 2022) or did worse (i.e., had a higher rate in 2023). Taken together, current year data and its comparison with prior year data will give a performance level (color). A single asterisk (*) and a single dash (-) shows that the student group has fewer than 11 students and is not reported for privacy reasons. For student groups with 11-29 students or do not have at least 30 students with scores in the current and prior year, status and change are reported, and no performance level (color) will be reported. A double dash "--" means that data is not currently available.

Source: Data collected by the California Department of Education (CDE) through the California Longitudinal Pupil Achievement Data System (CALPADS), California School Dashboard, and testing vendor. Aggregate data files are provided by the CDE – Data Reporting Office at <http://www.cde.ca.gov/ds/sd/sd/filesenr.asp> and California School Dashboard System of Support <https://www.cde.ca.gov/ta/ac/cm/>. Please note: There may be slight differences with some of the information in this report and with what is displayed in Dataquest and CA Dashboard due to changes in file modifications such as Date Modified, Date Posted, other data updates by the testing vendor and updates in CALPADS.

Chronic Absenteeism - CA School Dashboard Indicator																				
RG	BD	Location Code	School	Student Group	Number of students enrolled who meet criteria	School 2022 Chronic Absenteeism Percentage	School 2022 Status Level	State 2022 Chronic Absenteeism Percentage	State 2022 Status Level	School to State Chronic Absenteeism Percentage Comparison	Number of students enrolled who meet criteria	School 2023 Performance Level (color)	School 2023 Chronic Absenteeism Percentage	School 2023 Change	School 2023 Change Level	State 2023 Performance Level (color)	State 2023 Chronic Absenteeism Percentage	State 2023 Change	State 2023 Change Level	School to State Chronic Absenteeism Percentage Comparison
E	2	2258	Arts In Action Community Charter	All Students	385	24.9%	Very High	30.0%	Very High	Lower	388	Orange	22.7%	-2.3%	Declined	Yellow	24.3%	-5.7	Declined Significantly	Lower
				American Indian or Alaska Native	0	--	--	42.9%	Very High	--	0	--	--	--	--	Yellow	36.1%	-6.8	Declined Significantly	--
				Asian	*	--	No Performance Level	11.5%	High	--	*	No Color	0.0%	0.0%	No Change Level	Yellow	10.1%	-1.4	Declined	--
				Black or African American	*	--	No Performance Level	42.9%	Very High	--	*	No Color	0.0%	0.0%	No Change Level	Yellow	36.4%	-6.5	Declined Significantly	--
				English Learner	155	20.6%	Very High	33.6%	Very High	Lower	134	Orange	20.1%	-0.5%	Declined	Yellow	26.3%	-7.3	Declined Significantly	Lower
				Filipino	0	--	--	16.2%	High	--	0	--	--	--	--	Yellow	13.8%	-2.4	Declined	--
				Foster Youth	*	--	No Performance Level	42.1%	Very High	--	*	No Color	0.0%	0.0%	No Change Level	Yellow	33.6%	-8.5	Declined Significantly	--
				Homeless Youth	*	--	No Performance Level	45.1%	Very High	--	14	No Color	28.6%	0.0%	No Change Level	Yellow	38.7%	-6.4	Declined Significantly	--
				Latino	373	24.7%	Very High	35.8%	Very High	Lower	381	Orange	22.6%	-2.1%	Declined	Yellow	28.4%	-7.4	Declined Significantly	Lower
				Native Hawaiian or Pacific Islander	0	--	--	43.9%	Very High	--	0	--	--	--	--	Yellow	37.6%	-6.3	Declined Significantly	--
				Socioeconomically Disadvantaged	363	24.5%	Very High	37.4%	Very High	Lower	372	Orange	22.0%	-2.5%	Declined	Yellow	29.9%	-7.5	Declined Significantly	Lower
				Students with Disabilities	59	28.8%	Very High	39.6%	Very High	Lower	85	Orange	23.5%	-5.3%	Declined	Yellow	33.1%	-6.5	Declined Significantly	Lower
				Two or More Races	*	--	No Performance Level	25.1%	Very High	--	*	No Color	0.0%	0.0%	No Change Level	Yellow	21.6%	-3.5	Declined Significantly	--
				White	*	--	No Performance Level	21.9%	Very High	--	0	--	--	--	--	Yellow	18.5%	-3.5	Declined Significantly	--

Data Sources: California School Dashboard Research data files 2023

Arts In Action Community Charter

Suspension Rate Indicator

This report shows the number of students who have an aggregate suspension of at least one full day. A student is counted as suspended in the suspension rate only once regardless of multiple suspensions or multiple days of suspension. For most state indicators, the desired outcome is a high percentage of performance in the current year and an increase from the prior year. However, for the Suspension Rate indicator, the desired outcome is a low rate in the current year and a decline from the prior year. Current and prior year data is compared to see whether a school made improvement (i.e., had a lower rate of suspension in 2022-23 than it did in 2021-22) or did worse (i.e., had a higher rate in 2022-23 than in 2021-22). Taken together, current year data and its comparison with prior year data will give a performance level (color). A single asterisk (*) and a single dash (-) shows that the student group has fewer than 11 students and is not reported for privacy reasons. For student groups with 11-29 students or do not have at least 30 students with scores in the current and prior year, status and change are reported, and no performance level (color) will be reported. A double dash "--" means that data is not currently available.

Source: Data collected by the California Department of Education (CDE) through the California Longitudinal Pupil Achievement Data System (CALPADS), California School Dashboard, and testing vendor. Aggregate data files are provided by the CDE – Data Reporting Office at <http://www.cde.ca.gov/ds/sd/sd/filesenr.asp> and California School Dashboard System of Support <https://www.cde.ca.gov/ta/ac/cm/>. Please note: There may be slight differences with some of the information in this report and with what is displayed in Dataquest and CA Dashboard due to changes in file modifications such as Date Modified, Date Posted, other data updates by the testing vendor and updates in CALPADS.

Suspension Rate Indicator - CA School Dashboard Indicator																				
RG	BD	Location Code	School	Student Group	Number of Students	School 2022 Percentage of Students suspended at least once	School 2022 Status Level	State 2022 Percentage of Students suspended at least once	State 2022 Status Level	School to State Suspension Rate Percentage Comparison	Number of Students	School 2023 Performance Level (color)	School 2023 Percentage of Students suspended at least once	School 2023 Change	School 2023 Change Level	State 2023 Performance Level (color)	State 2023 Percentage of Students suspended at least once	State 2023 Change	State 2023 Change Level	School to State Suspension Comparison
E	2	2258	Arts In Action Community Charter	All Students	390	0.0%	Very Low	3.1%	Medium	Lower	395	Blue	0.0%	0.0%	Maintained	Orange	3.5%	0.4%	Increased	Lower
				American Indian or Alaska Native	0	--	--	6.4%	High	--	0	--	--	--	--	Orange	7.4%	1.0%	Increased	--
				Asian	*	--	No Performance Level	0.9%	Very Low	--	*	No Color	--	--	No Change Level	Green	1.1%	0.2%	Maintained	--
				Black or African American	*	--	No Performance Level	7.9%	High	--	*	No Color	--	--	No Change Level	Red	8.8%	0.9%	Increased	--
				English Learner	158	0.0%	Very Low	3.2%	Medium	Lower	134	Blue	0.0%	0.0%	Maintained	Orange	3.7%	0.5%	Increased	Lower
				Filipino	0	--	--	1.2%	Low	--	0	--	--	--	--	Green	1.3%	0.1%	Maintained	--
				Foster Youth	*	--	No Performance Level	12.4%	Very High	--	*	No Color	--	--	No Change Level	Red	13.6%	1.2%	Increased	--
				Homeless Youth	*	--	No Performance Level	5.5%	High	--	14	No Color	0.0%	--	No Change Level	Orange	6.5%	1.0%	Increased	--
				Latino	378	0.0%	Very Low	3.3%	Medium	Lower	385	Blue	0.0%	0.0%	Maintained	Orange	3.8%	0.5%	Increased	Lower
				Native Hawaiian or Pacific Islander	0	--	--	4.5%	Medium	--	0	--	--	--	--	Orange	4.9%	0.4%	Increased	--
				Socioeconomically Disadvantaged	366	0.0%	Very Low	4.0%	Medium	Lower	378	Blue	0.0%	0.0%	Maintained	Orange	4.5%	0.5%	Increased	Lower
				Students with Disabilities	61	0.0%	Very Low	5.4%	High	Lower	85	Blue	0.0%	0.0%	Maintained	Orange	5.9%	0.5%	Increased	Lower
				Two or More Races	*	--	No Performance Level	2.9%	Medium	--	*	No Color	--	--	No Change Level	Orange	3.3%	0.4%	Increased	--
				White	*	--	No Performance Level	2.6%	Medium	--	0	--	--	--	--	Yellow	2.9%	0.2%	Maintained	--

Data Sources: California School Dashboard Research data files 2023

Arts In Action Community Charter

Enrollment Report

This report displays CALPADS K-12 enrollment number and percentages of select student groups. Annual enrollment consists of the number of students primarily enrolled on Census Day (the first Wednesday in October). This information was submitted by local educational agencies (LEAs) and charter schools to the California Department of Education (CDE) as part of the annual Fall 1 data submission in the California Longitudinal Pupil Achievement Data System (CALPADS). These data were reviewed and certified in CALPADS as being accurate by authorized district or school personnel. In order to certify data in CALPADS, authorized district or charter school personnel are required to review the accuracy of all data associated with the applicable CALPADS submission. The California Department of Education collects some data on GATE programs through the California Longitudinal Pupil Achievement Data System (CALPADS); however, this information is submitted by LEAs on a voluntary basis and it wouldn't necessarily be accurate as per CDE. Source: Data collected by the California Department of Education (CDE) through the California Longitudinal Pupil Achievement Data System (CALPADS), California School Dashboard, and testing vendor. Aggregate data files are provided by the CDE – Data Reporting Office at <http://www.cde.ca.gov/ds/sd/sd/filesenr.asp> and California School Dashboard System of Support <https://www.cde.ca.gov/ta/ac/cm/>. Please note: There may be slight differences with some of the information in this report and with what is displayed in Dataquest and CA Dashboard due to changes in file modifications such as Date Modified, Date Posted, other data updates by the testing vendor and updates in CALPADS.

2022-2023 Enrollment by Ethnicity and Student Group																					
RG	BD	Loc Code	School	Enrollment	F/R Meal	GATE	American Indian or Alaska Native	Asian	Black or African American	English Learner	Filipino	Foster Youth	Homeless	Latino	Migrant Education	Native Hawaiian or Pacific Islander	Not Reported	Socio-economically Disadvantaged	Students with Disabilities	Two or More Races	White
E	2	2258	Arts In Action Community Charter	385	64.9%	0.0%	0.0%	0.5%	0.5%	34.5%	0.0%	0.5%	3.6%	98.7%	0.0%	0.0%	0.3%	75.6%	17.4%	0.0%	0.0%
Statewide				5,892,240	57.8%	N/A	0.5%	9.5%	5.1%	19.1%	2.3%	0.5%	2.9%	55.9%	0.7%	0.4%	1.0%	59.6%	12.7%	4.3%	21.7%
Los Angeles Unified				548,338	80.2%	8.5%	0.1%	3.5%	7.3%	21.3%	1.8%	0.7%	1.4%	74.5%	0.1%	0.2%	1.0%	81.4%	13.6%	1.7%	9.7%

2021-2022 Enrollment by Ethnicity and Student Group																					
RG	BD	Loc Code	School	Enrollment	F/R Meal	GATE	American Indian or Alaska Native	Asian	Black or African American	English Learner	Filipino	Foster Youth	Homeless	Latino	Migrant Education	Native Hawaiian or Pacific Islander	Not Reported	Socio-economically Disadvantaged	Students with Disabilities	Two or More Races	White
E	2	2258	Arts In Action Community Charter	385	93.2%	0.0%	0.0%	0.5%	1.0%	39.5%	0.0%	1.0%	0.5%	96.6%	0.0%	0.0%	1.3%	94.3%	14.3%	0.0%	0.5%
Statewide				6,002,523	58.9%	N/A	0.5%	9.5%	5.2%	17.7%	2.4%	0.4%	0.6%	55.3%	0.8%	0.4%	0.9%	60.3%	12.6%	4.1%	21.7%
Los Angeles Unified				574,996	81.3%	9.7%	0.2%	3.6%	7.6%	18.8%	1.9%	0.7%	1.2%	74.2%	0.2%	0.2%	0.5%	81.6%	13.4%	1.6%	10.2%

Data Source: Data Quest, Student and School Downloadable Data Files <https://www.cde.ca.gov/ds/sd/sd/filesenr.asp>

Arts In Action Community Charter

RECLASSIFICATION RATES

This reports shows a two year comparison of the number of English Learners (ELs) on Census Day, the number of students reclassified since the prior Census Day, and the reclassification rate for each specified year. The reclassification rate, displayed in percentage, is calculated by dividing the number reclassified by the number of prior year ELs.

Source: Data collected by the California Department of Education (CDE) through the California Longitudinal Pupil Achievement Data System (CALPADS), California School Dashboard, and testing vendor. Aggregate data files are provided by the CDE – Data Reporting Office at <http://www.cde.ca.gov/ds/sd/sd/filesenr.asp> and California School Dashboard System of Support <https://www.cde.ca.gov/ta/ac/cm/>. Please note: There may be slight differences with some of the information in this report and with what is displayed in Dataquest and CA Dashboard due to changes in file modifications such as Date Modified, Date Posted, other data updates by the testing vendor and updates in CALPADS.

RG	BD	Loc Code	School	Year	Students Redesignated FEP	School	State	School to State RFEP Comparison
E	2	2258	Arts In Action Community Charter	2021-2022*	2020-2021 Number of English Language Learners	--	--	--
					2021-2022 Number of Students Reclassified	--	--	
					2021-2022 Reclassification Rate	--	--	
				2022-2023*	2021-2022 Number of English Language Learners	--	--	--
					2022-2023 Number of Students Reclassified	--	--	
					2022-2023 Reclassification Rate	--	--	

Note: *Reclassification data for 2021-2022 and 2022-2023 has not been published by the State as of the creation of this data set. After the California Department of Education releases the 2021-2022 and 2022-2023 Annual Reclassification (RFEP) Counts and Rates this tab will be updated accordingly.

A double dash "--" means that data is not currently available.

Data Source: Data Quest, Student and School Downloadable Data Files <https://www.cde.ca.gov/ds/ad/filesreclass.asp>

Arts In Action Community Charter

Long-Term English Learners (LTEL) and "At-Risk"

Note: The "EL Total" column in this report displays the summed total of the disaggregated English Learner (EL) data in the four columns under the "English Learners" heading. The "Total (Ever-EL)" column displays the summed total of the data in the "RFEP" column plus the data in the four columns under the "English Learners" heading OR the data in the "EL Total" column, but not both. The percent values displayed in this report are calculated as a percent of the "Total (Ever-EL)" which fully and more accurately considers what happens to all EL students over time, including those who are Reclassified Fluent English Proficient (RFEP). Source: Data collected by the California Department of Education (CDE) through the California Longitudinal Pupil Achievement Data System (CALPADS), California School Dashboard, and testing vendor. Aggregate data files are provided by the CDE – Data Reporting Office at <http://www.cde.ca.gov/ds/sd/sd/filesenr.asp> and California School Dashboard System of Support <https://www.cde.ca.gov/ta/ac/cm/>. Please note: There may be slight differences with some of the information in this report and with what is displayed in Dataquest and CA Dashboard due to changes in file modifications such as Date Modified, Date Posted, other data updates by the testing vendor and updates in CALPADS.

RG	BD	Loc Code	School	English Learners	2021-2022				2022-2023			
					School		State		School		State	
					Enrollment	Percent	Enrollment	Percent	Enrollment	Percent	Enrollment	Percent
E	2	2258	Arts In Action Community Charter	LTEL 6+ Years	0	0.0%	379,290	18.1%	0	0.0%	226,535	11.1%
				At-Risk 4-5 Years	61	31.6%	211,055	10.1%	39	22.5%	144,190	7.1%
				EL 0-3 Years	80	41.5%	497,471	23.8%	69	39.9%	505,487	24.8%
				EL 4+ Years Not At-Risk or LTEL	11	5.7%	39,832	1.9%	25	14.5%	236,323	11.6%
				EL total	152	78.8%	1,127,648	53.9%	133	76.9%	1,112,535	54.5%
				RFEP	41	21.2%	963,056	46.1%	40	23.1%	927,723	45.5%
				Total (Ever)	193	100.0%	2,090,704	100.0%	173	100.0%	2,040,258	100.0%

Data Source: Data Quest, Student and School Downloadable Data Files <https://www.cde.ca.gov/ds/ad/filesltel.asp>

Arts In Action Community Charter

Students with Disabilities Report

This report displays the K-12 enrollment and the number of K-12 students with disabilities total, by incidence category, and by eligibility as reported on the Census Day (First Wednesday in October) CALPADS Fall 1 Certified Student Profile List Report (Report 8.1) submitted by LEAs (Local Education Agencies). LEAs are required to "certify" specified data during submission windows. The CDE uses certified data for state and federal reporting and to develop accountability metrics. Once data are certified by an LEA following the close of the Amendment Window, they are "frozen" and cannot be amended. Note: Students with disabilities counts and percentages in this report may be higher or lower for some schools when comparing this report counts with 2021-22 Enrollment by Student Group counts posted in DataQuest by the CDE due to the accuracy of all data associated with the applicable CALPADS submission. CALPADS certification is a two-step process with Level-2 certification reserved for the district superintendents, charter school administrators, or their designees. High incidence eligibilities are indicated by an asterisk (*). Source: Data collected by the California Department of Education (CDE) through the California Longitudinal Pupil Achievement Data System (CALPADS), California School Dashboard, and testing vendor. Aggregate data files are provided by the CDE – Data Reporting Office at <http://www.cde.ca.gov/ds/sd/filesenr.asp> and California School Dashboard System of Support <https://www.cde.ca.gov/ta/ac/cm/>. Please note: There may be slight differences with some of the information in this report and with what is displayed in Dataquest and CA Dashboard due to changes in file modifications such as Date Modified, Date Posted, other data updates by the testing vendor and updates in CALPADS.

2022-2023 Special Education Enrollment

RG	BD	Loc Code	School	OCT 2022 Enroll #	Sp Ed Enroll #	Sp Ed Enroll %
E	2	2258	Arts In Action Community Charter	385	67	17.4%
Statewide				5,852,544	765,169	13.1%
Los Angeles Unified				538,295	75,935	14.1%

2021-2022 Special Education Enrollment

RG	BD	Location Code	School	OCT 2021 Enroll #	Sp Ed Enroll #	Sp Ed Enroll %
E	2	2258	Arts In Action Community Charter	385	67	17.4%
Statewide				5,892,240	745,513	12.7%
Los Angeles Unified				548,338	74,435	13.6%

2022-2023 Special Education Enrollment

RG	BD	Loc Code	School	% High Incidence	% Low Incidence	# AUT	# DB	# DEAF	# ED	# EMD	# HOH	# ID	MD	# OHI*	# OI	# SLD*	# SLI*	# TBI	# VI
E	2	2258	Arts In Action Community Charter	77.6%	22.4%	13	0	0	0	0	1	1	0	7	0	19	26	0	0
Los Angeles Unified				68.3%	31.2%	16,427	5	226	1,143	1	994	3,495	354	10,342	1,065	29,411	12,139	64	248

2021-2022 Special Education Enrollment

RG	BD	Loc Code	School	% High Incidence	% Low Incidence	# AUT	# DB	# DEAF	# ED	# EMD	# HOH	# ID	MD	# OHI*	# OI	# SLD*	# SLI*	# TBI	# VI
E	2	2258	Arts In Action Community Charter	83.6%	16.4%	6	0	0	0	0	1	1	0	7	0	16	23	1	0
Los Angeles Unified				67.9%	30.1%	14,986	4	240	1,278	1	1,052	3,564	4	10,139	1,429	29,207	12,183	69	267

Key			
AUT	Autism	OHI	Other Health Impairment
DB	Deaf-Blindness	OI	Orthopedic Impairment
DEAF	Deafness	SLD	Specific Learning Disability
ED	Emotional Disturbance	SLI	Speech or Language Impairment
EMD	Established Medical Disability	TBI	Traumatic Brain Injury
HOH	Hard of Hearing	VI	Visual Impairment
ID	Intellectual Disability	MD	Multiple Disabilities

Data Source: Data Quest, Student and School Downloadable Data Files <https://www.cde.ca.gov/ds/sd/filesenr.asp> and CALPADS County Authorizing LEA Report 1.1 Enrollment by Primary Status.

MATERIAL REVISION TO CHARTER OF ARTS IN ACTION COMMUNITY CHARTER

This Material Revision to the Charter of Arts in Action Community Charter (“Material Revision”) is made between the Los Angeles Unified School District (“LAUSD” or “District”), a California public school district, and Schools in Action (“SIA”), a California non-profit public benefit corporation, operating a California public charter school known as Arts in Action Community Charter (“Charter School” and/or “AIA”). District and SIA are also referred to individually as “Party,” and collectively as “Parties.”

This Material Revision is to be read in conjunction with and shall expressly revise the charter of AIA which was originally authorized by the LAUSD Board of Education (“Board of Education”) on **April 20, 2010** and last renewed on **November 24, 2020** for a five-year term, from 2021 to 2026 (“Charter”). However, Education Code section 47607.4 extended the terms of all charter schools whose terms expire on or between January 1, 2022, and June 30, 2025, inclusive, by two years, and all charter schools whose terms expires on or before January 2024, and June 30, 2027, inclusive, shall have their term extended by one additional year. Thus, by operation of law, the charter term for Charter School expires on **June 30, 2027**.

This Material Revision is *contingent* upon SIA obtaining a current Certificate of Occupancy (“COO”) or equivalent document issued by the applicable permitting agency allowing the Charter School to use and occupy the proposed additional site as a charter school for its intended purpose (i.e., applicable grade levels) and complying with all applicable requirements regarding the use and occupancy of the site, including any other District requirements concerning the use and occupancy of the proposed site, prior to the implementation of this Material Revision.

The effective date of this Material Revision is the date of approval by the Board of Education and shall be implemented starting in the 2024-2025 academic school year. This Material Revision is based upon the following factual recitals:

RECITALS

A. **WHEREAS**, the approval of charter schools is governed by the Charter Schools Act of 1992, as subsequently amended, Education Code sections 47600 et seq;

B. **WHEREAS**, as set forth in Education Code section 47607, material revisions of charters are governed by the standards and criteria described in Section 47605, and shall include, but not be limited to, a reasonably comprehensive description of any new requirement of charter schools enacted into law after the charter was originally granted or last renewed;

C. **WHEREAS**, the District’s Charter Schools Division (“CSD”) must determine whether the charter, as materially revised, would be reasonably comprehensive, educationally sound, and demonstrably likely to be successfully implemented;

D. **WHEREAS**, a material revision includes, but is not necessarily limited to, any change that would significantly alter a charter school's mission, vision, educational philosophy, educational program, governance, or organizational structure;

E. **WHEREAS**, a proposed expansion to one or more additional sites requires approval of a material revision pursuant to California law (Ed. Code, §§ 47605, subd. (a)(4) and 47607, subd. (a)(3)) and *LAUSD Policy and Procedures for Charter Schools* (“LAUSD Policy”);

F. **WHEREAS**, if a charter school intends to expand to another facility not approved in its charter, the charter school must receive approval of a material revision to its charter before occupying the facility;

G. **WHEREAS**, as memorialized in the Charter, the Charter School is currently authorized to serve 395 students in grades TK to 5, and has been operating on one location/site at the following address:

5115 Via Corona, East Los Angeles, CA 90022

H. **WHEREAS**, the Charter School’s governing board convened a meeting on January 18, 2024 and adopted Resolution No. 2024-01-01 (“Resolution”) to materially revise the Charter to expand the Charter School’s location to 5136-5140 Via Corona Street, Los Angeles (“Proposed Site”);

I. **WHEREAS**, the Resolution “seeks to add several additional classrooms in order to improve its instructional and school based services. SIA can achieve that objective by leasing additional facilities space at 5136-5140 Via Corona Street, Los Angeles, which is adjacent to (across the street from) its existing, current location.” The Resolution is attached herewith as **Attachment A** and part of this Material Revision;

J. **WHEREAS**, based on correspondence submitted to the District on or about January 25, 2024 (“January 2024 Correspondence”) in support of the Material Revision, the Charter School explained that it “[needs] the additional space to adequately provide Transitional Kindergarten opportunities for our families, improve and expand the services we can provide to current students and families, and fully implement our community schools grant work.” The January 2024 Correspondence is attached herewith as **Attachment B** and part of this Material Revision;

K. **WHEREAS**, SIA entered into a fifteen-year lease agreement with Via Corona, LLC, dated February 2, 2024, allowing Charter School to use and occupy the Proposed Site. (“Lease Agreement”). The Lease Agreement is attached herewith as **Attachment C** and part of this Material Revision;

L. **WHEREAS**, charter schools occupying non-LAUSD facilities must, prior to use, provide the CSD with a current COO or equivalent document issued by the applicable permitting agency that allows the charter school to use and occupy the site as a charter school for its intended purpose (i.e., applicable grade levels);

M. **WHEREAS**, prior to occupancy or use of any non-District-owned school site and/or facility, charter schools must ensure that the site and/or facility complies with all applicable building codes, standards and regulations adopted by the city and/or county agencies responsible for building and safety standards for the city in which charter schools are to be located, federal and state accessibility requirements (including the Americans with Disabilities Act (ADA) and Section 504), and all other applicable fire, health, and structural safety and access requirements. This requirement also applies to the construction, reconstruction, alteration of or addition to the facility.

N. **WHEREAS**, charter schools must comply with the asbestos requirement as cited in the Asbestos Hazard Emergency Response Act (AHERA), 40 C.F.R. part 763. AHERA requires that any building leased or acquired that is to be used as a school or administrative building shall maintain an asbestos management plan;

O. **WHEREAS**, prior to occupancy of the Proposed Site and consistent with Recitals M and N above, at minimum:

- Any asbestos inspection record must be included in the Charter's School asbestos management plan within 30 calendar days of issuance of the inspection record;
- Charter School must obtain the as-built drawings of the Proposed Site;
- Charter School must obtain the renovation and/or construction drawings of the Proposed Site;
- Charter School must obtain any and all asbestos-related documentation of surveys and abatement records relating to the Proposed Site;
- Charter School must obtain any and all documentation showing that the renovation and abatement of asbestos of the Proposed Site complied with South Air Quality Management District (SCAQMD) Rule 1403; and
- Charter School must obtain any and all documentation demonstrating that the Proposed Site was inspected by the applicable authorities at least 30 calendar days prior to the Proposed Site's occupancy and use as a school site.

P. **WHEREAS**, the Parties agree to materially revise the Charter to reflect the changes above, LAUSD Policy and applicable state and federal laws.

NOW, THEREFORE, in consideration of the following terms and conditions, the receipt and sufficiency of which is hereby acknowledged, the Parties agree as follows:

MATERIAL REVISION

1. The Parties incorporate the above Recitals as if fully restated in this Material Revision.
2. **Charter School location:** The Charter shall be revised to reflect that the locations for the Charter School are as follows:
 - 5115 Via Corona, East Los Angeles, CA 90022, and
 - 5136-5140 Via Corona Street, East Los Angeles CA 90022.
3. **Budget:** All prior budgets and cash flow projections submitted for the Charter School shall be replaced by the Charter School's revised budget(s), financial and cash flow projections incorporated and attached herewith as **Attachment D** and incorporated by reference and part of this Material Revision.
4. The Charter School warrants that it is operated by a non-profit corporation in good standing in the State of California.
5. All other provisions set forth in the Charter shall remain in effect and enforceable.
6. The Parties agree that should any of the provisions of this Material Revision be judicially determined to be invalid or unenforceable, the remaining provisions shall continue in full force and effect.
7. The Parties agree to cooperate fully in the execution of any and all other documents and/or additional actions necessary and/or appropriate to give full force and effect to the terms, provisions, and intent of this Material Revision.
8. The individuals signing this Material Revision warrant that they are authorized to do so, and further, that they are authorized to make the promises in this Material Revision on behalf of the respective Parties.

IN WITNESS WHEREOF, the Parties hereto have caused this Material Revision to be duly executed and delivered in their respective names by their authorized representatives as of the date set forth below.

DATED: May____, 2024

SCHOOLS IN ACTION

By: _____

Title: _____

Authorized Representative of Schools in Action

DATED: May____, 2024

LOS ANGELES UNIFIED SCHOOL DISTRICT

By: _____

Title: _____

Authorized Representative of Los Angeles Unified School
District

Attachments:

- A.** Schools in Action's Board Resolution
- B.** January 2024 Correspondence
- C.** Lease Agreement
- D.** Updated Arts in Action Community Charter's Budget, Financial, and Cash Flow Projections.



RESOLUTION NO. 2024-01-01

RESOLUTION TO APPROVE SUBMISSION OF A REQUEST FOR MATERIAL REVISION TO ARTS IN ACTION COMMUNITY CHARTER SCHOOL CHARTER PETITION

WHEREAS, Schools in Action (“SIA”) is a California nonprofit public benefit corporation that is exempt from income taxation under Internal Revenue Code Section 501(c)(3), and its charitable purposes include the operation of California public charter schools;

WHEREAS, SIA operates Arts in Action Community Charter School (“AIACCS”) pursuant to a charter that the Los Angeles Unified School District (“LAUSD”) approved on December 8, 2015 for the five-year term of July 1, 2016 through June 30, 2021 (“Charter”), which term was subsequently renewed for the five-year term of July 1, 2021 through June 30, 2026, which was further extended by statute for one additional year to June 30, 2027;

WHEREAS, AIACCS currently serves students in the East Los Angeles community from its current location, and seeks to add several additional classrooms in order to improve its instructional and school based services. SIA can achieve that objective by leasing additional facilities space at 5136-5140 Via Corona Street, Los Angeles, which is adjacent to (across the street from) its existing, current location; and,

WHEREAS, pursuant to Education Code Section 47605(a)(1)(B)(4), in order to establish one or more additional locations, AIACCS must request a material revision to its Charter and notify LAUSD of those additional locations.

NOW, THEREFORE, the Board of Directors of SIA (“Board”) finds, resolves and orders as follows:

Section 1. The submission of a request to the LAUSD Board of Education for a material revision to the AIACCS Charter to include an additional location at 5136-5140 Via Corona Street, Los Angeles, is hereby authorized and approved.

Section 2. Kalin Balcomb, Executive Director, and Raul Alarcon, Board President, acting alone or together, or the duly delegated representatives of either of the foregoing (each an “Authorized Officer”) are hereby authorized as representatives to act on behalf of SIA and AIACCS with respect to the material revision process, including the preparation of the request for a material revision, execution of the amendment document, and to otherwise act on behalf of the organization with respect to the material revision process, and are directed to take or cause to be taken all such other actions as may be required to fulfill the purposes of the foregoing resolution.

SECRETARY'S CERTIFICATE

I, Rachel Gibbs, Secretary of the Board of Directors of Schools in Action, a California nonprofit public benefit corporation, County of Los Angeles, California, hereby certify as follows:

The attached is a full, true, and correct copy of the resolutions duly adopted at a regular meeting of the Board of Directors of Schools in Action which was duly and regularly held on January 18, 2024, at which meeting all of the members of the Board of Directors had due notice and at which a quorum thereof was present; and at such meeting such resolutions were adopted by the following vote:

AYES: 6

NOES: 0

ABSTAIN:0

ABSENT: 0

I have carefully compared the same with the original minutes of such meeting on file and of record in my office; the attached resolution is a full, true, and correct copy of the original resolution adopted at such meeting and entered in such minutes; and such resolution has not been amended, modified, or rescinded since the date of its adoption, and the same is now in full force and effect.

WITNESS my hand on January 23rd 2024.

Rachel Gibbs

Rachel Gibbs (Jan 23, 2024 11:42 PST)

Secretary of the Board of Directors of
Schools in Action

Arts in Action Resolution to Approve Material Revision (4885-8142-8381.v2)

Final Audit Report

2024-01-23

Created:	2024-01-23
By:	Jessica Benitez (jessicab@artsinactioncharter.org)
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"Arts in Action Resolution to Approve Material Revision (4885-8142-8381.v2)" History

-  Document created by Jessica Benitez (jessicab@artsinactioncharter.org)
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-  Signer rdgibbs@mednet.ucla.edu entered name at signing as Rachel Gibbs
2024-01-23 - 7:42:28 PM GMT- IP address: 149.142.103.136
-  Document e-signed by Rachel Gibbs (rdgibbs@mednet.ucla.edu)
Signature Date: 2024-01-23 - 7:42:30 PM GMT - Time Source: server- IP address: 149.142.103.136
-  Agreement completed.
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January 25th, 2024

Request for Material Revision

Arts Action Community Charter School
5115 Via Corona, East Los Angeles, CA, 90022

José J. Cole-Gutiérrez
Director, Charter Schools Division, LAUSD
333 S. Beaudry Ave, 20th Floor, LA, CA 90017

Dear Mr. Cole-Gutiérrez and Charter School Division team,

On behalf of Arts in Action Community Charter School, I would like to formally request a school location material revision to our charter petition. Currently, per our LAUSD board approved charter petition (page 15); Arts in Action Community Charter School is authorized to operate our school and provide student instructional services at 5115 Via Corona, East Los Angeles, CA, 90022. We request permission to also provide student instruction at 5136 and 5140 Via Corona (two connected buildings directly across the street and several feet away from our current school location).

This letter includes an explanation of why additional space is needed, and the academic, operational and fiscal feasibility and soundness of our request to LAUSD.

Background and Documented Need

We need the additional space to adequately provide Transitional Kindergarten opportunities for our families, improve and expand the services we can provide to current students and families, and fully implement our community schools grant work.

Transitional Kindergarten Program: Currently, we only have space for one Transitional Kindergarten class. This means that not all parents interested in our TK program are able to enroll their child. Arts in Action received a Pre-K/TK planning grant with the focus of implementing the state's initiatives to expand transitional kindergarten opportunities, and the additional space would allow us to execute our plan. We would be able to house two transitional kindergarten classes in the new building, and have dedicated space for early childhood interventions and special education services.

Support for Current Students: The additional space would support our current students by providing more space for both our TK program and the students who will stay in our current building. Right now, there is insufficient space for our arts programming, student interventions, special education services, and teacher collaboration and planning time. We have students on campus from 7:00am to 6:00pm every single day. We provide 30 additional instructional days on Saturdays and during a comprehensive summer school program. All classrooms are 100% student occupied during and after the school day. The need for additional space for students has only increased post-pandemic. Examples include:

Special education and Tier 2 and 3 services. At this point in the year, 21% of our students have IEPs. Pending evaluations and the incoming Transitional kindergarten students make it likely that this percentage will increase to almost 25% by the next school year. Meeting the needs of all students is incredibly important, and in recent years, we have increased the number of special education teachers from 3 to 6, introduced full-time co-teaching configurations, and hired a full-time school psychologist, speech pathologist, and SLPA. Our special education program prioritizes inclusion and low RSP and special education teacher caseloads, so that our students with disabilities are fully supported. TK and K students new to our school post-pandemic have higher levels of toileting, speech and language, social-emotional and academic needs. Additional space would allow us to provide comprehensive early interventions, higher quality special education services and conduct IEP meetings in an optimal environment.

Arts instruction. As part of the state's additional arts grant funding we have added arts and music staff to partner with our general education and special education teachers on integrated core content and English Language instruction through the arts. We were awarded the Turnaround Grant which provides substantial coaching and training for our general education and special education teachers to partner with our arts team on this work. The additional arts collaboration and staffing is a priority, but space is even more limited as a result.

Social-Emotional Services. Post-pandemic, we have increased our social-emotional team from one to three counselors with PPS credentials. Many of our students and families need school based counseling services and higher levels of social-emotional support.

Community and parent engagement and services. We are a school that was founded on the premise that families and the community need to be able to

have the ability to be equal partners in their child's education. The importance of empowerment and self-advocacy is directly aligned to our social justice mission, as is the importance of providing comprehensive resources and support. Our East Los Angeles community is often marginalized and has particularly struggled in recent years.

Below is a current as of January 2024 snapshot of of our school:

Total Population:	392	%
Students who are English Learners	126	32%
Students with low socio-economic status	366	93%
Students with Disabilities	82	21%
Students who are Foster Youth	5	1%
Students who are Homeless	91	23%
Latino Students	390	99.5%

We are lucky to have a close community of families, students and staff who deeply care about each other. Our community is active, caring, and resilient. But, our community is struggling. East LA is in a housing crisis, families are often doubled up in the same apartment, or at risk for eviction. Many of our families are just one emergency or lay-off from homelessness. Some families are undocumented, and scared to reach out to social services. Students have had a parent deported. Covid-19 disproportionately impacted communities like ours, and many of our students have loved ones who have passed away from Covid, or are still struggling with long-lasting Covid-19 health effects. Many of our Boyle Heights families live in housing located in the Exide lead battery contamination zone, and as decontamination efforts are *still* ongoing some of our students have spent their entire childhood living in homes with documented levels of brain damaging lead contamination. We have students who have lost a parent or loved one to gang violence and drug addictions.

The reality is that the injustice of systemic poverty is deeply rooted in our community. Families struggle everyday with the trauma and stress that poverty brings. Families work multiple jobs, have insecure housing situations and inadequate community resources.

Arts in Action has provided families with meals, clothing, household supplies, transportation, toys during the holidays, vaccine clinics, immigration support,

financial literacy classes, eviction advocacy, legal support, dental clinics, mental health case management and therapy services and so much more. Our school is open every day from 7:00am to 6:00pm at no cost to families so that families that work long hours have adequate childcare. Arts in Action was awarded the Community Schools planning grant and is in the process of applying for the five year Community Schools implementation grant. We have the passion and experience to truly elevate community resources and support, but we need the space.

We will be hosting both the primaries and upcoming general election at our schools, because LA County was unable to find other facilities in our area that were willing to host the election. We are doing this because we know that civic engagement is critical, and that our community deserves voting access that is accessible to all. However, once again, we struggle with space. Without the new facilities across the street, classrooms and staff will be displaced during the several week period that election preparation and equipment set-up and early voting occurs.

Feasibility and Soundness

LAUSD Oversight ratings. While Arts in Action still has significant room for academic growth, LAUSD Oversight ratings showcase stability and compliance in governance, student achievement, organizational management and operations, and fiscal accountability. We understand the importance of compliance and accountability to the district and the state.

LAUSD Annual Performance-Based Oversight Scores				
SUMMARY OF RATINGS (4)=Accomplished (3)=Proficient (2)=Developing (1)=Unsatisfactory				
School Year	Governance	Student Achievement and Educational Performance	Organizational Management, Programs, and Operations	Fiscal Operations
2020-2021	4	3	3	3
2021-2022	4	No rating	2	4
2022-2023	4	2	3	3

Organizational Management, Programs, and Operations. Arts in Action strives to improve operational programming and systems each school year. Arts in Action is compliant with federal, state and district guidelines and requirements.

Governance. Arts in Action has stable and qualified leadership in place to ensure continuity in governance. Our board members and school leadership have a variety of experience and more than half of our board are current or former parents. Our Board President, Raúl Alarcón, is the Chief Academic Officer for Isana Academies, a tenured lecturer at the UCLA principal leadership institute (PLI) program, and was the CAO of City Charter Schools and a founding principal. Raúl is an expert on multicultural and bilingual education, and started his career at LAUSD. Our Executive Director, Kalin Balcomb, has a doctorate in Educational Leadership, a master's in special education, and experience as a principal, Director of Special Education, Inclusion specialist and special education teacher. Most importantly, our principal, Jamie Kikuchi, has a Master's Degree in Educational Administration and is a highly qualified principal with many years of early childhood teaching experience and has taught at and led Arts in Action since our founding 2011-2023 school year.

Fiscal Operations. As noted in the comprehensive and conservative fiscal budget report attached to this material revision petition, Arts in Action can afford to add premises and complete construction and remodeling work without borrowing money. The buildings have a 15 year lease, with two five year options to renew and right of first refusal to purchase. In addition, due to Arts in Action's financial stability, three banks have provided competitive loan options in the case that a loan for construction costs is needed due to unforeseeable circumstances.

School Performance

Academic Performance. As mentioned above, the additional space for TK instruction, interventions, special education, teacher collaboration, and parent engagement would help improve our academic performance. Adding an additional TK class would allow students to have continuity, we have many students who could have benefited from transitional kindergarten but enrolled with us in kindergarten without the requisite school readiness skills. As seen below, Arts in Action students who enrolled in kindergarten who also attended Transitional Kindergarten are more likely to be on grade level and less likely to need Tier 2 and Tier 3 interventions.

Comparison of Kindergarten ELA Academic Performance		
Kindergarten Performance	Students with AIA in TK	Students who did not go to AIA's TK program
% needing Tier 2 & 3 interventions	6%	21%
Criteria: Quick Phonics Screener assessment tool and MTSS team referrals		

Another measure the school uses is a comprehensive TK and kindergarten readiness assessment in the summer, which helps the school start preparing and lesson planning for our incoming kindergarten students. The kindergarten readiness assessment measures social-emotional development, speech and language skills, and academic readiness. The school offers a kindergarten readiness summer program, but the students who were with us for transitional kindergarten were more than *two times* likely to exhibit kindergarten readiness compared to students who did not participate in our transitional kindergarten program.

The school plans to elevate our TK programming further partnering with half a dozen elementary schools on a high level play based learning special education grant. The grant would provide intensive coaching and professional development to TK teachers on developmentally appropriate best teaching practices.

Arts in Action will continue to provide a strong academic program to our current and future students, and this is reflected in our CAASPP data. While the pandemic has caused learning loss, we are making consistent year to year growth. Below is an overview of CA state dashboard data. The colors in the columns show the color rating that the state, LAUSD, and AIA received on the dashboard, and the far right columns show whether AIA performed at a higher or lower level compared to the state.

CAASPP math data. CAASPP math data shows AIA outperformed both the district and state for significant subgroups. We focus on significant subgroups because as referenced above, almost 100% of our students are in the significant subgroups below, including 93% of our students identified as low SE and 99.5% as Latino.

AIAES Math Comparison between the state & LAUSD

Math	Measure	California	LAUSD	AIA ES	AIAES compared to state	AIAES compared to LAUSD
Overall	DFS	-49.1	-67.3	-68.2	Lower	Lower
	Declined/Increased by	+2.6	+4.2	+19.1	Higher	Higher
Low SE	DFS	-80.8	-78.4	-69.5	Higher	Higher
	Declined/Increased by	+3.2	+4.7	+18.3	Higher	Higher
Latino	DFS	-80.8	-78.9	-68.9	Higher	Higher
	Declined/Increased by	+2.6	+4.7	+18.2	Higher	Higher
Students with Disabilities	DFS	-127.3	-140.3	-78.2	Higher	Higher
	Declined/Increased by	+5.5	+9.4	+26.7	Higher	Higher
English Learners	DFS	-93.4	-106	-67.2	Higher	Higher
	Declined/Increased by	-1.4	+2.5	+24.5	Higher	Higher

CAASPP ELA data. While our ELA CAASPP data is not as strong as our math CAASPP data, we are still showing growth and our English Learners outperformed both the district and the state in reading. The school has added a comprehensive three year LETRS (Language Essentials for Teachers of Reading and Spelling) professional development and coaching cycle this school year, and internal data is yielding positive results.

AIAES ELA Comparison between the state & LAUSD

ELA	Measure	California	LAUSD	AIA ES	AIAES compared to state	AIAES compared to LAUSD
Overall	DFS	-13.6	-32.4	-62.9	Lower	Lower
	Declined/Increased by	-1.4	-1.6	+0.4	Higher	Higher
Low SE	DFS	-42.6	-46.1	-64.1	Lower	Lower
	Declined/Increased by	-1.2	-4	-0.2	Higher	Higher
Latino	DFS	-40.2	-43.1	-63.2	Lower	Lower
	Declined/Increased by	-1.7	-1.7	+1.2	Higher	Higher
Students with Disabilities	DFS	-96.3	-111.8	-100.5	Lower	Higher
	Declined/Increased by	+1.8	+5	-17	Lower	Lower
English Learners	DFS	-67.7	-87.8	-67.4	Higher	Higher
	Declined/Increased by	-6.5	-3.9	+9.4	Higher	Higher

English Learner progress. The English Learner Progress Indicator (ELPI) measured on the CA dashboard) is also an area of strength for Arts in Action. ELPI measures the progress that students make year to year on the English Language Proficiency Assessments for California (ELPAC). Arts in Action outperforms both the district and the state in ELPI progress and growth.

AIAES English Learner Progress compared to State & LAUSD

EL Learner Progress	California	LAUSD	AIA ES	AIAES compared to state	AIAES compared to LAUSD
Making Progress	48.7%	48.4%	52.5%	Higher	Higher
Increased	-1.6%	-3%	+13.9%	Higher	Higher

Suspension Data. Arts in Action outperforms the state and district with the number of students suspended. We believe that this data reflects our strong positive behavior supports, social-emotional school wide curriculum.

AIAES Suspension Comparison to State & LAUSD

Suspension Rate	California	LAUSD	AIA ES	AIAES compared to state	AIAES compared to LAUSD
Overall	3.5%	0.4%	0%	Better	Better
Low SE	4.5%	0.4%	0%	Better	Better
Latino	3.8%	0.3%	0%	Better	Better
Students with Disabilities	0.5%	0%	0%	Better	Same
English Learners	3.7%	0.3%	0%	Better	Same

Chronic Absenteeism. Post-pandemic chronic absenteeism rates are much higher than prior to Covid-19, and are an area of growth. Arts in Action still outperforms both the state and district. Arts in Action is steadily improving chronic absenteeism rates, and prior to the pandemic had significantly lower rates of chronic absenteeism.

AIAES Chronic Absenteeism Comparison to State & LAUSD

Chronic Absenteeism	California	LAUSD	AIA ES	AIAES compared to state	AIAES compared to LAUSD
Overall	24.3%	31%	22.7%	Better	Better
Low SE	29.9%	33.3%	22%	Better	Better
Latino	28.4%	31.8%	22.6%	Better	Better
Students with Disabilities	33.1%	39.1%	23.5%	Better	Better
English Learners	26.3%	30.4%	20.1%	Better	Better

Pre-Pandemic AIAES Chronic Absenteeism Comparison to State & LAUSD

Chronic Absenteeism	California	LAUSD	AIA ES	AIAES compared to state	AIAES compared to LAUSD
Overall	10.1%	18.2%	9.4%	Better	Better
Low SE	12.9%	19.3%	9.5%	Better	Better
Latino	11%	17.8%	9.6%	Better	Better
Students with Disabilities	16.3%	25.3%	8.8%	Better	Better
English Learners	9.9%	17.4%	3.7%	Better	Better

Safety and LA County Compliance

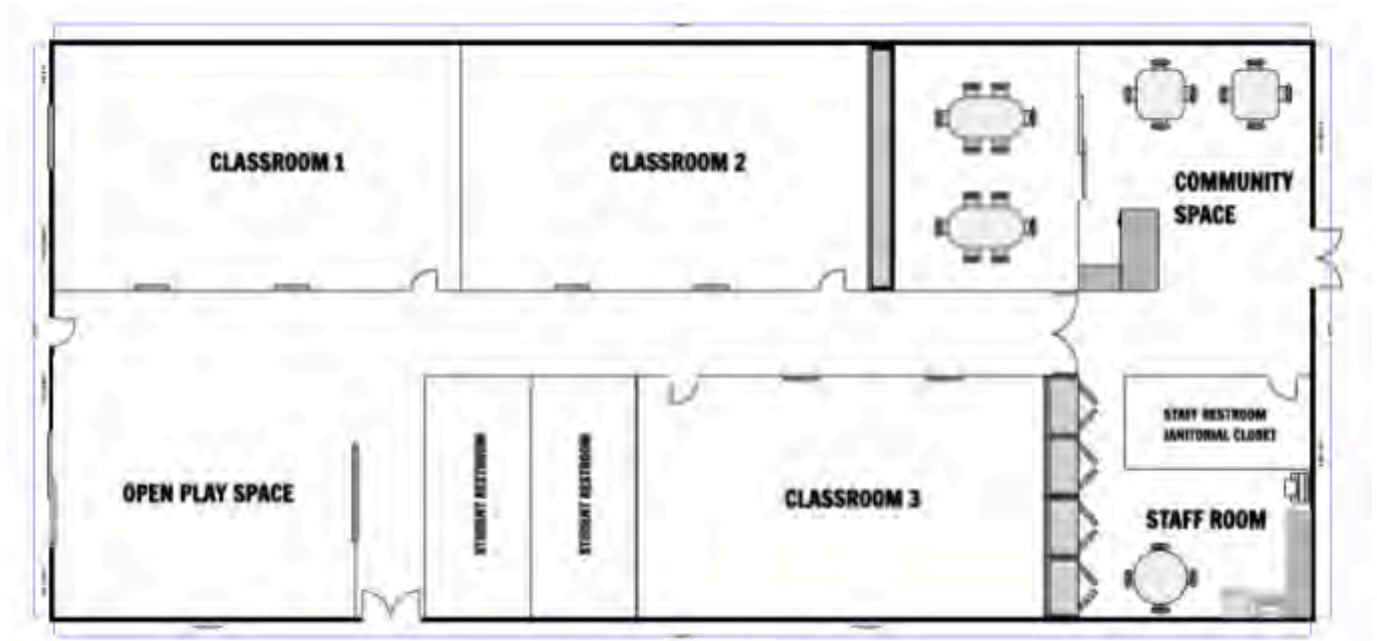
Community Impact. Arts in Action built and moved into our current school facilities located at 5115 Via Corona at the beginning of the 2019-2020 school year. 5140 and 5136 Via Corona are directly across the street from our school, and due to the proximity a community impact assessment is not needed. The need not to have a Community Impact assessment was confirmed by the Charter school Division. That being said, we have collected community and family input in a variety of ways. We have had public hearings for Community Schools planning, and have used parent feedback from surveys to determine our priorities. One of the priorities of Hilda Solis when we moved to Via Corona was the ability for community resources and engagement, and this will help fulfill this promise. We will continue working with the community and our families throughout the planning process.

Safety. Safety is our top priority. Our site already has a crossing guard, but LA County is conducting another traffic study on our behalf to determine whether we can qualify for speed bumps as well. In addition, the buildings across the street will have the same level of safety as our current building, which was built specifically for our elementary school and elementary aged children. The renovations to the new buildings will be compliant with the bathroom and safety requirements for children in TK. The architects and construction team that we will be working with have extensive school experience, and the architects are the same firm that designed our elementary school. The school will have central heating and ac, high efficiency particulate filters, bullet resistance exterior doors, etc. The school will have the required certificates of occupancy prior to using the space. The projected completion date with certificates of occupancy is in mid-July. Buffer time is included in the planned timeline for completion of the renovations, but if the project is considerably delayed for unforeseen circumstances, the school has a plan for the interim.

Use of Space: 5140 Via Corona is leased for our Schools in Action School Food Authority, which is run by Schools in Action's charter management organization. Schools in Action supports the meal programs for forty public charter schools. The SFA will be using the building for the School Food Authority central office staff. The building will also have a meal preparation area for making breakfasts and a cafeteria. If we receive approval to use 5140 for students, the students would use the cafeteria.

5136 Via Corona will be used to house our parent engagement and community resource center. There will also be space for parent meetings. If the material revision is approved, we would also have three classrooms and a therapeutic play area. Two

classrooms would be used for Transitional kindergarten, and one classroom would be used for small group work and special education providers. Special education service providers primarily push-in for special education services, but space is also needed for pullout services as dictated by the students' IEPs. Please see below for a floor plan. The space will be developmentally appropriate and the facilities will be brand new, as significant renovation is part of the construction plan.



Timeline. We hope to obtain permission from the LAUSD board and Charter School Division as soon as possible. The buildings will be renovated for community and meal program purposes, but it would be incredibly valuable for us to also be able to provide instructional services to students, and we hope to receive approval and support from LAUSD to allow us to provide student services at 5140 and 5136 Via Corona.

Thank you very much for your time and consideration.

Kalin Balcomb, Ed.D.
Executive Director
Schools in Action
kalinb@artsinactioncharter.org



STANDARD INDUSTRIAL/COMMERCIAL SINGLE-TENANT LEASE - NET (DO NOT USE THIS FORM FOR MULTI-TENANT BUILDINGS)

1. Basic Provisions ("Basic Provisions").

1.1 **Parties.** This Lease ("Lease"), dated ~~for reference purposes only~~ February 2, 2024 ("Effective Date"), is made by and between Via Corona, LLC, a California limited liability company ("Lessor") and Schools in Action, a California nonprofit public benefit corporation d.b.a. Arts in Action Community Charter School, Arts in Action Middle School, and Schools in Action School Food Authority ("Lessee"), (collectively the "Parties," or individually a "Party").

1.2 **Premises:** That certain real property, including all improvements therein or to be provided by Lessor under the terms of this Lease, commonly known as (street address, city, state, zip): 5136-5140 Via Corona Street, Los Angeles, California 90022 ("Premises"). The Premises are located in the County of Los Angeles, and are generally described as (describe briefly the nature of the property and, if applicable, the "Project," if the property is located within a Project): Approximately 11,330 SF (per public record) of commercial warehouse space (consisting of approximately 6,016 sf building at 5136 Via Corona (now vacant) and approximately 5,314 sf building at 5140 Via Corona (now occupied), on approximately 14,769 SF of land. (See also Paragraph 2)

1.3 **Term:** Fifteen (15) years and Zero (0) months ("Original Term") commencing (see Paragraph 57) ("Commencement Date") and ending fifteen (15) years from the Commencement Date ("Expiration Date"). (See also Paragraph 3)

1.4 **Early Possession:** If the Premises are available Lessee may have non-exclusive possession of the Premises commencing None ("Early Possession Date"). (See also Paragraphs 3.2 and 3.3)

1.5 **Base Rent:** \$18,014.70 per month ("Base Rent"), payable on the first day of each month commencing on the Rent Commencement Date (as defined herein). (See also Paragraph 4)

☒ If this box is checked, there are provisions in this Lease for the Base Rent to be adjusted. See Paragraph 60.

1.6 Base Rent and Other Monies Paid Upon Execution (See Paragraph 59):

- (a) **Base Rent:** 0 for the period _____.
- (b) **Security Deposit:** \$27,248.85 ("Security Deposit"). (See also Paragraph 5)
- (c) **Association Fees:** _____ for the period _____.
- (d) **Other:** _____ for _____.
- (e) **Total Due Upon Execution of this Lease:** \$27,248.85 (See Paragraph 59 Prepaid Rent).

1.7 Agreed Use: Lessee's operation of a charter school, school meal program, and related accessory uses. (See also Paragraph 6)

1.8 **Insuring Party.** Lessor is the "Insuring Party" unless otherwise stated herein. (See also Paragraph 8)

1.9 Real Estate Brokers. (See also Paragraph 15 and 25)

(a) **Representation:** Each Party acknowledges receiving a Disclosure Regarding Real Estate Agency Relationship, confirms and consents to the following agency relationships in this Lease with the following real estate brokers ("Broker(s)") and/or their agents ("Agent(s)"):

Lessor's Brokerage Firm _____ License No. _____ Is the broker of (check one): the Lessor; or both the Lessee and Lessor (dual agent).

Lessor's Agent _____ License No. _____ is (check one): the Lessor's Agent (salesperson or broker associate); or both the Lessee's Agent and the Lessor's Agent (dual agent).

Lessee's Brokerage Firm Kidder Mathews of California, Inc. License No. 01946490 Is the broker of (check one): the Lessee; or ☒ both the Lessee and Lessor (dual agent).

Lessee's Agent Christopher Steck License No. 01841338 is (check one): ☒ the Lessee's Agent (salesperson or broker associate);

or both the Lessee's Agent and the Lessor's Agent (dual agent).

(b) **Payment to Brokers.** Upon execution and delivery of this Lease by both Parties, Lessor shall pay to the Brokers the brokerage fee agreed to in a separate written agreement ~~(or if there is no such agreement, the sum of _____ or _____ % of the total Base Rent) for the brokerage services rendered by the Brokers.~~

~~1.10 **Guarantor.** The obligations of the Lessee under this Lease are to be guaranteed by _____ ("Guarantor"). (See also Paragraph 27).~~

1.11 Attachments. Attached hereto are the following, all of which constitute a part of this Lease: an

☒ Addendum consisting of Paragraphs 51 through 63;

a plot plan depicting the Premises;

a current set of the Rules and Regulations;

a Work Letter;

☒ other (specify): Paragraph 64. Option to Extend.

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2. Premises.

2.1 Letting. Lessor hereby leases to Lessee, and Lessee hereby leases from Lessor, the Premises, for the term, at the rental, and upon all of the terms, covenants and conditions set forth in this Lease. While the approximate square footage of the Premises may have been used in the marketing of the Premises for purposes of comparison, the Base Rent stated herein is NOT tied to square footage and is not subject to adjustment should the actual size be determined to be different. **NOTE: Lessee is advised to verify the actual size prior to executing this Lease.**

2.2 Condition. ~~Lessor shall deliver the Premises to Lessee broom clean and free of debris on the Commencement Date or the Early Possession Date, whichever first occurs ("Start Date"), and, so long as the required service contracts described in Paragraph 7.1(b) below are obtained by Lessee and in effect within thirty days following the Start Date, warrants that the existing electrical, plumbing, fire sprinkler, lighting, heating, ventilating and air conditioning systems ("HVAC"), loading doors, sump pumps, if any, and all other such elements in the Premises, other than those constructed by Lessee, shall be in good operating condition on said date, that the structural elements of the roof, bearing walls and foundation of any buildings on the Premises (the "Building") shall be free of material defects, and that the Premises do not contain hazardous levels of any mold or fungi defined as toxic under applicable state or federal law. If a non-compliance with said warranty exists as of the Start Date, or if one of such systems or elements should malfunction or fail within the appropriate warranty period, Lessor shall, as Lessor's sole obligation with respect to such matter, except as otherwise provided in this Lease, promptly after receipt of written notice from Lessee setting forth with specificity the nature and extent of such non-compliance, malfunction or failure, rectify same at Lessor's expense. The warranty periods shall be as follows: (i) 6 months as to the HVAC systems; and (ii) 30 days as to the remaining systems and other elements of the Building. If Lessee does not give Lessor the required notice within the appropriate warranty period, correction of any such non-compliance, malfunction or failure shall be the obligation of Lessee at Lessee's sole cost and expense. Lessor also warrants, that unless otherwise specified in writing, Lessor is unaware of (i) any recorded Notices of Default affecting the Premise; (ii) any delinquent amounts due under any loan secured by the Premises; and (iii) any bankruptcy proceeding affecting the Premises. See Addendum paragraph 56.~~

2.3 Compliance. Lessor warrants that to the best of its knowledge the improvements on the Premises comply with the building codes, applicable laws, covenants or restrictions of record, regulations, and ordinances ("**Applicable Requirements**") that were in effect at the time that each improvement, or portion thereof, was constructed. Said warranty does not apply to the use to which Lessee will put the Premises, modifications which may be required by the Americans with Disabilities Act or any similar laws as a result of Lessee's use (see Paragraph 50), or to any Alterations or Utility Installations (as defined in Paragraph 7.3(a)) made or to be made by Lessee. **NOTE: Lessee is responsible for determining whether or not the Applicable Requirements, and especially the zoning, are appropriate for Lessee's intended use, and acknowledges that past uses of the Premises may no longer be allowed.** If the Premises do not comply with said warranty, Lessor shall, except as otherwise provided, promptly after receipt of written notice from Lessee setting forth with specificity the nature and extent of such non-compliance, rectify the same at Lessor's expense. If Lessee does not give Lessor written notice of a non-compliance with this warranty within 6 months following the Commencement Date, correction of that non-compliance shall be the obligation of Lessee at Lessee's sole cost and expense. If the Applicable Requirements are hereafter changed so as to require during the term of this Lease the construction of an addition to or an alteration of the Premises and/or Building, the remediation of any Hazardous Substance, or the reinforcement or other physical modification of the Unit, Premises and/or Building ("**Capital Expenditure**"), Lessor and Lessee shall allocate the cost of such work as follows:

(a) Subject to Paragraph 2.3(c) below, if such Capital Expenditures are required as a result of the specific and unique use of the Premises by Lessee as compared with uses by Lessees in general, Lessee shall be fully responsible for the cost thereof, provided, however, that if such Capital Expenditure is required during the last 2 years of this Lease and the cost thereof exceeds 6 months' Base Rent, Lessee may instead terminate this Lease unless Lessor notifies Lessee, in writing, within 10 days after receipt of Lessee's termination notice that Lessor has elected to pay the difference between the actual cost thereof and an amount equal to 6 months' Base Rent. If Lessee elects termination, Lessee shall immediately cease the use of the Premises which requires such Capital Expenditure and deliver to Lessor written notice specifying a termination date at least 90 days thereafter. Such termination date shall, however, in no event be earlier than the last day that Lessee could legally utilize the Premises without commencing such Capital Expenditure.

(b) If such Capital Expenditure is not the result of the specific and unique use of the Premises by Lessee (such as, governmentally mandated seismic modifications), then Lessor shall pay for such Capital Expenditure and Lessee shall only be obligated to pay, each month during the remainder of the term of this Lease or any extension thereof, on the date that on which the Base Rent is due, an amount equal to 1/144th of the portion of such costs reasonably attributable to the Premises. Lessee shall pay Interest on the balance but may prepay its obligation at any time. If, however, such Capital Expenditure is required during the last 2 years of this Lease or if Lessor reasonably determines that it is not economically feasible to pay its share thereof, Lessor shall have the option to terminate this Lease upon 90 days prior written notice to Lessee unless Lessee notifies Lessor, in writing, within 10 days after receipt of Lessor's termination notice that Lessee will pay for such Capital Expenditure. If Lessor does not elect to terminate, and fails to tender its share of any such Capital Expenditure, Lessee may advance such funds and deduct same, with interest, from Rent until Lessor's share of such costs have been fully paid. If Lessee is unable to finance Lessor's share, or if the balance of the Rent due and payable for the remainder of this Lease is not sufficient to fully reimburse Lessee on an offset basis, Lessee shall have the right to terminate this Lease upon 30 days written notice to Lessor.

(c) Notwithstanding the above, the provisions concerning Capital Expenditures are intended to apply only to non-voluntary, unexpected, and new Applicable Requirements. If the Capital Expenditures are instead triggered by Lessee as a result of an actual or proposed change in use, change in intensity of use, or modification to the Premises then, and in that event, Lessee shall either: (i) immediately cease such changed use or intensity of use and/or take such other steps as may be necessary to eliminate the requirement for such Capital Expenditure, or (ii) complete such Capital Expenditure at its own expense. Lessee shall not, however, have any right to terminate this Lease.

2.4 Acknowledgements. Lessee acknowledges that: (a) it has been given an opportunity to inspect and measure the Premises, (b) it has been advised by Lessor and/or Brokers to satisfy itself with respect to the size and condition of the Premises (including but not limited to the electrical, HVAC and fire sprinkler systems, security, environmental aspects, and compliance with Applicable Requirements and the Americans with Disabilities Act), and their suitability for Lessee's intended use, (c) Lessee has made such investigation as it deems necessary with reference to such matters and assumes all responsibility therefor as the same relate to its occupancy of the Premises, (d) it is not relying on any representation as to the size of the Premises made by Brokers or Lessor, (e) the square footage of the Premises was not material to Lessee's decision to lease the Premises and pay the Rent stated herein, and (f) neither Lessor, Lessor's agents, nor Brokers have made any oral or written representations or warranties with respect to said matters other than as set forth in this Lease. In addition, Lessor acknowledges that: (i) Brokers have made no representations, promises or warranties concerning Lessee's ability to honor the Lease or suitability to occupy the Premises, and (ii) it is Lessor's sole responsibility to investigate the financial capability and/or suitability of all proposed Lessees.

2.5 Lessee as Prior Owner/Occupant. The warranties made by Lessor in Paragraph 2 shall be of no force or effect if immediately prior to the Start Date Lessee was the owner or occupant of the Premises. In such event, Lessee shall be responsible for any necessary corrective work.

3. Term.

3.1 Term. The Commencement Date, Expiration Date and Original Term of this Lease are as specified in Paragraph 1.3.

3.2 Early Possession. Any provision herein granting Lessee Early Possession of the Premises is subject to and conditioned upon the Premises being available for such possession prior to the Commencement Date. Any grant of Early Possession only conveys a non-exclusive right to occupy the Premises. If Lessee totally or partially occupies the Premises prior to the Commencement Date, the obligation to pay Base Rent shall be abated for the period of such Early Possession. All other terms of this Lease (including but not limited to the obligations to pay Real Property Taxes and insurance premiums and to maintain the Premises) shall be in effect.

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during such period. Any such Early Possession shall not affect the Expiration Date.

3.3 Delay In Possession. Lessor agrees to use commercially reasonable efforts to deliver exclusive possession of the Premises to Lessee by the Commencement Date. If, despite said efforts, Lessor is unable to deliver possession by such date, Lessor shall not be subject to any liability therefor, nor shall such failure affect the validity of this Lease or change the Expiration Date. Lessee shall not, however, be obligated to pay Rent or perform its other obligations until Lessor delivers possession of the Premises and any period of rent abatement that Lessee would otherwise have enjoyed shall run from the date of delivery of possession and continue for a period equal to what Lessee would otherwise have enjoyed under the terms hereof, but minus any days of delay caused by the acts or omissions of Lessee. If possession is not delivered within 60 days after the Commencement Date, as the same may be extended under the terms of any Work Letter executed by Parties, Lessee may, at its option, by notice in writing within 10 days after the end of such 60 day period, cancel this Lease, in which event the Parties shall be discharged from all obligations hereunder. If such written notice is not received by Lessor within said 10 day period, Lessee's right to cancel shall terminate. If possession of the Premises is not delivered within 120 days after the Commencement Date, this Lease shall terminate unless other agreements are reached between Lessor and Lessee, in writing.

3.4 Lessee Compliance. Lessor shall not be required to tender possession of the Premises to Lessee until Lessee complies with its obligation to provide evidence of insurance (Paragraph 8.5). Pending delivery of such evidence, Lessee shall be required to perform all of its obligations under this Lease from and after the Start Date, including the payment of Rent, notwithstanding Lessor's election to withhold possession pending receipt of such evidence of insurance. Further, if Lessee is required to perform any other conditions prior to or concurrent with the Start Date, the Start Date shall occur but Lessor may elect to withhold possession until such conditions are satisfied.

4. Rent.

4.1 Rent Defined. All monetary obligations of Lessee to Lessor under the terms of this Lease (except for the Security Deposit) are deemed to be rent ("**Rent**").

4.2 Payment. Lessee shall cause payment of Rent to be received by Lessor in lawful money of the United States, without offset or deduction (except as specifically permitted in this Lease), on or before the day on which it is due. All monetary amounts shall be rounded to the nearest whole dollar. In the event that any invoice prepared by Lessor is inaccurate such inaccuracy shall not constitute a waiver and Lessee shall be obligated to pay the amount set forth in this Lease. Rent for any period during the term hereof which is for less than one full calendar month shall be prorated based upon the actual number of days of said month. Payment of Rent shall be made to Lessor at its address stated herein or to such other persons or place as Lessor may from time to time designate in writing. Acceptance of a payment which is less than the amount then due shall not be a waiver of Lessor's rights to the balance of such Rent, regardless of Lessor's endorsement of any check so stating. In the event that any check, draft, or other instrument of payment given by Lessee to Lessor is dishonored for any reason, Lessee agrees to pay to Lessor the sum of \$25 in addition to any Late Charge and Lessor, at its option, may require all future Rent be paid by cashier's check. Payments will be applied first to accrued late charges and attorney's fees, second to accrued interest, then to Base Rent, Insurance and Real Property Taxes, and any remaining amount to any other outstanding charges or costs.

4.3 Association Fees. In addition to the Base Rent, Lessee shall pay to Lessor each month an amount equal to any owner's association or condominium fees levied or assessed against the Premises. Said monies shall be paid at the same time and in the same manner as the Base Rent.

5. Security Deposit. Lessee shall deposit with Lessor upon execution hereof the Security Deposit as security for Lessee's faithful performance of its obligations under this Lease. If Lessee fails to pay Rent, or otherwise Defaults under this Lease, Lessor may use, apply or retain all or any portion of said Security Deposit for the payment of any amount already due Lessor, for Rents which will be due in the future, and/or to reimburse or compensate Lessor for any liability, expense, loss or damage which Lessor may suffer or incur by reason thereof. If Lessor uses or applies all or any portion of the Security Deposit, Lessee shall within 10 days after written request therefor deposit monies with Lessor sufficient to restore said Security Deposit to the full amount required by this Lease. If the Base Rent increases during the term of this Lease, Lessee shall, upon written request from Lessor, deposit additional monies with Lessor so that the total amount of the Security Deposit shall at all times bear the same proportion to the increased Base Rent as the initial Security Deposit bore to the initial Base Rent. Should the Agreed Use be amended to accommodate a material change in the business of Lessee or to accommodate a sublessee or assignee, Lessor shall have the right to increase the Security Deposit to the extent necessary, in Lessor's reasonable judgment, to account for any increased wear and tear that the Premises may suffer as a result thereof. If a change in control of Lessee occurs during this Lease and following such change the financial condition of Lessee is, in Lessor's reasonable judgment, significantly reduced, Lessee shall deposit such additional monies with Lessor as shall be sufficient to cause the Security Deposit to be at a commercially reasonable level based on such change in financial condition. Lessor shall not be required to keep the Security Deposit separate from its general accounts. Within 90 days after the expiration or termination of this Lease, Lessor shall return that portion of the Security Deposit not used or applied by Lessor. Lessor shall upon written request provide Lessee with an accounting showing how that portion of the Security Deposit that was not returned was applied. No part of the Security Deposit shall be considered to be held in trust, to bear interest or to be prepayment for any monies to be paid by Lessee under this Lease. THE SECURITY DEPOSIT SHALL NOT BE USED BY LESSEE IN LIEU OF PAYMENT OF THE LAST MONTH'S RENT.

6. Use.

6.1 Use. Lessee shall use and occupy the Premises only for the Agreed Use, or any other legal use which is reasonably comparable thereto, and for no other purpose. Lessee shall not use or permit the use of the Premises in a manner that is unlawful, creates damage, waste or a nuisance, or that disturbs occupants of or causes damage to neighboring premises or properties. Other than guide, signal and seeing eye dogs, Lessee shall not keep or allow in the Premises any pets, animals, birds, fish, or reptiles. Lessor shall not unreasonably withhold or delay its consent to any written request for a modification of the Agreed Use, so long as the same will not impair the structural integrity of the improvements on the Premises or the mechanical or electrical systems therein, and/or is not significantly more burdensome to the Premises. If Lessor elects to withhold consent, Lessor shall within 7 days after such request give written notification of same, which notice shall include an explanation of Lessor's objections to the change in the Agreed Use.

6.2 Hazardous Substances.

(a) **Reportable Uses Require Consent.** The term "**Hazardous Substance**" as used in this Lease shall mean any product, substance, or waste whose presence, use, manufacture, disposal, transportation, or release, either by itself or in combination with other materials expected to be on the Premises, is either: (i) potentially injurious to the public health, safety or welfare, the environment or the Premises, (ii) regulated or monitored by any governmental authority, or (iii) a basis for potential liability of Lessor to any governmental agency or third party under any applicable statute or common law theory. Hazardous Substances shall include, but not be limited to, hydrocarbons, petroleum, gasoline, and/or crude oil or any products, byproducts or fractions thereof. Lessee shall not engage in any activity in or on the Premises which constitutes a Reportable Use of Hazardous Substances without the express prior written consent of Lessor and timely compliance (at Lessee's expense) with all Applicable Requirements. "**Reportable Use**" shall mean (i) the installation or use of any above or below ground storage tank, (ii) the generation, possession, storage, use, transportation, or disposal of a Hazardous Substance that requires a permit from, or with respect to which a report, notice, registration or business plan is required to be filed with, any governmental authority, and/or (iii) the presence at the Premises of a Hazardous Substance with respect to which any Applicable Requirements requires that a notice be given to persons entering or occupying the Premises or neighboring properties. Notwithstanding the foregoing, Lessee may use any ordinary and customary materials reasonably required to be used in the normal course of the Agreed Use, ordinary office supplies (copier paper, liquid paper, glue, etc.) and common household cleaning materials, so long as such use is in compliance with all Applicable Requirements, is not a Reportable Use,

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and does not expose the Premises or neighboring property to any meaningful risk of contamination or damage or expose Lessor to any liability therefor. In addition, Lessor may condition its consent to any Reportable Use upon receiving such additional assurances as Lessor reasonably deems necessary to protect itself, the public, the Premises and/or the environment against damage, contamination, injury and/or liability, including, but not limited to, the installation (and removal on or before Lease expiration or termination) of protective modifications (such as concrete encasements) and/or increasing the Security Deposit.

(b) **Duty to Inform Lessor.** If Lessee knows, or has reasonable cause to believe, that a Hazardous Substance has come to be located in, on, under or about the Premises, other than as previously consented to by Lessor, Lessee shall immediately give written notice of such fact to Lessor, and provide Lessor with a copy of any report, notice, claim or other documentation which it has concerning the presence of such Hazardous Substance.

(c) **Lessee Remediation.** Lessee shall not cause or permit any Hazardous Substance to be spilled or released in, on, under, or about the Premises (including through the plumbing or sanitary sewer system) and shall promptly, at Lessee's expense, comply with all Applicable Requirements and take all investigatory and/or remedial action reasonably recommended, whether or not formally ordered or required, for the cleanup of any contamination of, and for the maintenance, security and/or monitoring of the Premises or neighboring properties, that was caused or materially contributed to by Lessee, or pertaining to or involving any Hazardous Substance brought onto the Premises during the term of this Lease, by or for Lessee, or any third party.

(d) **Lessee Indemnification.** Lessee shall indemnify, defend and hold Lessor, its agents, employees, lenders and ground lessor, if any, harmless from and against any and all loss of rents and/or damages, liabilities, judgments, claims, expenses, penalties, and attorneys' fees arising out of or involving any Hazardous Substance brought onto the Premises by or for Lessee, or any third party (provided, however, that Lessee shall have no liability under this Lease with respect to underground migration of any Hazardous Substance under the Premises from adjacent properties not caused or contributed to by Lessee). Lessee's obligations shall include, but not be limited to, the effects of any contamination or injury to person, property or the environment created or suffered by Lessee, and the cost of investigation, removal, remediation, restoration and/or abatement, and shall survive the expiration or termination of this Lease. **No termination, cancellation or release agreement entered into by Lessor and Lessee shall release Lessee from its obligations under this Lease with respect to Hazardous Substances, unless specifically so agreed by Lessor in writing at the time of such agreement.**

(e) **Lessor Indemnification.** Except as otherwise provided in paragraph 8.7, Lessor and its successors and assigns shall indemnify, defend, reimburse and hold Lessee, its employees and lenders, harmless from and against any and all environmental damages, including the cost of remediation, which result from Hazardous Substances which existed on the Premises prior to Lessee's occupancy or which are caused by the gross negligence or willful misconduct of Lessor, its agents or employees. Lessor's obligations, as and when required by the Applicable Requirements, shall include, but not be limited to, the cost of investigation, removal, remediation, restoration and/or abatement, and shall survive the expiration or termination of this Lease.

(f) **Investigations and Remediations.** Lessor shall retain the responsibility and pay for any investigations or remediation measures required by governmental entities having jurisdiction with respect to the existence of Hazardous Substances on the Premises prior to Lessee's occupancy, unless such remediation measure is required as a result of Lessee's use (including "Alterations", as defined in paragraph 7.3(a) below) of the Premises, in which event Lessee shall be responsible for such payment. Lessee shall cooperate fully in any such activities at the request of Lessor, including allowing Lessor and Lessor's agents to have reasonable access to the Premises at reasonable times in order to carry out Lessor's investigative and remedial responsibilities.

(g) **Lessor Termination Option.** If a Hazardous Substance Condition (see Paragraph 9.1(e)) occurs during the term of this Lease, unless Lessee is legally responsible therefor (in which case Lessee shall make the investigation and remediation thereof required by the Applicable Requirements and this Lease shall continue in full force and effect, but subject to Lessor's rights under Paragraph 6.2(d) and Paragraph 13), Lessor may, at Lessor's option, either (i) investigate and remediate such Hazardous Substance Condition, if required, as soon as reasonably possible at Lessor's expense, in which event this Lease shall continue in full force and effect, or (ii) if the estimated cost to remediate such condition exceeds 12 times the then monthly Base Rent or \$100,000, whichever is greater, give written notice to Lessee, within 30 days after receipt by Lessor of knowledge of the occurrence of such Hazardous Substance Condition, of Lessor's desire to terminate this Lease as of the date 60 days following the date of such notice. In the event Lessor elects to give a termination notice, Lessee may, within 10 days thereafter, give written notice to Lessor of Lessee's commitment to pay the amount by which the cost of the remediation of such Hazardous Substance Condition exceeds an amount equal to 12 times the then monthly Base Rent or \$100,000, whichever is greater. Lessee shall provide Lessor with said funds or satisfactory assurance thereof within 30 days following such commitment. In such event, this Lease shall continue in full force and effect, and Lessor shall proceed to make such remediation as soon as reasonably possible after the required funds are available. If Lessee does not give such notice and provide the required funds or assurance thereof within the time provided, this Lease shall terminate as of the date specified in Lessor's notice of termination.

6.3 Lessee's Compliance with Applicable Requirements. Except as otherwise provided in this Lease, Lessee shall, at Lessee's sole expense, fully, diligently and in a timely manner, materially comply with all Applicable Requirements, the requirements of any applicable fire insurance underwriter or rating bureau, and the recommendations of Lessor's engineers and/or consultants which relate in any manner to the Premises, without regard to whether said Applicable Requirements are now in effect or become effective after the Start Date. Lessee shall, within 10 days after receipt of Lessor's written request, provide Lessor with copies of all permits and other documents, and other information evidencing Lessee's compliance with any Applicable Requirements specified by Lessor, and shall immediately upon receipt, notify Lessor in writing (with copies of any documents involved) of any threatened or actual claim, notice, citation, warning, complaint or report pertaining to or involving the failure of Lessee or the Premises to comply with any Applicable Requirements. Likewise, Lessee shall immediately give written notice to Lessor of: (i) any water damage to the Premises and any suspected seepage, pooling, dampness or other condition conducive to the production of mold; or (ii) any mustiness or other odors that might indicate the presence of mold in the Premises. In addition, Lessee shall provide copies of all relevant material safety data sheets (**MSDS**) to Lessor within 10 days of the receipt of a written request therefor. In addition, Lessee shall provide Lessor with copies of its business license, certificate of occupancy and/or any similar document within 10 days of the receipt of a written request therefor.

6.4 Inspection; Compliance. Lessor and Lessor's "Lender" (as defined in Paragraph 30) and consultants authorized by Lessor shall have the right to enter into Premises at any time in the case of an emergency, and otherwise at reasonable times after reasonable notice, for the purpose of inspecting and/or testing the condition of the Premises and/or for verifying compliance by Lessee with this Lease. The cost of any such inspections shall be paid by Lessor, unless a violation of Applicable Requirements, or a Hazardous Substance Condition (see paragraph 9.1(e)) is found to exist or be imminent, or the inspection is requested or ordered by a governmental authority. In such case, Lessee shall upon request reimburse Lessor for the cost of such inspection, so long as such inspection is reasonably related to the violation or contamination. In addition, Lessee shall provide copies of all relevant material safety data sheets (**MSDS**) to Lessor within 10 days of the receipt of a written request therefor. Lessee acknowledges that any failure on its part to allow such inspections or testing will expose Lessor to risks and potentially cause Lessor to incur costs not contemplated by this Lease, the extent of which will be extremely difficult to ascertain. Accordingly, should the Lessee fail to allow such inspections and/or testing in a timely fashion the Base Rent shall be automatically increased, without any requirement for notice to Lessee, by an amount equal to 10% of the then existing Base Rent or \$100, whichever is greater for the remainder to the Lease. The Parties agree that such increase in Base Rent represents fair and reasonable compensation for the additional risk/costs that Lessor will incur by reason of Lessee's failure to allow such inspection and/or testing. Such increase in Base Rent shall in no event constitute a waiver of Lessee's Default or Breach with respect to such failure nor prevent the exercise of any of the other rights and remedies granted hereunder.

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7. Maintenance; Repairs; Utility Installations; Trade Fixtures and Alterations.**7.1 Lessee's Obligations.**

(a) **In General.** Subject to the provisions of Paragraph 2.2 (Condition), 2.3 (Compliance), 6.3 (Lessee's Compliance with Applicable Requirements), 7.2 (Lessor's Obligations), 9 (Damage or Destruction), and 14 (Condemnation), Lessee shall, at Lessee's sole expense, keep the Premises, Utility Installations (intended for Lessee's exclusive use, no matter where located), and Alterations in good order, condition and repair (whether or not the portion of the Premises requiring repairs, or the means of repairing the same, are reasonably or readily accessible to Lessee, and whether or not the need for such repairs occurs as a result of Lessee's use, any prior use, the elements or the age of such portion of the Premises), including, but not limited to, all equipment or facilities, such as plumbing, HVAC equipment, electrical, lighting facilities, boilers, pressure vessels, fire protection system, fixtures, walls (interior and exterior), foundations, ceilings, roofs, roof drainage systems, floors, windows, doors, plate glass, skylights, landscaping, driveways, parking lots, fences, retaining walls, signs, sidewalks and parkways located in, on, or adjacent to the Premises. Lessee, in keeping the Premises in good order, condition and repair, shall exercise and perform good maintenance practices, specifically including the procurement and maintenance of the service contracts required by Paragraph 7.1(b) below. Lessee's obligations shall include restorations, replacements or renewals when necessary to keep the Premises and all improvements thereon or a part thereof in good order, condition and state of repair. Lessee shall, during the term of this Lease, keep the exterior appearance of the Building in a first-class condition (including, e.g. graffiti removal) consistent with the exterior appearance of other similar facilities of comparable age and size in the vicinity, including, when necessary, the exterior repainting of the Building.

(b) **Service Contracts.** Lessee shall, at Lessee's sole expense, procure and maintain contracts, with copies to Lessor, in customary form and substance for, and with contractors specializing and experienced in the maintenance of the following equipment and improvements, if any, if and when installed on the Premises: (i) HVAC equipment, (ii) boiler, and pressure vessels, (iii) fire extinguishing systems, including fire alarm and/or smoke detection, (iv) landscaping and irrigation systems, (v) roof covering and drains, and (vi) clarifiers. However, Lessor reserves the right, upon notice to Lessee, to procure and maintain any or all of such service contracts, and Lessee shall reimburse Lessor, upon demand, for the cost thereof.

(c) **Failure to Perform.** If Lessee fails to perform Lessee's obligations under this Paragraph 7.1, Lessor may enter upon the Premises after 10 days' prior written notice to Lessee (except in the case of an emergency, in which case no notice shall be required), perform such obligations on Lessee's behalf, and put the Premises in good order, condition and repair, and Lessee shall promptly pay to Lessor a sum equal to 115% of the cost thereof.

(d) **Replacement.** Subject to Lessee's indemnification of Lessor as set forth in Paragraph 8.7 below, and without relieving Lessee of liability resulting from Lessee's failure to exercise and perform good maintenance practices, if an item described in Paragraph 7.1(b) cannot be repaired other than at a cost which is in excess of 50% of the cost of replacing such item, then such item shall be replaced by Lessor, and the cost thereof shall be prorated between the Parties and Lessee shall only be obligated to pay, each month during the remainder of the term of this Lease or any extension thereof, on the date on which Base Rent is due, an amount equal to the product of multiplying the cost of such replacement by a fraction, the numerator of which is one, and the denominator of which is 144 (i.e. 1/144th of the cost per month). Lessee shall pay Interest on the unamortized balance but may prepay its obligation at any time.

7.2 Lessor's Obligations. Subject to the provisions of Paragraphs 2.2 (Condition), 2.3 (Compliance), 9 (Damage or Destruction) and 14 (Condemnation), it is intended by the Parties hereto that Lessor have no obligation, in any manner whatsoever, to repair and maintain the Premises, or the equipment therein, all of which obligations are intended to be that of the Lessee. It is the intention of the Parties that the terms of this Lease govern the respective obligations of the Parties as to maintenance and repair of the Premises. Lessor shall have the repair and maintenance obligations set forth in the Addendum, paragraph 54.

7.3 Utility Installations; Trade Fixtures; Alterations.

(a) **Definitions.** The term "Utility Installations" refers to all floor and window coverings, air and/or vacuum lines, power panels, electrical distribution, security and fire protection systems, communication cabling, lighting fixtures, HVAC equipment, plumbing, and fencing in or on the Premises. The term "Trade Fixtures" shall mean Lessee's machinery and equipment that can be removed without doing material damage to the Premises. The term "Alterations" shall mean any modification of the improvements, other than Utility Installations or Trade Fixtures, whether by addition or deletion. "Lessee Owned Alterations and/or Utility Installations" are defined as Alterations and/or Utility Installations made by Lessee that are not yet owned by Lessor pursuant to Paragraph 7.4(a).

(b) **Consent.** ~~Lessee shall not make any Alterations or Utility Installations to the Premises without Lessor's prior written consent. Lessee may, however, make non-structural Alterations or Utility Installations to the interior of the Premises (excluding the roof) without such consent but upon notice to Lessor, as long as they are not visible from the outside, do not involve puncturing, relocating or removing the roof or any existing walls, will not affect the electrical, plumbing, HVAC, and/or life safety systems, do not trigger the requirement for additional modifications and/or improvements to the Premises resulting from Applicable Requirements, such as compliance with Title 24, and the cumulative cost thereof during this Lease as extended does not exceed a sum equal to 3 month's Base Rent in the aggregate or a sum equal to one month's Base Rent in any one year. Notwithstanding the foregoing, Lessee shall not make or permit any roof penetrations and/or install anything on the roof without the prior written approval of Lessor. Lessor may, as a precondition to granting such approval, require Lessee to utilize a contractor chosen and/or approved by Lessor. Any Alterations or Utility Installations that Lessee shall desire to make and which require the consent of the Lessor shall be presented to Lessor in written form with detailed plans. Consent shall be deemed conditioned upon Lessee's: (i) acquiring all applicable governmental permits, (ii) furnishing Lessor with copies of both the permits and the plans and specifications prior to commencement of the work, and (iii) compliance with all conditions of said permits and other Applicable Requirements in a prompt and expeditious manner. Any Alterations or Utility Installations shall be performed in a workmanlike manner with good and sufficient materials. Lessee shall promptly upon completion furnish Lessor with as-built plans and specifications. For work which costs an amount in excess of one month's Base Rent, Lessor may condition its consent upon Lessee providing a lien and completion bond in an amount equal to 150% of the estimated cost of such Alteration or Utility Installation and/or upon Lessee's posting an additional Security Deposit with Lessor. See Addendum paragraph 55.~~

(c) **Liens; Bonds.** Lessee shall pay, when due, all claims for labor or materials furnished or alleged to have been furnished to or for Lessee at or for use on the Premises, which claims are or may be secured by any mechanic's or materialmen's lien against the Premises or any interest therein. Lessee shall give Lessor not less than 10 days notice prior to the commencement of any work in, on or about the Premises, and Lessor shall have the right to post notices of non-responsibility. If Lessee shall contest the validity of any such lien, claim or demand, then Lessee shall, at its sole expense defend and protect itself, Lessor and the Premises against the same and shall pay and satisfy any such adverse judgment that may be rendered thereon before the enforcement thereof. If Lessor shall require, Lessee shall furnish a surety bond in an amount equal to 150% of the amount of such contested lien, claim or demand, indemnifying Lessor against liability for the same. If Lessor elects to participate in any such action, Lessee shall pay Lessor's attorneys' fees and costs.

7.4 Ownership; Removal; Surrender; and Restoration.

(a) **Ownership.** ~~Subject to Lessor's right to require removal or elect ownership as hereinafter provided, all Alterations and Utility Installations made by Lessee shall be the property of Lessee, but considered a part of the Premises. Lessor may, at any time, elect in writing to be the owner of all or any specified part of the Lessee Owned Alterations and Utility Installations. Unless otherwise instructed per paragraph 7.4(b) hereof, all Lessee Owned Alterations and Utility Installations shall, at the expiration or termination of this Lease, become the property of Lessor and be surrendered by Lessee with the Premises. See Addendum paragraph 54.~~

(b) **Removal.** ~~By delivery to Lessee of written notice from Lessor not earlier than 90 and not later than 30 days prior to the end of the term of this Lease, Lessor may require that any or all Lessee Owned Alterations or Utility Installations be removed by the expiration or termination of this Lease. Lessor may require the removal at any time of all or any part of any Lessee Owned Alterations or Utility Installations made without the required consent. See Addendum paragraph 54.~~

(c) **Surrender; Restoration.** Lessee shall surrender the Premises by the Expiration Date or any earlier termination date, with all of the improvements, parts and surfaces thereof broom clean and free of debris, and in good operating order, condition and state of repair, ordinary wear and tear excepted.

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and tear" shall not include any damage or deterioration that would have been prevented by good maintenance practice. Notwithstanding the foregoing and the provisions of Paragraph 7.1(a), if the Lessee occupies the Premises for 12 months or less, then Lessee shall surrender the Premises in the same condition as delivered to Lessee on the Start Date with NO allowance for ordinary wear and tear. Lessee shall repair any damage occasioned by the installation, maintenance or removal of Trade Fixtures, Lessee owned Alterations and/or Utility Installations, furnishings, and equipment as well as the removal of any storage tank installed by or for Lessee. Lessee shall also completely remove from the Premises any and all Hazardous Substances brought onto the Premises by or for Lessee, or any third party (except Hazardous Substances which were deposited via underground migration from areas outside of the Premises) to the level specified in Applicable Requirements. Trade Fixtures shall remain the property of Lessee and shall be removed by Lessee. Any personal property of Lessee not removed on or before the Expiration Date or any earlier termination date shall be deemed to have been abandoned by Lessee and may be disposed of or retained by Lessor as Lessor may desire. The failure by Lessee to timely vacate the Premises pursuant to this Paragraph 7.4(c) without the express written consent of Lessor shall constitute a holdover under the provisions of Paragraph 26 below.

8. Insurance; Indemnity.

8.1 Payment For Insurance. Lessee shall pay for all insurance required under Paragraph 8 except to the extent of the cost attributable to liability insurance carried by Lessor under Paragraph 8.2(b) in excess of \$2,000,000 per occurrence. Premiums for policy periods commencing prior to or extending beyond the Lease term shall be prorated to correspond to the Lease term. Payment shall be made by Lessee to Lessor within 10 days following receipt of an invoice.

8.2 Liability Insurance.

(a) **Carried by Lessee.** Lessee shall obtain and keep in force a Commercial General Liability policy of insurance protecting Lessee and Lessor as an additional insured against claims for bodily injury, personal injury and property damage based upon or arising out of the ownership, use, occupancy or maintenance of the Premises and all areas appurtenant thereto. Such insurance shall be on an occurrence basis providing single limit coverage in an amount not less than \$1,000,000 per occurrence with an annual aggregate of not less than \$2,000,000. Lessee shall add Lessor as an additional insured by means of an endorsement at least as broad as the Insurance Service Organization's "Additional Insured-Managers or Lessors of Premises" Endorsement. The policy shall not contain any intra-insured exclusions as between insured persons or organizations, but shall include coverage for liability assumed under this Lease as an "insured contract" for the performance of Lessee's indemnity obligations under this Lease. The limits of said insurance shall not, however, limit the liability of Lessee nor relieve Lessee of any obligation hereunder. Lessee shall provide an endorsement on its liability policy(ies) which provides that its insurance shall be primary to and not contributory with any similar insurance carried by Lessor, whose insurance shall be considered excess insurance only.

(b) **Carried by Lessor.** Lessor shall maintain liability insurance as described in Paragraph 8.2(a), in addition to, and not in lieu of, the insurance required to be maintained by Lessee. Lessee shall not be named as an additional insured therein.

8.3 Property Insurance - Building, Improvements and Rental Value.

(a) **Building and Improvements.** The Insuring Party shall obtain and keep in force a policy or policies in the name of Lessor, with loss payable to Lessor, any ground-lessor, and to any Lender insuring loss or damage to the Premises. The amount of such insurance shall be equal to the full insurable replacement cost of the Premises, as the same shall exist from time to time, or the amount required by any Lender, but in no event more than the commercially reasonable and available insurable value thereof. Lessee Owned Alterations and Utility Installations, Trade Fixtures, and Lessee's personal property shall be insured by Lessee not by Lessor. If the coverage is available and commercially appropriate, such policy or policies shall insure against all risks of direct physical loss or damage (except the perils of flood and/or earthquake unless required by a Lender), including coverage for debris removal and the enforcement of any Applicable Requirements requiring the upgrading, demolition, reconstruction or replacement of any portion of the Premises as the result of a covered loss. Said policy or policies shall also contain an agreed valuation provision in lieu of any coinsurance clause, waiver of subrogation, and inflation guard protection causing an increase in the annual property insurance coverage amount by a factor of not less than the adjusted U.S. Department of Labor Consumer Price Index for All Urban Consumers for the city nearest to where the Premises are located. If such insurance coverage has a deductible clause, the deductible amount shall not exceed \$5,000 per occurrence, and Lessee shall be liable for such deductible amount in the event of an Insured Loss.

(b) **Rental Value.** The Insuring Party shall obtain and keep in force a policy or policies in the name of Lessor with loss payable to Lessor and any Lender, insuring the loss of the full Rent for one year with an extended period of indemnity for an additional 180 days ("Rental Value insurance"). Said insurance shall contain an agreed valuation provision in lieu of any coinsurance clause, and the amount of coverage shall be adjusted annually to reflect the projected Rent otherwise payable by Lessee, for the next 12 month period. Lessee shall be liable for any deductible amount in the event of such loss.

(c) **Adjacent Premises.** If the Premises are part of a larger building, or of a group of buildings owned by Lessor which are adjacent to the Premises, the Lessee shall pay for any increase in the premiums for the property insurance of such building or buildings if said increase is caused by Lessee's acts, omissions, use or occupancy of the Premises.

8.4 Lessee's Property; Business Interruption Insurance; Worker's Compensation Insurance.

(a) **Property Damage.** Lessee shall obtain and maintain insurance coverage on all of Lessee's personal property, Trade Fixtures, and Lessee Owned Alterations and Utility Installations. Such insurance shall be full replacement cost coverage with a deductible of not to exceed \$1,000 per occurrence. The proceeds from any such insurance shall be used by Lessee for the replacement of personal property, Trade Fixtures and Lessee Owned Alterations and Utility Installations.

(b) **Business Interruption.** Lessee shall obtain and maintain loss of income and extra expense insurance in amounts as will reimburse Lessee for direct or indirect loss of earnings attributable to all perils commonly insured against by prudent lessees in the business of Lessee or attributable to prevention of access to the Premises as a result of such perils.

(c) **Worker's Compensation Insurance.** Lessee shall obtain and maintain Worker's Compensation Insurance in such amount as may be required by Applicable Requirements. Such policy shall include a 'Waiver of Subrogation' endorsement. Lessee shall provide Lessor with a copy of such endorsement along with the certificate of insurance or copy of the policy required by paragraph 8.5.

(d) **No Representation of Adequate Coverage.** Lessor makes no representation that the limits or forms of coverage of insurance specified herein are adequate to cover Lessee's property, business operations or obligations under this Lease.

8.5 Insurance Policies. Insurance required herein shall be by companies maintaining during the policy term a "General Policyholders Rating" of at least A-, VII, as set forth in the most current issue of "Best's Insurance Guide", or such other rating as may be required by a Lender. Lessee shall not do or permit to be done anything which invalidates the required insurance policies. Lessee shall, prior to the Start Date, deliver to Lessor certified copies of policies of such insurance or certificates with copies of the required endorsements evidencing the existence and amounts of the required insurance. No such policy shall be cancelable or subject to modification except after 30 days prior written notice to Lessor. Lessee shall, at least 10 days prior to the expiration of such policies, furnish Lessor with evidence of renewals or "insurance binders" evidencing renewal thereof, or Lessor may increase his liability insurance coverage and charge the cost thereof to Lessee, which amount shall be payable by Lessee to Lessor upon demand. Such policies shall be for a term of at least one year, or the length of the remaining term of this Lease, whichever is less. If either Party shall fail to procure and maintain the insurance required to be carried by it, the other Party may, but shall not be required to, procure and maintain the same.

8.6 Waiver of Subrogation. Without affecting any other rights or remedies, Lessee and Lessor each hereby release and relieve the other, and waive their entire right to recover damages against the other, for loss of or damage to its property arising out of or incident to the perils required to be insured against herein. The effect of such releases and waivers is not limited by the amount of insurance carried or required, or by any deductibles applicable hereto. The Parties agree to have

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their respective property damage insurance carriers waive any right to subrogation that such companies may have against Lessor or Lessee, as the case may be, so long as the insurance is not invalidated thereby.

8.7 Indemnity. Except for Lessor's gross negligence or willful misconduct, Lessee shall indemnify, protect, defend and hold harmless the Premises, Lessor and its agents, Lessor's master or ground lessor, partners and Lenders, from and against any and all claims, loss of rents and/or damages, liens, judgments, penalties, attorneys' and consultants' fees, expenses and/or liabilities arising out of, involving, or in connection with, a Breach of the Lease by Lessee and/or the use and/or occupancy of the Premises and/or Project by Lessee and/or by Lessee's employees, contractors or invitees. If any action or proceeding is brought against Lessor by reason of any of the foregoing matters, Lessee shall upon notice defend the same at Lessee's expense by counsel reasonably satisfactory to Lessor and Lessor shall cooperate with Lessee in such defense. Lessor need not have first paid any such claim in order to be defended or indemnified.

8.8 Exemption of Lessor and its Agents from Liability. Notwithstanding the negligence or breach of this Lease by Lessor or its agents, neither Lessor nor its agents shall be liable under any circumstances for: (i) injury or damage to the person or goods, wares, merchandise or other property of Lessee, Lessee's employees, contractors, invitees, customers, or any other person in or about the Premises, whether such damage or injury is caused by or results from fire, steam, electricity, gas, water or rain, indoor air quality, the presence of mold or from the breakage, leakage, obstruction or other defects of pipes, fire sprinklers, wires, appliances, plumbing, HVAC or lighting fixtures, or from any other cause, whether the said injury or damage results from conditions arising upon the Premises or upon other portions of the building of which the Premises are a part, or from other sources or places, (ii) any damages arising from any act or neglect of any other tenant of Lessor or from the failure of Lessor or its agents to enforce the provisions of any other lease in the Project, or (iii) injury to Lessee's business or for any loss of income or profit therefrom. Instead, it is intended that Lessee's sole recourse in the event of such damages or injury be to file a claim on the insurance policy(ies) that Lessee is required to maintain pursuant to the provisions of paragraph 8.

8.9 Failure to Provide Insurance. Lessee acknowledges that any failure on its part to obtain or maintain the insurance required herein will expose Lessor to risks and potentially cause Lessor to incur costs not contemplated by this Lease, the extent of which will be extremely difficult to ascertain. Accordingly, for any month or portion thereof that Lessee does not maintain the required insurance and/or does not provide Lessor with the required binders or certificates evidencing the existence of the required insurance, the Base Rent shall be automatically increased, without any requirement for notice to Lessee, by an amount equal to 10% of the then existing Base Rent or \$100, whichever is greater. The parties agree that such increase in Base Rent represents fair and reasonable compensation for the additional risk/costs that Lessor will incur by reason of Lessee's failure to maintain the required insurance. Such increase in Base Rent shall in no event constitute a waiver of Lessee's Default or Breach with respect to the failure to maintain such insurance, prevent the exercise of any of the other rights and remedies granted hereunder, nor relieve Lessee of its obligation to maintain the insurance specified in this Lease.

9. Damage or Destruction.

9.1 Definitions.

(a) **"Premises Partial Damage"** shall mean damage or destruction to the improvements on the Premises, other than Lessee Owned Alterations and Utility Installations, which can reasonably be repaired in 6 months or less from the date of the damage or destruction. Lessor shall notify Lessee in writing within 30 days from the date of the damage or destruction as to whether or not the damage is Partial or Total.

(b) **"Premises Total Destruction"** shall mean damage or destruction to the Premises, other than Lessee Owned Alterations and Utility Installations and Trade Fixtures, which cannot reasonably be repaired in 6 months or less from the date of the damage or destruction. Lessor shall notify Lessee in writing within 30 days from the date of the damage or destruction as to whether or not the damage is Partial or Total.

(c) **"Insured Loss"** shall mean damage or destruction to improvements on the Premises, other than Lessee Owned Alterations and Utility Installations and Trade Fixtures, which was caused by an event required to be covered by the insurance described in Paragraph 8.3(a), irrespective of any deductible amounts or coverage limits involved.

(d) **"Replacement Cost"** shall mean the cost to repair or rebuild the improvements owned by Lessor at the time of the occurrence to their condition existing immediately prior thereto, including demolition, debris removal and upgrading required by the operation of Applicable Requirements, and without deduction for depreciation.

(e) **"Hazardous Substance Condition"** shall mean the occurrence or discovery of a condition involving the presence of, or a contamination by, a Hazardous Substance, in, on, or under the Premises which requires restoration.

9.2 Partial Damage - Insured Loss. If a Premises Partial Damage that is an Insured Loss occurs, then Lessor shall, at Lessor's expense, repair such damage (but not Lessee's Trade Fixtures or Lessee Owned Alterations and Utility Installations) as soon as reasonably possible and this Lease shall continue in full force and effect; provided, however, that Lessee shall, at Lessor's election, make the repair of any damage or destruction the total cost to repair of which is \$10,000 or less, and, in such event, Lessor shall make any applicable insurance proceeds available to Lessee on a reasonable basis for that purpose. Notwithstanding the foregoing, if the required insurance was not in force or the insurance proceeds are not sufficient to effect such repair, the Insuring Party shall promptly contribute the shortage in proceeds (except as to the deductible which is Lessee's responsibility) as and when required to complete said repairs. In the event, however, such shortage was due to the fact that, by reason of the unique nature of the improvements, full replacement cost insurance coverage was not commercially reasonable and available, Lessor shall have no obligation to pay for the shortage in insurance proceeds or to fully restore the unique aspects of the Premises unless Lessee provides Lessor with the funds to cover same, or adequate assurance thereof, within 10 days following receipt of written notice of such shortage and request therefor. If Lessor receives said funds or adequate assurance thereof within said 10 day period, the party responsible for making the repairs shall complete them as soon as reasonably possible and this Lease shall remain in full force and effect. If such funds or assurance are not received, Lessor may nevertheless elect by written notice to Lessee within 10 days thereafter to: (i) make such restoration and repair as is commercially reasonable with Lessor paying any shortage in proceeds, in which case this Lease shall remain in full force and effect, or (ii) have this Lease terminate 30 days thereafter. Lessee shall not be entitled to reimbursement of any funds contributed by Lessee to repair any such damage or destruction. Premises Partial Damage due to flood or earthquake shall be subject to Paragraph 9.3, notwithstanding that there may be some insurance coverage, but the net proceeds of any such insurance shall be made available for the repairs if made by either Party.

9.3 Partial Damage - Uninsured Loss. If a Premises Partial Damage that is not an Insured Loss occurs, unless caused by a negligent or willful act of Lessee (in which event Lessee shall make the repairs at Lessee's expense), Lessor may either: (i) repair such damage as soon as reasonably possible at Lessor's expense, in which event this Lease shall continue in full force and effect, or (ii) terminate this Lease by giving written notice to Lessee within 30 days after receipt by Lessor of knowledge of the occurrence of such damage. Such termination shall be effective 60 days following the date of such notice. In the event Lessor elects to terminate this Lease, Lessee shall have the right within 10 days after receipt of the termination notice to give written notice to Lessor of Lessee's commitment to pay for the repair of such damage without reimbursement from Lessor. Lessee shall provide Lessor with said funds or satisfactory assurance thereof within 30 days after making such commitment. In such event this Lease shall continue in full force and effect, and Lessor shall proceed to make such repairs as soon as reasonably possible after the required funds are available. If Lessee does not make the required commitment, this Lease shall terminate as of the date specified in the termination notice.

9.4 Total Destruction. Notwithstanding any other provision hereof, if a Premises Total Destruction occurs, this Lease shall terminate 60 days following such Destruction. If the damage or destruction was caused by the gross negligence or willful misconduct of Lessee, Lessor shall have the right to recover Lessor's damages from Lessee, except as provided in Paragraph 8.6.

9.5 Damage Near End of Term. If at any time during the last 6 months of this Lease there is damage for which the cost to repair exceeds one month's Base Rent, whether or not an Insured Loss, Lessor may terminate this Lease effective 60 days following the date of occurrence of such damage by giving a written

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termination notice to Lessee within 30 days after the date of occurrence of such damage. Notwithstanding the foregoing, if Lessee at that time has an exercisable option to extend this Lease or to purchase the Premises, then Lessee may preserve this Lease by, (a) exercising such option and (b) providing Lessor with any shortage in insurance proceeds (or adequate assurance thereof) needed to make the repairs on or before the earlier of (i) the date which is 10 days after Lessee's receipt of Lessor's written notice purporting to terminate this Lease, or (ii) the day prior to the date upon which such option expires. If Lessee duly exercises such option during such period and provides Lessor with funds (or adequate assurance thereof) to cover any shortage in insurance proceeds, Lessor shall, at Lessor's commercially reasonable expense, repair such damage as soon as reasonably possible and this Lease shall continue in full force and effect. If Lessee fails to exercise such option and provide such funds or assurance during such period, then this Lease shall terminate on the date specified in the termination notice and Lessee's option shall be extinguished.

9.6 Abatement of Rent; Lessee's Remedies.

(a) **Abatement.** In the event of Premises Partial Damage or Premises Total Destruction or a Hazardous Substance Condition for which Lessee is not responsible under this Lease, the Rent payable by Lessee for the period required for the repair, remediation or restoration of such damage shall be abated in proportion to the degree to which Lessee's use of the Premises is impaired, but not to exceed the proceeds received from the Rental Value insurance. All other obligations of Lessee hereunder shall be performed by Lessee, and Lessor shall have no liability for any such damage, destruction, remediation, repair or restoration except as provided herein.

(b) **Remedies.** If Lessor is obligated to repair or restore the Premises and does not commence, in a substantial and meaningful way, such repair or restoration within 90 days after such obligation shall accrue, Lessee may, at any time prior to the commencement of such repair or restoration, give written notice to Lessor and to any Lenders of which Lessee has actual notice, of Lessee's election to terminate this Lease on a date not less than 60 days following the giving of such notice. If Lessee gives such notice and such repair or restoration is not commenced within 30 days thereafter, this Lease shall terminate as of the date specified in said notice. If the repair or restoration is commenced within such 30 days, this Lease shall continue in full force and effect. "Commence" shall mean either the unconditional authorization of the preparation of the required plans, or the beginning of the actual work on the Premises, whichever first occurs.

9.7 **Termination; Advance Payments.** Upon termination of this Lease pursuant to Paragraph 6.2(g) or Paragraph 9, an equitable adjustment shall be made concerning advance Base Rent and any other advance payments made by Lessee to Lessor. Lessor shall, in addition, return to Lessee so much of Lessee's Security Deposit as has not been, or is not then required to be, used by Lessor.

10. Real Property Taxes.

10.1 **Definition.** As used herein, the term "Real Property Taxes" shall include any form of assessment; real estate, general, special, ordinary or extraordinary, or rental levy or tax (other than inheritance, personal income or estate taxes); improvement bond; and/or license fee imposed upon or levied against any legal or equitable interest of Lessor in the Premises or the Project, Lessor's right to other income therefrom, and/or Lessor's business of leasing, by any authority having the direct or indirect power to tax and where the funds are generated with reference to the Building address. Real Property Taxes shall also include any tax, fee, levy, assessment or charge, or any increase therein: (i) imposed by reason of events occurring during the term of this Lease, including but not limited to, a change in the ownership of the Premises, and (ii) levied or assessed on machinery or equipment provided by Lessor to Lessee pursuant to this Lease.

10.2 **Payment of Taxes.** ~~In addition to Base Rent, Lessee shall pay to Lessor an amount equal to the Real Property Tax installment due at least 20 days prior to the applicable delinquency date. If any such installment shall cover any period of time prior to or after the expiration or termination of this Lease, Lessee's share of such installment shall be prorated. In the event Lessee incurs a late charge on any Rent payment, Lessor may estimate the current Real Property Taxes, and require that such taxes be paid in advance to Lessor by Lessee monthly in advance with the payment of the Base Rent. Such monthly payments shall be an amount equal to the amount of the estimated installment of taxes divided by the number of months remaining before the month in which said installment becomes delinquent. When the actual amount of the applicable tax bill is known, the amount of such equal monthly advance payments shall be adjusted as required to provide the funds needed to pay the applicable taxes. If the amount collected by Lessor is insufficient to pay such Real Property Taxes when due, Lessee shall pay Lessor, upon demand, such additional sum as is necessary. Advance payments may be intermingled with other moneys of Lessor and shall not bear interest. In the event of a Breach by Lessee in the performance of its obligations under this Lease, then any such advance payments may be treated by Lessor as an additional Security Deposit. Payment of Real Estate Taxes are included in NNN Charges and paid by Lessee pursuant to Addendum paragraph 61.~~

10.3 **Joint Assessment.** If the Premises are not separately assessed, Lessee's liability shall be an equitable proportion of the Real Property Taxes for all of the land and improvements included within the tax parcel assessed, such proportion to be conclusively determined by Lessor from the respective valuations assigned in the assessor's work sheets or such other information as may be reasonably available.

10.4 **Personal Property Taxes.** Lessee shall pay, prior to delinquency, all taxes assessed against and levied upon Lessee Owned Alterations, Utility Installations, Trade Fixtures, furnishings, equipment and all personal property of Lessee. When possible, Lessee shall cause its Lessee Owned Alterations and Utility Installations, Trade Fixtures, furnishings, equipment and all other personal property to be assessed and billed separately from the real property of Lessor. If any of Lessee's said property shall be assessed with Lessor's real property, Lessee shall pay Lessor the taxes attributable to Lessee's property within 10 days after receipt of a written statement setting forth the taxes applicable to Lessee's property.

11. Utilities and Services.

11.1 Lessee shall pay for all water, gas, heat, light, power, telephone, trash disposal and other utilities and services supplied to the Premises, together with any taxes thereon. If any such services are not separately metered or billed to Lessee, Lessee shall pay a reasonable proportion, to be determined by Lessor, of all charges jointly metered or billed. There shall be no abatement of rent and Lessor shall not be liable in any respect whatsoever for the inadequacy, stoppage, interruption or discontinuance of any utility or service due to riot, strike, labor dispute, breakdown, accident, repair or other cause beyond Lessor's reasonable control or in cooperation with governmental request or directions.

11.2 Within fifteen days of Lessor's written request, Lessee agrees to deliver to Lessor such information, documents and/or authorization as Lessor needs in order for Lessor to comply with new or existing Applicable Requirements relating to commercial building energy usage, ratings, and/or the reporting thereof.

12. Assignment and Subletting.

12.1 Lessor's Consent Required.

(a) Lessee shall not voluntarily or by operation of law assign, transfer, mortgage or encumber (collectively, "assign or assignment") or sublet all or any part of Lessee's interest in this Lease or in the Premises without Lessor's prior written consent.

(b) Unless Lessee is a corporation and its stock is publicly traded on a national stock exchange, a change in the control of Lessee shall constitute an assignment requiring consent. The transfer, on a cumulative basis, of 25% or more of the voting control of Lessee shall constitute a change in control for this purpose.

(c) The involvement of Lessee or its assets in any transaction, or series of transactions (by way of merger, sale, acquisition, financing, transfer, leveraged buyout or otherwise), whether or not a formal assignment or hypothecation of this Lease or Lessee's assets occurs, which results or will result in a reduction of the Net Worth of Lessee by an amount greater than 25% of such Net Worth as it was represented at the time of the execution of this Lease or at the time of the most recent assignment to which Lessor has consented, or as it exists immediately prior to said transaction or transactions constituting such reduction, whichever was or is greater, shall be considered an assignment of this Lease to which Lessor may withhold its consent. "Net Worth of Lessee" shall mean the net worth of Lessee as reported on its most recent balance sheet.

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(excluding any guarantors) established under generally accepted accounting principles.

(d) An assignment or subletting without consent shall, at Lessor's option, be a Default curable after notice per Paragraph 13.1(d), or a non-curable Breach without the necessity of any notice and grace period. If Lessor elects to treat such unapproved assignment or subletting as a non-curable Breach, Lessor may either: (i) terminate this Lease, or (ii) upon 30 days written notice, increase the monthly Base Rent to 110% of the Base Rent then in effect. Further, in the event of such Breach and rental adjustment, (i) the purchase price of any option to purchase the Premises held by Lessee shall be subject to similar adjustment to 110% of the price previously in effect, and (ii) all fixed and non-fixed rental adjustments scheduled during the remainder of the Lease term shall be increased to 110% of the scheduled adjusted rent.

(e) Lessee's remedy for any breach of Paragraph 12.1 by Lessor shall be limited to compensatory damages and/or injunctive relief.

(f) Lessor may reasonably withhold consent to a proposed assignment or subletting if Lessee is in Default at the time consent is requested.

(g) Notwithstanding the foregoing, allowing a de minimis portion of the Premises, i.e. 20 square feet or less, to be used by a third party vendor in connection with the installation of a vending machine or payphone shall not constitute a subletting.

12.2 Terms and Conditions Applicable to Assignment and Subletting.

(a) Regardless of Lessor's consent, no assignment or subletting shall: (i) be effective without the express written assumption by such assignee or sublessee of the obligations of Lessee under this Lease, (ii) release Lessee of any obligations hereunder, or (iii) alter the primary liability of Lessee for the payment of Rent or for the performance of any other obligations to be performed by Lessee.

(b) Lessor may accept Rent or performance of Lessee's obligations from any person other than Lessee pending approval or disapproval of an assignment. Neither a delay in the approval or disapproval of such assignment nor the acceptance of Rent or performance shall constitute a waiver or estoppel of Lessor's right to exercise its remedies for Lessee's Default or Breach.

(c) Lessor's consent to any assignment or subletting shall not constitute a consent to any subsequent assignment or subletting.

(d) In the event of any Default or Breach by Lessee, Lessor may proceed directly against Lessee, any Guarantors or anyone else responsible for the performance of Lessee's obligations under this Lease, including any assignee or sublessee, without first exhausting Lessor's remedies against any other person or entity responsible therefor to Lessor, or any security held by Lessor.

(e) Each request for consent to an assignment or subletting shall be in writing, accompanied by information relevant to Lessor's determination as to the financial and operational responsibility and appropriateness of the proposed assignee or sublessee, including but not limited to the intended use and/or required modification of the Premises, if any, together with a fee of \$500 as consideration for Lessor's considering and processing said request. Lessee agrees to provide Lessor with such other or additional information and/or documentation as may be reasonably requested. (See also Paragraph 36)

(f) Any assignee of, or sublessee under, this Lease shall, by reason of accepting such assignment, entering into such sublease, or entering into possession of the Premises or any portion thereof, be deemed to have assumed and agreed to conform and comply with each and every term, covenant, condition and obligation herein to be observed or performed by Lessee during the term of said assignment or sublease, other than such obligations as are contrary to or inconsistent with provisions of an assignment or sublease to which Lessor has specifically consented to in writing.

(g) Lessor's consent to any assignment or subletting shall not transfer to the assignee or sublessee any Option granted to the original Lessee by this Lease unless such transfer is specifically consented to by Lessor in writing. (See Paragraph 39.2)

12.3 Additional Terms and Conditions Applicable to Subletting. The following terms and conditions shall apply to any subletting by Lessee of all or any part of the Premises and shall be deemed included in all subleases under this Lease whether or not expressly incorporated therein:

(a) Lessee hereby assigns and transfers to Lessor all of Lessee's interest in all Rent payable on any sublease, and Lessor may collect such Rent and apply same toward Lessee's obligations under this Lease; provided, however, that until a Breach shall occur in the performance of Lessee's obligations, Lessee may collect said Rent and shall transmit to Lessor, as Additional Rent, 50% of the portion of any sublease Rent received by Lessee that exceeds the proportional share of Rent due to Lessor hereunder ("Sublease Rental Profit"). In the event that the amount collected by Lessor exceeds Lessee's then outstanding obligations any such excess shall be refunded to Lessee. Lessor shall not, by reason of the foregoing or any assignment of such sublease, nor by reason of the collection of Rent, be deemed liable to the sublessee for any failure of Lessee to perform and comply with any of Lessee's obligations to such sublessee. Lessee hereby irrevocably authorizes and directs any such sublessee, upon receipt of a written notice from Lessor stating that a Breach exists in the performance of Lessee's obligations under this Lease, to pay to Lessor all Rent due and to become due under the sublease. Sublessee shall rely upon any such notice from Lessor and shall pay all Rents to Lessor without any obligation or right to inquire as to whether such Breach exists, notwithstanding any claim from Lessee to the contrary.

(b) In the event of a Breach by Lessee, Lessor may, at its option, require sublessee to attorn to Lessor, in which event Lessor shall undertake the obligations of the sublessor under such sublease from the time of the exercise of said option to the expiration of such sublease; provided, however, Lessor shall not be liable for any prepaid rents or security deposit paid by such sublessee to such sublessor or for any prior Defaults or Breaches of such sublessor.

(c) Any matter requiring the consent of the sublessor under a sublease shall also require the consent of Lessor.

(d) No sublessee shall further assign or sublet all or any part of the Premises without Lessor's prior written consent.

(e) Lessor shall deliver a copy of any notice of Default or Breach by Lessee to the sublessee, who shall have the right to cure the Default of Lessee within the grace period, if any, specified in such notice. The sublessee shall have a right of reimbursement and offset from and against Lessee for any such Defaults cured by the sublessee.

13. Default; Breach; Remedies.

13.1 Default; Breach. A "Default" is defined as a failure by the Lessee to comply with or perform any of the terms, covenants, conditions or Rules and Regulations under this Lease. A "Breach" is defined as the occurrence of one or more of the following Defaults, and the failure of Lessee to cure such Default within any applicable grace period:

(a) The abandonment of the Premises; the vacating of the Premises prior to the expiration or termination of this Lease without providing a commercially reasonable level of security, or where the coverage of the property insurance described in Paragraph 8.3 is jeopardized as a result thereof, or without providing reasonable assurances to minimize potential vandalism; or failure to deliver to Lessor exclusive possession of the entire Premises in accordance herewith prior to the expiration or termination of this Lease.

(b) The failure of Lessee to make any payment of Rent or any Security Deposit required to be made by Lessee hereunder, whether to Lessor or to a third party, when due, to provide reasonable evidence of insurance or surety bond, or to fulfill any obligation under this Lease which endangers or threatens life or property, where such failure continues for a period of 3 business days following written notice to Lessee. THE ACCEPTANCE BY LESSOR OF A PARTIAL PAYMENT OF RENT OR SECURITY DEPOSIT SHALL NOT CONSTITUTE A WAIVER OF ANY OF LESSOR'S RIGHTS, INCLUDING LESSOR'S RIGHT TO RECOVER POSSESSION OF THE PREMISES.

(c) The failure of Lessee to allow Lessor and/or its agents access to the Premises or the commission of waste, act or acts constituting public or private nuisance, and/or an illegal activity on the Premises by Lessee, where such actions continue for a period of 3 business days following written notice to Lessee. In the event that Lessee commits waste, a nuisance or an illegal activity a second time then, the Lessor may elect to treat such conduct as a non-curable Breach rather than a Default.

(d) The failure by Lessee to provide (i) reasonable written evidence of compliance with Applicable Requirements, (ii) the service contracts, (iii) the rescission of an unauthorized assignment or subletting, (iv) an Estoppel Certificate or financial statements, (v) a requested subordination, (vi) evidence concerning any

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guaranty and/or Guarantor, (vii) any document requested under Paragraph 42, (viii) material safety data sheets (MSDS), or (ix) any other documentation or information which Lessor may reasonably require of Lessee under the terms of this Lease, where any such failure continues for a period of 10 days following written notice to Lessee.

(e) A Default by Lessee as to the terms, covenants, conditions or provisions of this Lease, or of the rules adopted under Paragraph 40 hereof, other than those described in subparagraphs 13.1(a), (b), (c) or (d), above, where such Default continues for a period of 30 days after written notice; provided, however, that if the nature of Lessee's Default is such that more than 30 days are reasonably required for its cure, then it shall not be deemed to be a Breach if Lessee commences such cure within said 30 day period and thereafter diligently prosecutes such cure to completion.

(f) The occurrence of any of the following events: (i) the making of any general arrangement or assignment for the benefit of creditors; (ii) becoming a "debtor" as defined in 11 U.S.C. § 101 or any successor statute thereto (unless, in the case of a petition filed against Lessee, the same is dismissed within 60 days); (iii) the appointment of a trustee or receiver to take possession of substantially all of Lessee's assets located at the Premises or of Lessee's interest in this Lease, where possession is not restored to Lessee within 30 days; or (iv) the attachment, execution or other judicial seizure of substantially all of Lessee's assets located at the Premises or of Lessee's interest in this Lease, where such seizure is not discharged within 30 days; provided, however, in the event that any provision of this subparagraph is contrary to any applicable law, such provision shall be of no force or effect, and not affect the validity of the remaining provisions.

(g) The discovery that any financial statement of Lessee or of any Guarantor given to Lessor was materially false.

(h) If the performance of Lessee's obligations under this Lease is guaranteed: (i) the death of a Guarantor, (ii) the termination of a Guarantor's liability with respect to this Lease other than in accordance with the terms of such guaranty, (iii) a Guarantor's becoming insolvent or the subject of a bankruptcy filing, (iv) a Guarantor's refusal to honor the guaranty, or (v) a Guarantor's breach of its guaranty obligation on an anticipatory basis, and Lessee's failure, within 60 days following written notice of any such event, to provide written alternative assurance or security, which, when coupled with the then existing resources of Lessee, equals or exceeds the combined financial resources of Lessee and the Guarantors that existed at the time of execution of this Lease.

13.2 Remedies. If Lessee fails to perform any of its affirmative duties or obligations, within 10 days after written notice (or in case of an emergency, without notice), Lessor may, at its option, perform such duty or obligation on Lessee's behalf, including but not limited to the obtaining of reasonably required bonds, insurance policies, or governmental licenses, permits or approvals. Lessee shall pay to Lessor an amount equal to 115% of the costs and expenses incurred by Lessor in such performance upon receipt of an invoice therefor. In the event of a Breach, Lessor may, with or without further notice or demand, and without limiting Lessor in the exercise of any right or remedy which Lessor may have by reason of such Breach:

(a) Terminate Lessee's right to possession of the Premises by any lawful means, in which case this Lease shall terminate and Lessee shall immediately surrender possession to Lessor. In such event Lessor shall be entitled to recover from Lessee: (i) the unpaid Rent which had been earned at the time of termination; (ii) the worth at the time of award of the amount by which the unpaid rent which would have been earned after termination until the time of award exceeds the amount of such rental loss that the Lessee proves could have been reasonably avoided; (iii) the worth at the time of award of the amount by which the unpaid rent for the balance of the term after the time of award exceeds the amount of such rental loss that the Lessee proves could be reasonably avoided; and (iv) any other amount necessary to compensate Lessor for all the detriment proximately caused by the Lessee's failure to perform its obligations under this Lease or which in the ordinary course of things would be likely to result therefrom, including but not limited to the cost of recovering possession of the Premises, expenses of reletting, including necessary renovation and alteration of the Premises, reasonable attorneys' fees, and that portion of any leasing commission paid by Lessor in connection with this Lease applicable to the unexpired term of this Lease. The worth at the time of award of the amount referred to in provision (iii) of the immediately preceding sentence shall be computed by discounting such amount at the discount rate of the Federal Reserve Bank of the District within which the Premises are located at the time of award plus one percent. Efforts by Lessor to mitigate damages caused by Lessee's Breach of this Lease shall not waive Lessor's right to recover any damages to which Lessor is otherwise entitled. If termination of this Lease is obtained through the provisional remedy of unlawful detainer, Lessor shall have the right to recover in such proceeding any unpaid Rent and damages as are recoverable therein, or Lessor may reserve the right to recover all or any part thereof in a separate suit. If a notice and grace period required under Paragraph 13.1 was not previously given, a notice to pay rent or quit, or to perform or quit given to Lessee under the unlawful detainer statute shall also constitute the notice required by Paragraph 13.1. In such case, the applicable grace period required by Paragraph 13.1 and the unlawful detainer statute shall run concurrently, and the failure of Lessee to cure the Default within the greater of the two such grace periods shall constitute both an unlawful detainer and a Breach of this Lease entitling Lessor to the remedies provided for in this Lease and/or by said statute.

(b) Continue the Lease and Lessee's right to possession and recover the Rent as it becomes due, in which event Lessee may sublet or assign, subject only to reasonable limitations. Acts of maintenance, efforts to relet, and/or the appointment of a receiver to protect the Lessor's interests, shall not constitute a termination of the Lessee's right to possession.

(c) Pursue any other remedy now or hereafter available under the laws or judicial decisions of the state wherein the Premises are located. The expiration or termination of this Lease and/or the termination of Lessee's right to possession shall not relieve Lessee from liability under any indemnity provisions of this Lease as to matters occurring or accruing during the term hereof or by reason of Lessee's occupancy of the Premises.

13.3 Inducement Recapture. Any agreement for free or abated rent or other charges, the cost of tenant improvements for Lessee paid for or performed by Lessor, or for the giving or paying by Lessor to or for Lessee of any cash or other bonus, inducement or consideration for Lessee's entering into this Lease, all of which concessions are hereinafter referred to as "**Inducement Provisions**," shall be deemed conditioned upon Lessee's full and faithful performance of all of the terms, covenants and conditions of this Lease. Upon Breach of this Lease by Lessee, any such Inducement Provision shall automatically be deemed deleted from this Lease and of no further force or effect, and any rent, other charge, bonus, inducement or consideration theretofore abated, given or paid by Lessor under such an Inducement Provision shall be immediately due and payable by Lessee to Lessor, notwithstanding any subsequent cure of said Breach by Lessee. The acceptance by Lessor of rent or the cure of the Breach which initiated the operation of this paragraph shall not be deemed a waiver by Lessor of the provisions of this paragraph unless specifically so stated in writing by Lessor at the time of such acceptance.

13.4 Late Charges. Lessee hereby acknowledges that late payment by Lessee of Rent will cause Lessor to incur costs not contemplated by this Lease, the exact amount of which will be extremely difficult to ascertain. Such costs include, but are not limited to, processing and accounting charges, and late charges which may be imposed upon Lessor by any Lender. Accordingly, if any Rent shall not be received by Lessor within 5 days after such amount shall be due, then, without any requirement for notice to Lessee, Lessee shall immediately pay to Lessor a one-time late charge equal to 10% of each such overdue amount or \$100, whichever is greater. The Parties hereby agree that such late charge represents a fair and reasonable estimate of the costs Lessor will incur by reason of such late payment. Acceptance of such late charge by Lessor shall in no event constitute a waiver of Lessee's Default or Breach with respect to such overdue amount, nor prevent the exercise of any of the other rights and remedies granted hereunder. In the event that a late charge is payable hereunder, whether or not collected, for 3 consecutive installments of Base Rent, then notwithstanding any provision of this Lease to the contrary, Base Rent shall, at Lessor's option, become due and payable quarterly in advance.

13.5 Interest. Any monetary payment due Lessor hereunder, other than late charges, not received by Lessor, when due shall bear interest from the 31st day after it was due. The interest ("**Interest**") charged shall be computed at the rate of 10% per annum but shall not exceed the maximum rate allowed by law. Interest is payable in addition to the potential late charge provided for in Paragraph 13.4.

13.6 Breach by Lessor.

(a) **Notice of Breach.** Lessor shall not be deemed in breach of this Lease unless Lessor fails within a reasonable time to perform an obligation required to be performed by Lessor. For purposes of this Paragraph, a reasonable time shall in no event be less than 30 days after receipt by Lessor, and any Lender whose name

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and address shall have been furnished to Lessee in writing for such purpose, of written notice specifying wherein such obligation of Lessor has not been performed; provided, however, that if the nature of Lessor's obligation is such that more than 30 days are reasonably required for its performance, then Lessor shall not be in breach if performance is commenced within such 30 day period and thereafter diligently pursued to completion.

(b) **Performance by Lessee on Behalf of Lessor.** In the event that neither Lessor nor Lender cures said breach within 30 days after receipt of said notice, or if having commenced said cure they do not diligently pursue it to completion, then Lessee may elect to cure said breach at Lessee's expense and offset from Rent the actual and reasonable cost to perform such cure, provided however, that such offset shall not exceed an amount equal to the greater of one month's Base Rent or the Security Deposit, reserving Lessee's right to seek reimbursement from Lessor for any such expense in excess of such offset. Lessee shall document the cost of said cure and supply said documentation to Lessor.

14. Condemnation. If the Premises or any portion thereof are taken under the power of eminent domain or sold under the threat of the exercise of said power (collectively "**Condemnation**"), this Lease shall terminate as to the part taken as of the date the condemning authority takes title or possession, whichever first occurs. If more than 10% of the Building, or more than 25% of that portion of the Premises not occupied by any building, is taken by Condemnation, Lessee may, at Lessee's option, to be exercised in writing within 10 days after Lessor shall have given Lessee written notice of such taking (or in the absence of such notice, within 10 days after the condemning authority shall have taken possession) terminate this Lease as of the date the condemning authority takes such possession. If Lessee does not terminate this Lease in accordance with the foregoing, this Lease shall remain in full force and effect as to the portion of the Premises remaining, except that the Base Rent shall be reduced in proportion to the reduction in utility of the Premises caused by such Condemnation. Condemnation awards and/or payments shall be the property of Lessor, whether such award shall be made as compensation for diminution in value of the leasehold, the value of the part taken, or for severance damages; provided, however, that Lessee shall be entitled to any compensation paid by the condemnor for Lessee's relocation expenses, loss of business goodwill and/or Trade Fixtures, without regard to whether or not this Lease is terminated pursuant to the provisions of this Paragraph. All Alterations and Utility Installations made to the Premises by Lessee, for purposes of Condemnation only, shall be considered the property of the Lessee and Lessee shall be entitled to any and all compensation which is payable therefor. In the event that this Lease is not terminated by reason of the Condemnation, Lessor shall repair any damage to the Premises caused by such Condemnation.

15. Brokerage Fees.

15.1 Additional Commission. In addition to the payments owed pursuant to Paragraph 1.9 above, Lessor agrees that: (a) if Lessee exercises any Option, (b) if Lessee or anyone affiliated with Lessee acquires any rights to the Premises or other premises owned by Lessor and located within the same Project, if any, within which the Premises is located, (c) if Lessee remains in possession of the Premises, with the consent of Lessor, after the expiration of this Lease, or (d) if Base Rent is increased, whether by agreement or operation of an escalation clause herein, then, Lessor shall pay Brokers a fee in accordance with the fee schedule of the Brokers in effect at the time the Lease was executed. The provisions of this paragraph are intended to supersede the provisions of any earlier agreement to the contrary.

15.2 Assumption of Obligations. Any buyer or transferee of Lessor's interest in this Lease shall be deemed to have assumed Lessor's obligation hereunder. Brokers shall be third party beneficiaries of the provisions of Paragraphs 1.9, 15, 22 and 31. If Lessor fails to pay to Brokers any amounts due as and for brokerage fees pertaining to this Lease when due, then such amounts shall accrue Interest. In addition, if Lessor fails to pay any amounts to Lessee's Broker when due, Lessee's Broker may send written notice to Lessor and Lessee of such failure and if Lessor fails to pay such amounts within 10 days after said notice, Lessee shall pay said monies to its Broker and offset such amounts against Rent. In addition, Lessee's Broker shall be deemed to be a third party beneficiary of any commission agreement entered into by and/or between Lessor and Lessor's Broker for the limited purpose of collecting any brokerage fee owed.

15.3 Representations and Indemnities of Broker Relationships. Lessee and Lessor each represent and warrant to the other that it has had no dealings with any person, firm, broker, agent or finder (other than the Brokers and Agents, if any) in connection with this Lease, and that no one other than said named Brokers and Agents is entitled to any commission or finder's fee in connection herewith. Lessee and Lessor do each hereby agree to indemnify, protect, defend and hold the other harmless from and against liability for compensation or charges which may be claimed by any such unnamed broker, finder or other similar party by reason of any dealings or actions of the indemnifying Party, including any costs, expenses, attorneys' fees reasonably incurred with respect thereto.

16. Estoppel Certificates.

(a) Each Party (as "**Responding Party**") shall within 10 days after written notice from the other Party (the "**Requesting Party**") execute, acknowledge and deliver to the Requesting Party a statement in writing in form similar to the then most current "**Estoppel Certificate**" form published by AIR CRE, plus such additional information, confirmation and/or statements as may be reasonably requested by the Requesting Party.

(b) If the Responding Party shall fail to execute or deliver the Estoppel Certificate within such 10 day period, the Requesting Party may execute an Estoppel Certificate stating that: (i) the Lease is in full force and effect without modification except as may be represented by the Requesting Party, (ii) there are no uncured defaults in the Requesting Party's performance, and (iii) if Lessor is the Requesting Party, not more than one month's rent has been paid in advance. Prospective purchasers and encumbrancers may rely upon the Requesting Party's Estoppel Certificate, and the Responding Party shall be estopped from denying the truth of the facts contained in said Certificate. In addition, Lessee acknowledges that any failure on its part to provide such an Estoppel Certificate will expose Lessor to risks and potentially cause Lessor to incur costs not contemplated by this Lease, the extent of which will be extremely difficult to ascertain. Accordingly, should the Lessee fail to execute and/or deliver a requested Estoppel Certificate in a timely fashion the monthly Base Rent shall be automatically increased, without any requirement for notice to Lessee, by an amount equal to 10% of the then existing Base Rent or \$100, whichever is greater for remainder of the Lease. The Parties agree that such increase in Base Rent represents fair and reasonable compensation for the additional risk/costs that Lessor will incur by reason of Lessee's failure to provide the Estoppel Certificate. Such increase in Base Rent shall in no event constitute a waiver of Lessee's Default or Breach with respect to the failure to provide the Estoppel Certificate nor prevent the exercise of any of the other rights and remedies granted hereunder.

(c) If Lessor desires to finance, refinance, or sell the Premises, or any part thereof, Lessee and all Guarantors shall within 10 days after written notice from Lessor deliver to any potential lender or purchaser designated by Lessor such financial statements as may be reasonably required by such lender or purchaser, including but not limited to Lessee's financial statements for the past 3 years. All such financial statements shall be received by Lessor and such lender or purchaser in confidence and shall be used only for the purposes herein set forth.

17. Definition of Lessor. The term "**Lessor**" as used herein shall mean the owner or owners at the time in question of the fee title to the Premises, or, if this is a sublease, of the Lessee's interest in the prior lease. In the event of a transfer of Lessor's title or interest in the Premises or this Lease, Lessor shall deliver to the transferee or assignee (in cash or by credit) any unused Security Deposit held by Lessor. Upon such transfer or assignment and delivery of the Security Deposit, as aforesaid, the prior Lessor shall be relieved of all liability with respect to the obligations and/or covenants under this Lease thereafter to be performed by the Lessor. Subject to the foregoing, the obligations and/or covenants in this Lease to be performed by the Lessor shall be binding only upon the Lessor as hereinabove defined.

18. Severability. The invalidity of any provision of this Lease, as determined by a court of competent jurisdiction, shall in no way affect the validity of any other provision hereof.

19. DS Days. Unless otherwise specifically indicated to the contrary, the word "**days**" as used in this Lease shall mean and refer to calendar days.

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20. Limitation on Liability. The obligations of Lessor under this Lease shall not constitute personal obligations of Lessor, or its partners, members, directors, officers or shareholders, and Lessee shall look to the Premises, and to no other assets of Lessor, for the satisfaction of any liability of Lessor with respect to this Lease, and shall not seek recourse against Lessor's partners, members, directors, officers or shareholders, or any of their personal assets for such satisfaction.

21. Time of Essence. Time is of the essence with respect to the performance of all obligations to be performed or observed by the Parties under this Lease.

22. No Prior or Other Agreements; Broker Disclaimer. This Lease contains all agreements between the Parties with respect to any matter mentioned herein, and no other prior or contemporaneous agreement or understanding shall be effective. Lessor and Lessee each represents and warrants to the Brokers that it has made, and is relying solely upon, its own investigation as to the nature, quality, character and financial responsibility of the other Party to this Lease and as to the use, nature, quality and character of the Premises. Brokers have no responsibility with respect thereto or with respect to any default or breach hereof by either Party.

23. Notices.

23.1 Notice Requirements. All notices required or permitted by this Lease or applicable law shall be in writing and may be delivered in person (by hand or by courier) or may be sent by regular, certified or registered mail or U.S. Postal Service Express Mail, with postage prepaid, or by facsimile transmission, or by email, and shall be deemed sufficiently given if served in a manner specified in this Paragraph 23. The addresses noted adjacent to a Party's signature on this Lease shall be that Party's address for delivery or mailing of notices. Either Party may by written notice to the other specify a different address for notice, except that upon Lessee's taking possession of the Premises, the Premises shall constitute Lessee's address for notice. A copy of all notices to Lessor shall be concurrently transmitted to such party or parties at such addresses as Lessor may from time to time hereafter designate in writing.

23.2 Date of Notice. Any notice sent by registered or certified mail, return receipt requested, shall be deemed given on the date of delivery shown on the receipt card, or if no delivery date is shown, the postmark thereon. If sent by regular mail the notice shall be deemed given 72 hours after the same is addressed as required herein and mailed with postage prepaid. Notices delivered by United States Express Mail or overnight courier that guarantees next day delivery shall be deemed given 24 hours after delivery of the same to the Postal Service or courier. Notices delivered by hand, or transmitted by facsimile transmission or by email shall be deemed delivered upon actual receipt. If notice is received on a Saturday, Sunday or legal holiday, it shall be deemed received on the next business day.

23.3 Options. Notwithstanding the foregoing, in order to exercise any Options (see paragraph 39), the Notice must be sent by Certified Mail (return receipt requested), Express Mail (signature required), courier (signature required) or some other methodology that provides a receipt establishing the date the notice was received by the Lessor.

24. Waivers.

(a) No waiver by Lessor of the Default or Breach of any term, covenant or condition hereof by Lessee, shall be deemed a waiver of any other term, covenant or condition hereof, or of any subsequent Default or Breach by Lessee of the same or of any other term, covenant or condition hereof. Lessor's consent to, or approval of, any act shall not be deemed to render unnecessary the obtaining of Lessor's consent to, or approval of, any subsequent or similar act by Lessee, or be construed as the basis of an estoppel to enforce the provision or provisions of this Lease requiring such consent.

(b) The acceptance of Rent by Lessor shall not be a waiver of any Default or Breach by Lessee. Any payment by Lessee may be accepted by Lessor on account of monies or damages due Lessor, notwithstanding any qualifying statements or conditions made by Lessee in connection therewith, which such statements and/or conditions shall be of no force or effect whatsoever unless specifically agreed to in writing by Lessor at or before the time of deposit of such payment.

(c) THE PARTIES AGREE THAT THE TERMS OF THIS LEASE SHALL GOVERN WITH REGARD TO ALL MATTERS RELATED THERETO AND HEREBY WAIVE THE PROVISIONS OF ANY PRESENT OR FUTURE STATUTE TO THE EXTENT THAT SUCH STATUTE IS INCONSISTENT WITH THIS LEASE.

25. Disclosures Regarding The Nature of a Real Estate Agency Relationship.

(a) When entering into a discussion with a real estate agent regarding a real estate transaction, a Lessor or Lessee should from the outset understand what type of agency relationship or representation it has with the agent or agents in the transaction. Lessor and Lessee acknowledge being advised by the Brokers in this transaction, as follows:

(i) Lessor's Agent. A Lessor's agent under a listing agreement with the Lessor acts as the agent for the Lessor only. A Lessor's agent or subagent has the following affirmative obligations: To the Lessor: A fiduciary duty of utmost care, integrity, honesty, and loyalty in dealings with the Lessor. To the Lessee and the Lessor: (a) Diligent exercise of reasonable skills and care in performance of the agent's duties. (b) A duty of honest and fair dealing and good faith. (c) A duty to disclose all facts known to the agent materially affecting the value or desirability of the property that are not known to, or within the diligent attention and observation of, the Parties. An agent is not obligated to reveal to either Party any confidential information obtained from the other Party which does not involve the affirmative duties set forth above.

(ii) Lessee's Agent. An agent can agree to act as agent for the Lessee only. In these situations, the agent is not the Lessor's agent, even if by agreement the agent may receive compensation for services rendered, either in full or in part from the Lessor. An agent acting only for a Lessee has the following affirmative obligations. To the Lessee: A fiduciary duty of utmost care, integrity, honesty, and loyalty in dealings with the Lessee. To the Lessee and the Lessor: (a) Diligent exercise of reasonable skills and care in performance of the agent's duties. (b) A duty of honest and fair dealing and good faith. (c) A duty to disclose all facts known to the agent materially affecting the value or desirability of the property that are not known to, or within the diligent attention and observation of, the Parties. An agent is not obligated to reveal to either Party any confidential information obtained from the other Party which does not involve the affirmative duties set forth above.

(iii) Agent Representing Both Lessor and Lessee. A real estate agent, either acting directly or through one or more associate licensees, can legally be the agent of both the Lessor and the Lessee in a transaction, but only with the knowledge and consent of both the Lessor and the Lessee. In a dual agency situation, the agent has the following affirmative obligations to both the Lessor and the Lessee: (a) A fiduciary duty of utmost care, integrity, honesty and loyalty in the dealings with either Lessor or the Lessee. (b) Other duties to the Lessor and the Lessee as stated above in subparagraphs (i) or (ii). In representing both Lessor and Lessee, the agent may not, without the express permission of the respective Party, disclose to the other Party confidential information, including, but not limited to, facts relating to either Lessee's or Lessor's financial position, motivations, bargaining position, or other personal information that may impact rent, including Lessor's willingness to accept a rent less than the listing rent or Lessee's willingness to pay rent greater than the rent offered. The above duties of the agent in a real estate transaction do not relieve a Lessor or Lessee from the responsibility to protect their own interests. Lessor and Lessee should carefully read all agreements to assure that they adequately express their understanding of the transaction. A real estate agent is a person qualified to advise about real estate. If legal or tax advice is desired, consult a competent professional. Both Lessor and Lessee should strongly consider obtaining tax advice from a competent professional because the federal and state tax consequences of a transaction can be complex and subject to change.

(b) Brokers have no responsibility with respect to any default or breach hereof by either Party. The Parties agree that no lawsuit or other legal proceeding involving any breach of duty, error or omission relating to this Lease may be brought against Broker more than one year after the Start Date and that the liability (including court costs and attorneys' fees), of any Broker with respect to any such lawsuit and/or legal proceeding shall not exceed the fee received by such Broker pursuant to this Lease; provided, however, that the foregoing limitation on each Broker's liability shall not be applicable to any gross negligence or willful misconduct of such Broker.

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(c) Lessor and Lessee agree to identify to Brokers as "Confidential" any communication or information given Brokers that is considered by such Party to be confidential.

26. No Right To Holdover. Lessee has no right to retain possession of the Premises or any part thereof beyond the expiration or termination of this Lease. At or prior to the expiration or termination of this Lease Lessee shall deliver exclusive possession of the Premises to Lessor. For purposes of this provision and Paragraph 13.1(a), exclusive possession shall mean that Lessee shall have vacated the Premises, removed all of its personal property therefrom and that the Premises have been returned in the condition specified in this Lease. In the event that Lessee does not deliver exclusive possession to Lessor as specified above, then Lessor's damages during any holdover period shall be computed at the amount of the Rent (as defined in Paragraph 4.1) due during the last full month before the expiration or termination of this Lease (disregarding any temporary abatement of Rent that may have been in effect), but with Base Rent being 150% of the Base Rent payable during such last full month. Nothing contained herein shall be construed as consent by Lessor to any holding over by Lessee.

27. Cumulative Remedies. No remedy or election hereunder shall be deemed exclusive but shall, wherever possible, be cumulative with all other remedies at law or in equity.

28. Covenants and Conditions; Construction of Agreement. All provisions of this Lease to be observed or performed by Lessee are both covenants and conditions. In construing this Lease, all headings and titles are for the convenience of the Parties only and shall not be considered a part of this Lease. Whenever required by the context, the singular shall include the plural and vice versa. This Lease shall not be construed as if prepared by one of the Parties, but rather according to its fair meaning as a whole, as if both Parties had prepared it.

29. Binding Effect; Choice of Law. This Lease shall be binding upon the Parties, their personal representatives, successors and assigns and be governed by the laws of the State in which the Premises are located. Any litigation between the Parties hereto concerning this Lease shall be initiated in the county in which the Premises are located. Signatures to this Lease accomplished by means of electronic signature or similar technology shall be legal and binding.

30. Subordination; Attornment; Non-Disturbance.

30.1 Subordination. This Lease and any Option granted hereby shall be subject and subordinate to any ground lease, mortgage, deed of trust, or other hypothecation or security device (collectively, "**Security Device**"), now or hereafter placed upon the Premises, to any and all advances made on the security thereof, and to all renewals, modifications, and extensions thereof. Lessee agrees that the holders of any such Security Devices (in this Lease together referred to as "**Lender**") shall have no liability or obligation to perform any of the obligations of Lessor under this Lease. Any Lender may elect to have this Lease and/or any Option granted hereby superior to the lien of its Security Device by giving written notice thereof to Lessee, whereupon this Lease and such Options shall be deemed prior to such Security Device, notwithstanding the relative dates of the documentation or recordation thereof.

30.2 Attornment. In the event that Lessor transfers title to the Premises, or the Premises are acquired by another upon the foreclosure or termination of a Security Device to which this Lease is subordinated (i) Lessee shall, subject to the non-disturbance provisions of Paragraph 30.3, attorn to such new owner, and upon request, enter into a new lease, containing all of the terms and provisions of this Lease, with such new owner for the remainder of the term hereof, or, at the election of the new owner, this Lease will automatically become a new lease between Lessee and such new owner, and (ii) Lessor shall thereafter be relieved of any further obligations hereunder and such new owner shall assume all of Lessor's obligations, except that such new owner shall not: (a) be liable for any act or omission of any prior lessor or with respect to events occurring prior to acquisition of ownership; (b) be subject to any offsets or defenses which Lessee might have against any prior lessor, (c) be bound by prepayment of more than one month's rent, or (d) be liable for the return of any security deposit paid to any prior lessor which was not paid or credited to such new owner.

30.3 Non-Disturbance. With respect to Security Devices entered into by Lessor after the execution of this Lease, Lessee's subordination of this Lease shall be subject to receiving a commercially reasonable non-disturbance agreement (a "**Non-Disturbance Agreement**") from the Lender which Non-Disturbance Agreement provides that Lessee's possession of the Premises, and this Lease, including any options to extend the term hereof, will not be disturbed so long as Lessee is not in Breach hereof and attorns to the record owner of the Premises. Further, within 60 days after the execution of this Lease, Lessor shall, if requested by Lessee, use its commercially reasonable efforts to obtain a Non-Disturbance Agreement from the holder of any pre-existing Security Device which is secured by the Premises. In the event that Lessor is unable to provide the Non-Disturbance Agreement within said 60 days, then Lessee may, at Lessee's option, directly contact Lender and attempt to negotiate for the execution and delivery of a Non-Disturbance Agreement.

30.4 Self-Executing. The agreements contained in this Paragraph 30 shall be effective without the execution of any further documents; provided, however, that, upon written request from Lessor or a Lender in connection with a sale, financing or refinancing of the Premises, Lessee and Lessor shall execute such further writings as may be reasonably required to separately document any subordination, attornment and/or Non-Disturbance Agreement provided for herein.

31. Attorneys' Fees. If any Party or Broker brings an action or proceeding involving the Premises whether founded in tort, contract or equity, or to declare rights hereunder, the Prevailing Party (as hereafter defined) in any such proceeding, action, or appeal thereon, shall be entitled to reasonable attorneys' fees. Such fees may be awarded in the same suit or recovered in a separate suit, whether or not such action or proceeding is pursued to decision or judgment. The term, "**Prevailing Party**" shall include, without limitation, a Party or Broker who substantially obtains or defeats the relief sought, as the case may be, whether by compromise, settlement, judgment, or the abandonment by the other Party or Broker of its claim or defense. The attorneys' fees award shall not be computed in accordance with any court fee schedule, but shall be such as to fully reimburse all attorneys' fees reasonably incurred. In addition, Lessor shall be entitled to attorneys' fees, costs and expenses incurred in the preparation and service of notices of Default and consultations in connection therewith, whether or not a legal action is subsequently commenced in connection with such Default or resulting Breach (\$200 is a reasonable minimum per occurrence for such services and consultation).

32. Lessor's Access; Showing Premises; Repairs. Lessor and Lessor's agents shall have the right to enter the Premises at any time, in the case of an emergency, and otherwise at reasonable times after reasonable prior notice for the purpose of showing the same to prospective purchasers, lenders, or Lessees, and making such alterations, repairs, improvements or additions to the Premises as Lessor may deem necessary or desirable and the erecting, using and maintaining of utilities, services, pipes and conduits through the Premises and/or other premises as long as there is no material adverse effect on Lessee's use of the Premises. All such activities shall be without abatement of rent or liability to Lessee. All such entries shall be conditioned on the entrant being escorted at all times by an employee of Lessee or shall otherwise occur outside of school hours.

33. Auctions. Lessee shall not conduct, nor permit to be conducted, any auction upon the Premises without Lessor's prior written consent. Lessor shall not be obligated to exercise any standard of reasonableness in determining whether to permit an auction.

34. Signs. Lessor may place on the Premises ordinary "For Sale" signs at any time and ordinary "For Lease" signs during the last 6 months of the term hereof. Except for ordinary "for sublease" signs, Lessee shall not place any sign upon the Premises without Lessor's prior written consent. All signs must comply with all Applicable Requirements.

35. Termination; Merger. Unless specifically stated otherwise in writing by Lessor, the voluntary or other surrender of this Lease by Lessee, the mutual termination or cancellation hereof, or a termination hereof by Lessor for Breach by Lessee, shall automatically terminate any sublease or lesser estate in the Premises; provided,

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however, that Lessor may elect to continue any one or all existing subtenancies. Lessor's failure within 10 days following any such event to elect to the contrary by written notice to the holder of any such lesser interest, shall constitute Lessor's election to have such event constitute the termination of such interest.

36. Consents. All requests for consent shall be in writing. Except as otherwise provided herein, wherever in this Lease the consent of a Party is required to an act by or for the other Party, such consent shall not be unreasonably withheld or delayed. Lessor's actual reasonable costs and expenses (including but not limited to architects', attorneys', engineers' and other consultants' fees) incurred in the consideration of, or response to, a request by Lessee for any Lessor consent, including but not limited to consents to an assignment, a subletting or the presence or use of a Hazardous Substance, shall be paid by Lessee upon receipt of an invoice and supporting documentation therefor. Lessor's consent to any act, assignment or subletting shall not constitute an acknowledgment that no Default or Breach by Lessee of this Lease exists, nor shall such consent be deemed a waiver of any then existing Default or Breach, except as may be otherwise specifically stated in writing by Lessor at the time of such consent. The failure to specify herein any particular condition to Lessor's consent shall not preclude the imposition by Lessor at the time of consent of such further or other conditions as are then reasonable with reference to the particular matter for which consent is being given. In the event that either Party disagrees with any determination made by the other hereunder and reasonably requests the reasons for such determination, the determining party shall furnish its reasons in writing and in reasonable detail within 10 business days following such request.

37. Guarantor.

37.1 Execution. The Guarantors, if any, shall each execute a guaranty in the form most recently published by AIR CRE, and each such Guarantor shall have the same obligations as Lessee under this Lease.

37.2 Default. It shall constitute a Default of the Lessee if any Guarantor fails or refuses, upon request to provide: (a) evidence of the execution of the guaranty, including the authority of the party signing on Guarantor's behalf to obligate Guarantor, and in the case of a corporate Guarantor, a certified copy of a resolution of its board of directors authorizing the making of such guaranty, (b) current financial statements, (c) an Estoppel Certificate, or (d) written confirmation that the guaranty is still in effect.

38. Quiet Possession. Subject to payment by Lessee of the Rent and performance of all of the covenants, conditions and provisions on Lessee's part to be observed and performed under this Lease, Lessee shall have quiet possession and quiet enjoyment of the Premises during the term hereof.

39. Options. If Lessee is granted any Option, as defined below, then the following provisions shall apply.

39.1 Definition. "Option" shall mean: (a) the right to extend or reduce the term of or renew this Lease or to extend or reduce the term of or renew any lease that Lessee has on other property of Lessor; (b) the right of first refusal or first offer to lease either the Premises or other property of Lessor; (c) the right to purchase, the right of first offer to purchase or the right of first refusal to purchase the Premises or other property of Lessor.

39.2 Options Personal To Original Lessee. Any Option granted to Lessee in this Lease is personal to the original Lessee, and cannot be assigned or exercised by anyone other than said original Lessee and only while the original Lessee is in full possession of the Premises and, if requested by Lessor, with Lessee certifying that Lessee has no intention of thereafter assigning or subletting.

39.3 Multiple Options. In the event that Lessee has any multiple Options to extend or renew this Lease, a later Option cannot be exercised unless the prior Options have been validly exercised.

39.4 Effect of Default on Options.

(a) Lessee shall have no right to exercise an Option: (i) during the period commencing with the giving of any notice of Default and continuing until said Default is cured, (ii) during the period of time any Rent is unpaid (without regard to whether notice thereof is given Lessee), (iii) during the time Lessee is in Breach of this Lease, or (iv) in the event that Lessee has been given 3 or more notices of separate Default, whether or not the Defaults are cured, during the 12 month period immediately preceding the exercise of the Option.

(b) The period of time within which an Option may be exercised shall not be extended or enlarged by reason of Lessee's inability to exercise an Option because of the provisions of Paragraph 39.4(a).

(c) An Option shall terminate and be of no further force or effect, notwithstanding Lessee's due and timely exercise of the Option, if, after such exercise and prior to the commencement of the extended term or completion of the purchase, (i) Lessee fails to pay Rent for a period of 30 days after such Rent becomes due (without any necessity of Lessor to give notice thereof), or (ii) if Lessee commits a Breach of this Lease.

40. Multiple Buildings. If the Premises are a part of a group of buildings controlled by Lessor, Lessee agrees that it will abide by and conform to all reasonable rules and regulations which Lessor may make from time to time for the management, safety, and care of said properties, including the care and cleanliness of the grounds and including the parking, loading and unloading of vehicles, and to cause its employees, suppliers, shippers, customers, contractors and invitees to so abide and conform. Lessee also agrees to pay its fair share of common expenses incurred in connection with such rules and regulations.

41. Security Measures. Lessee hereby acknowledges that the Rent payable to Lessor hereunder does not include the cost of guard service or other security measures, and that Lessor shall have no obligation whatsoever to provide same. Lessee assumes all responsibility for the protection of the Premises, Lessee, its agents and invitees and their property from the acts of third parties.

42. Reservations. Lessor reserves to itself the right, from time to time, to grant, without the consent or joinder of Lessee, such easements, rights and dedications that Lessor deems necessary, and to cause the recordation of parcel maps and restrictions, so long as such easements, rights, dedications, maps and restrictions do not unreasonably interfere with the use of the Premises by Lessee. Lessee agrees to sign any documents reasonably requested by Lessor to effectuate any such easement rights, dedication, map or restrictions.

43. Performance Under Protest. If at any time a dispute shall arise as to any amount or sum of money to be paid by one Party to the other under the provisions hereof, the Party against whom the obligation to pay the money is asserted shall have the right to make payment "under protest" and such payment shall not be regarded as a voluntary payment and there shall survive the right on the part of said Party to institute suit for recovery of such sum. If it shall be adjudged that there was no legal obligation on the part of said Party to pay such sum or any part thereof, said Party shall be entitled to recover such sum or so much thereof as it was not legally required to pay. A Party who does not initiate suit for the recovery of sums paid "under protest" within 6 months shall be deemed to have waived its right to protest such payment.

44. Authority; Multiple Parties; Execution.

(a) If either Party hereto is a corporation, trust, limited liability company, partnership, or similar entity, each individual executing this Lease on behalf of such entity represents and warrants that he or she is duly authorized to execute and deliver this Lease on its behalf. Each Party shall, within 30 days after request, deliver to the other Party satisfactory evidence of such authority.

(b) If this Lease is executed by more than one person or entity as "Lessee", each such person or entity shall be jointly and severally liable hereunder. It is agreed that any one of the named Lessees shall be empowered to execute any amendment to this Lease, or other document ancillary thereto and bind all of the named Lessees, and Lessor may rely on the same as if all of the named Lessees had executed such document.

(c) This Lease may be executed by the Parties in counterparts, each of which shall be deemed an original and all of which together shall constitute one

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and the same instrument.

45. Conflict. Any conflict between the printed provisions of this Lease and the typewritten or handwritten provisions shall be controlled by the typewritten or handwritten provisions.

46. Offer. Preparation of this Lease by either Party or their agent and submission of same to the other Party shall not be deemed an offer to lease to the other Party. This Lease is not intended to be binding until executed and delivered by all Parties hereto.

47. Amendments. This Lease may be modified only in writing, signed by the Parties in interest at the time of the modification. As long as they do not materially change Lessee's obligations hereunder, Lessee agrees to make such reasonable non-monetary modifications to this Lease as may be reasonably required by a Lender in connection with the obtaining of normal financing or refinancing of the Premises.

48. Waiver of Jury Trial. THE PARTIES HEREBY WAIVE THEIR RESPECTIVE RIGHTS TO TRIAL BY JURY IN ANY ACTION OR PROCEEDING INVOLVING THE PROPERTY OR ARISING OUT OF THIS LEASE.

49. Arbitration of Disputes. An Addendum requiring the Arbitration of all disputes between the Parties and/or Brokers arising out of this Lease is NOT attached to this Lease.

50. Accessibility; Americans with Disabilities Act.

(a) The Premises:

have not undergone an inspection by a Certified Access Specialist (CASp). Note: A Certified Access Specialist (CASp) can inspect the subject premises and determine whether the subject premises comply with all of the applicable construction-related accessibility standards under state law. Although state law does not require a CASp inspection of the subject premises, the commercial property owner or lessor may not prohibit the lessee or Lessee from obtaining a CASp inspection of the subject premises for the occupancy or potential occupancy of the lessee or Lessee, if requested by the lessee or Lessee. The parties shall mutually agree on the arrangements for the time and manner of the CASp inspection, the payment of the fee for the CASp inspection, and the cost of making any repairs necessary to correct violations of construction-related accessibility standards within the premises.

~~have undergone an inspection by a Certified Access Specialist (CASp) and it was determined that the Premises met all applicable construction related accessibility standards pursuant to California Civil Code §55.51 et seq. Lessee acknowledges that it received a copy of the inspection report at least 48 hours prior to executing this Lease and agrees to keep such report confidential.~~

~~have undergone an inspection by a Certified Access Specialist (CASp) and it was determined that the Premises did not meet all applicable construction related accessibility standards pursuant to California Civil Code §55.51 et seq. Lessee acknowledges that it received a copy of the inspection report at least 48 hours prior to executing this Lease and agrees to keep such report confidential except as necessary to complete repairs and corrections of violations of construction related accessibility standards.~~

~~In the event that the Premises have been issued an inspection report by a CASp the Lessor shall provide a copy of the disability access inspection certificate to Lessee within 7 days of the execution of this Lease.~~

(b) Since compliance with the Americans with Disabilities Act (ADA) and other state and local accessibility statutes are dependent upon Lessee's specific use of the Premises, Lessor makes no warranty or representation as to whether or not the Premises comply with ADA or any similar legislation. In the event that Lessee's use of the Premises requires modifications or additions to the Premises in order to be in compliance with ADA or other accessibility statutes, Lessee agrees to make any such necessary modifications and/or additions at Lessee's expense.

LESSOR AND LESSEE HAVE CAREFULLY READ AND REVIEWED THIS LEASE AND EACH TERM AND PROVISION CONTAINED HEREIN, AND BY THE EXECUTION OF THIS LEASE SHOW THEIR INFORMED AND VOLUNTARY CONSENT THERETO. THE PARTIES HEREBY AGREE THAT, AT THE TIME THIS LEASE IS EXECUTED, THE TERMS OF THIS LEASE ARE COMMERCIALY REASONABLE AND EFFECTUATE THE INTENT AND PURPOSE OF LESSOR AND LESSEE WITH RESPECT TO THE PREMISES.

ATTENTION: NO REPRESENTATION OR RECOMMENDATION IS MADE BY AIR CRE OR BY ANY BROKER AS TO THE LEGAL SUFFICIENCY, LEGAL EFFECT, OR TAX CONSEQUENCES OF THIS LEASE OR THE TRANSACTION TO WHICH IT RELATES. THE PARTIES ARE URGED TO:

- 1. SEEK ADVICE OF COUNSEL AS TO THE LEGAL AND TAX CONSEQUENCES OF THIS LEASE.**
- 2. RETAIN APPROPRIATE CONSULTANTS TO REVIEW AND INVESTIGATE THE CONDITION OF THE PREMISES. SAID INVESTIGATION SHOULD INCLUDE BUT NOT BE LIMITED TO: THE POSSIBLE PRESENCE OF HAZARDOUS SUBSTANCES, THE ZONING OF THE PREMISES, THE STRUCTURAL INTEGRITY, THE CONDITION OF THE ROOF AND OPERATING SYSTEMS, AND THE SUITABILITY OF THE PREMISES FOR LESSEE'S INTENDED USE.**

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WARNING: IF THE PREMISES ARE LOCATED IN A STATE OTHER THAN CALIFORNIA, CERTAIN PROVISIONS OF THE LEASE MAY NEED TO BE REVISED TO COMPLY WITH THE LAWS OF THE STATE IN WHICH THE PREMISES ARE LOCATED.

The parties hereto have executed this Lease at the place and on the dates specified above their respective signatures.

Executed at: _____

On: _____

By LESSOR:

Via Corona, LLC, a California limited liability company

DocuSigned by:

Pejman Pakravan

By: _____ A4FE82E71612424...

Name Printed: Pejman Pakravan

Title: Its Authorized Representative

Phone: _____

Fax: _____

Email: _____

Address: 5140 Via Corona Street
Los Angeles, California 90022

Federal ID No.: _____

BROKER

Attn: _____

Title: _____

Address: _____

Phone: _____

Fax: _____

Email: _____

Federal ID No.: _____

Broker DRE License #: _____

Agent DRE License #: _____

Executed at: _____

On: _____

By LESSEE:

Schools in Action, a California nonprofit public benefit corporation d.b.a. Arts in Action Community Charter School, Arts in Action Middle School, and Schools in Action School Food Authority

DocuSigned by:

Kalin Balcomb

By: _____ D0B98AB1F34A1...

Name Printed: Kalin Balcomb

Title: CEO/President

Phone: _____

Fax: _____

Email: _____

Address: 5115 Via Corona Street
Los Angeles, California 90022

Federal ID No.: _____

BROKER

Kidder Mathews of California, Inc.

Attn: Christopher Steck

Title: Senior Vice President

Address: 601 South Figueroa Street, Suite 2700
Los Angeles, California 90017

Phone: 213.225.7231

Fax: _____

Email: christopher.steck@kidder.com

Federal ID No.: _____

Broker DRE License #: 01946490

Agent DRE License #: 01841338

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ADDENDUM TO LEASE

Date: February 2, 2024

By and Between

Lessor: Via Corona, LLC, a California limited liability company

Lessee: Schools in Action, a California nonprofit public benefit corporation d.b.a. Arts in Action Community Charter School, Arts in Action Middle School, and Schools in Action School Food Authority

Property Address: 5136-5140 Via Corona Street, Los Angeles, California 90022
(street address, city, state, zip)

Paragraph: 51 - 63

In the event of any conflict between the provisions of this Addendum and the printed provisions of the Lease, this Addendum shall control.

51. **Pre-Condition to Lessee's Use.** Prior to Lessee's use of the Premises and throughout the entire term of this Lease, Lessee shall, at its own cost and expense, procure and maintain any and all use permits, licenses and governmental approvals required by the City of Los Angeles, the County of Los Angeles, the State of California and any and all other public agencies with jurisdiction over the Lessee, the Premises, and the Lessee's Agreed Use ("Government Approvals"). Lessee shall be solely liable for being knowledgeable about, obtaining and maintaining each and every such Governmental Approval.
52. **Permit Contingency:** Lessee shall have sixty (60) days from the Effective Date ("Permit Contingency Period"), to use its commercially reasonable efforts to obtain necessary Governmental Approvals, including those necessary for use and occupancy of the Premises for the Agreed Use. In the event that the necessary Governmental Approvals are not obtained by Lessee during in the Permit Contingency Period, Lessee shall have the right to terminate the Lease by written notice to Lessor given during the Permit Contingency Period, in which event Lessor shall refund all sums paid by Lessee at time of execution, and the Parties shall be discharged from all obligations hereunder; provided that Lessee may elect to extend the Permit Contingency Period by up to thirty (30) days, by written notice delivered to Lessor prior to the expiration of the initial Permit Contingency Period, during which extended Permit Contingency Period Lessee shall continue to undertake commercially reasonable efforts to obtain necessary Governmental Approvals and be entitled to terminate the Lease by written notice to Lessor as provided in this Paragraph 52. The date Lessor receives written notice of Lessee's receipt of Government Approval, or expiration of the Permit Contingency Period without termination of the Lease by Lessee, whichever occurs first, shall be referred to herein as the "Permit Contingency Removal Date".
53. **Delivery Date:**
- (A) Provided Lessee has not terminated the Lease in accordance with Paragraph 52 and timely complied with the terms of Paragraph 59, Lessor shall, subject to the terms hereof, (1) Substantially Complete the Lessor's Work (as defined in paragraph 54) and tender possession of 5136 Via Corona (currently vacant) to Lessee ("Partial Delivery") within eight (8) weeks of the Permit Contingency Removal Date ("Partial Delivery Date") and (2) tender possession of 5140 Via Corona (currently occupied) to Lessee ("Delivery") within one hundred and fifty (150) days after the Permit Contingency Removal Date ("Delivery Date").
- (B) Lessor acknowledges that the failure to timely achieve Partial Delivery or Delivery shall cause substantial and unpredictable damages to Lessee with regard to its contemplated improvements and operations at the Premises, which damages depend on a number of circumstances, are uncertain in advance, and cannot practically be calculated at the time of execution of this Lease. These damages would potentially include the loss of use of the Premises, disruption and delay of the Lessee's Work, increased construction costs, increased administrative and oversight costs, increased permitting and compliance costs, and other similar damages. Accordingly, Lessor agrees that, subject to delays resulting from Force Majeure and Tenant Delays, as defined herein, should Lessor fail to timely achieve Partial Delivery by the Partial Delivery Date, or Delivery by the Delivery Date, as provided in Paragraph 53 (A), Lessor shall incur liability for liquidated damages to Lessee on a daily basis in an amount

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equal to (i) 200% of the proportional per-day Base Rent attributable to 5136 Via Corona (46.9%) for each day beyond the Partial Delivery Date until the Partial Delivery, but in no case more than sixty (60) days, and (ii) 200% of the proportional per-day Base Rent attributable to 5140 Via Corona (53.1%) for each day after the Delivery Date until the Delivery, but in no case more than sixty (60) days. Liability incurred under this subparagraph shall be payable to Lessee within five (5) days of Partial Delivery or Delivery, respectively, or immediately upon Lessee's termination of the Lease as provided in this subparagraph. Notwithstanding the foregoing, if Partial Delivery has not occurred within 60 days of the Partial Delivery Date, or the Delivery has not occurred within 60 days of the Delivery Date, Lessee shall have the right, as it sole and exclusive remedy, to terminate the Lease by written notice to Lessor, in which event Lessor shall pay all liability incurred pursuant to this subparagraph and refund all sums paid by Lessee at time of execution, after which the Parties shall be discharged from all obligations hereunder.

(C) The Parties agree that the calculation of liquidated damages contemplated here are fairly calculated to compensate Lessee for such delays and are not a penalty. Lessor shall not be subject to payment of the foregoing compensation to Lessee for any day of delay that is clearly attributable to (i) circumstances beyond Lessor's control, including without limitation, "acts of God", natural disasters, war, strikes, government regulations, or unreasonable permit approval delays ("Force Majeure") or (ii) any Tenant Delay. As used in the Lease, the term "Tenant Delay" means an actual delay in effectuating the Partial Delivery by the Partial Delivery Date, or Delivery by the Delivery Date, to the extent caused by any of the following: (1) Lessee's failure to timely approve any matter requiring Lessee's approval or to comply with any matter requiring Lessee's compliance within any applicable time period(s) set forth herein, to the extent such failure actually causes a delay; (2) a breach by Lessee of the terms of the Lease, to the extent such breach actually causes a delay; (3) Lessee's request for changes in the Lessor's Work, to the extent such request actually causes a delay; or (4) any other acts or omissions of Lessee, its agents or employees, including interference in Lessor's performance of Lessor's Work, to the extent any such act or omission actually causes a delay. In the event of such an excusable delay, Lessor shall be excused from making the payment provided in this paragraph only for the minimum number of days reasonably required to alleviate the condition causing the delay.

54. **Lessor Work:** Subject to the terms and conditions hereof, Lessor agrees, at its cost and expense to complete the following work of improvement ("Lessor's Work") within eight (8) weeks from the Permit Contingency Removal Date:

- a. Replace the roof for both buildings;
- b. Repair/replace the damaged trusses outlined in the Property Inspection Report dated [REDACTED], 2023;
- c. Pour concrete flooring in the unimproved sections of 5136 Via Corona warehouse.
- d. Replace all windows at the Premises with like kind and quality windows.
- e. Remove any existing Hazardous Substances, including specifically all asbestos and asbestos-containing materials, that testing may reveal is located on the Premises.
- f. Lessor shall furnish to the Premises electric current to the capacity available to the Premises as of the Effective Date, which shall specifically include the installation of service conductors and an electrical panel; provided that Lessee shall contract directly with the utility company serving the Project for such services.

As used in the Lease, "Substantially Complete" or "Substantial Completion" (or words of similar import) means completion of Lessor's Work in accordance with appropriate plans and permits, if any, subject only to the punch-list items, if any. Lessee shall not apply for permits for Lessee's Work until after Substantial Completion.

At Lessor's election, Lessee shall dedicate a staff member/representative to manage/oversee/supervise Lessor's Work. Lessor shall be entitled to select all architects, engineers, contractors and material suppliers necessary to furnish the labor and materials for the construction of the Lessor's Work. Lessor shall be the sole contracting party with respect to the employment of contractors which perform the Lessor's Work.

55. **Lessee Work:** Lessee shall have the right to begin Lessee's Work (as defined herein) in 5136 Via Corona only after the Partial Delivery, and in 5140 Via Corona only after the Delivery. Lessee may be provided access to the Premises prior to these dates upon reasonable written notice to Lessor, consent to which access shall not be unreasonably withheld, delayed, or conditioned. Lessee shall not interfere with or impair in any material way Lessor's Work, and any such interference or impairment shall extend any deadlines for Lessor's completion of Lessor's Work, and after notice and opportunity to cure in accordance to the terms of the Lease, shall entitle Lessor to all remedies provided

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herein for breach of this Lease. Lessee, at Lessee's expense, shall (a) perform all work reasonably necessary for Lessee to conduct its business in the Premises and not included in Lessor's Work, including the purchase and installations of all furniture, fixtures and equipment ("Lessee's Work"), and (b) obtain and maintain any and all necessary permits and licenses to enable Lessee to conduct Lessee's Agreed Use, and the failure of Lessee to obtain or maintain same shall not in any manner affect the Lessee's obligations hereunder. Lessor shall be solely responsible, at its cost and expense, for obtaining all permits and approvals related to Lessor's Work. Any work consisting of improvements, alterations, or installations by Lessee reflected in or required by any governmental permit process, which shall have been approved by Lessor, shall not be subject to removal and return to original condition by Lessee at the expiration of the Lease.

56. **Premises Taken - As-Is.** Except as may be specifically provided in this Lease (including, without limitation, Lessor's Work) the Premises are leased to Lessee "as is", without representation or warranty by the Lessor, with the exception that Lessor represents that it shall perform all Lessor's Work in accordance with applicable law and the requirements of the building code, and Lessee accepts the Premises in the condition existing as of the date of occupancy and subject to all applicable zoning, municipal, county and state laws, ordinances, rules, regulations, orders, restrictions of record, and requirements regulating the Premises in effect during any period of the Term hereof. Lessee represents and warrants that it has conducted its own inspections and has relied entirely thereupon and upon those of its agents, representatives and consultants in evaluating the Premises for its occupancy and use. Lessee has conducted its own inspection of the Premises using a licensed inspector and accepts the condition, provided that, aside from those changes to the condition of the Premises necessarily occurring due to the Lessor's Work, the Premises shall not otherwise be permitted to suffer any substantial damage or severe deterioration of condition between the Effective Date and the Rent Commencement Date.
57. **Commencement Date.** The Lease term shall commence on the date of Partial Delivery. Lessee's obligation to pay full Base Rent and NNN Charges shall commence on the Delivery Date ("Rent Commencement Date"); provided that Lessee shall begin paying the proportionate $(5,300/11,300=46.90\%)$ Base Rent and NNN charges for 5136 Via Corona as of the Partial Delivery. Within five (5) business days following the Rent Commencement Date, Lessor and Lessee shall complete and execute that certain commencement date agreement ("Commencement Date Agreement"), in form and content substantially similar to Exhibit A attached hereto and made a part hereof. In the event that the Lessee fails to execute and deliver to Lessor the Commencement Date Agreement as accurately completed by Lessor, then Lessee authorizes and empowers Lessor, as its attorney-in-fact, and as its agent, irrevocably, with full power of substitution for Lessee and in its name, for the sole and limited purpose of executing the Commencement Date Agreement. The foregoing power-of-attorney is irrevocable and coupled with an interest. Lessee agrees that provided the terms of the Commencement Date Agreement are in accordance with the terms of this Lease, then any and all dates and information set for by Lessor in that certain Commencement Date Agreement and the execution by Lessor of same on behalf of Lessee in accordance with the foregoing power of attorney shall be conclusive and binding upon Lessee.
58. **Rent Abatement:** The Base Rent for months thirteen (13) and twenty-four (24) shall be completely abated.
59. **Prepaid Rent:** Within two (2) days of the Permit Contingency Removal Date Lessee shall prepay the estimated first twelve (12) months of Base Rent and estimated NNN charges totaling \$184,229.20 (\$168,347.37 Base Rent + \$15,881.83 for NNN estimate). Notwithstanding the foregoing, in the event the Partial Delivery occurs earlier than Partial Delivery Date or Delivery shall occur sooner than Delivery Date, then Lessee shall make the following payments: (A) within 10 days of the Partial Delivery, prorated Base Rent and NNN charges for 5136 Via Corona (46.9% of Base Rent and NNN charges) based on the actual number of days between the date of Partial Delivery and the Partial Delivery Date; and (B) within 10 days of the Delivery, prorated Base Rent and NNN charges for 5140 Via Corona (53.1% of Base Rent and NNN charges) based on the actual number of days between the date of Delivery and the Delivery Date.
60. **Rent Adjustment.** The Base Rent shall increase by three percent (3%) annually as of the one-year anniversary of the Commencement Date.
61. **Additional Rent.** Notwithstanding any other provision of the Lease, Lessee shall pay to Lessor, on a monthly basis, at the same time(s) and in the same manner(s) as Lessee pays its monthly Base Rent to Lessor, the equal periodic installments $(1/12^{th})$ of the amount estimated in advance by Lessor for a particular calendar year to be Lessee's obligation for Real Property Taxes and insurance premiums, in which event within sixty (60) days after each calendar year, Lessor shall furnish Lessee with a statement ("Lessor's Operating Statement") showing in reasonable detail (i) Real Property Taxes, and (ii) insurance premiums incurred for the previous calendar year. If actual Real Property Taxes, and insurance premiums for a calendar year exceeds the amount of estimated Real Property Taxes, and insurance premiums actually paid by Lessee for that calendar year, then Lessee shall pay such deficiency to

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Lessor within ten (10) days after receipt of the Lessor's Operating Statement. If the estimated payments for Real Property Taxes, and insurance premiums for a calendar year exceeds the actual Real Property Taxes, and insurance premiums for that calendar year, then the excess shall be credited against Lessee's future Real Property Taxes, and insurance premiums obligation. In no event shall Lessee be relieved of its obligation to pay Real Property Taxes, and insurance premiums if Lessor is late in sending Lessor's Operating Statement to Lessee. Lessee estimates that the Lessee's monthly obligation for Real Property Taxes and insurance premiums shall be equal to \$1,695.00 (\$0.15/SF). Lessor acknowledges that some or all of Lessee's use of the Premises qualifies for a property tax exemption that may reduce the amount owed in Real Property Taxes for the Premises significantly. Lessor shall cooperate with, but shall not be required to expend any material costs in furtherance of, Lessee's efforts to establish and maintain its exemption from property tax. Lessor acknowledges that the full benefit of such property tax exemption must be received by Lessee pursuant to law and that Lessor will not retain or fail to promptly reimburse Lessee as provided herein for any NNN charges paid by Lessee and attributable to payment of Real Property Taxes.

62. **Prop 13 Protection:** In the event that the Premises is reassessed during the Lease Term, Lessee shall not be responsible for any Real Property Tax increase resulting from the sale of the Property. For purposes of this Paragraph 63, the term "Real Property Tax increase" shall not mean any portion of the Real Property Taxes which (i) is attributable to the initial assessment of the value of the Real Property, the base, shell and core of the Building or the tenant improvements located in the Building, (ii) is attributable to improvements by Lessor and Lessee in accordance to the terms of this Lease, or (iii) is attributable to the annual inflationary increase of real estate taxes permitted to be assessed annually under Proposition 13.
63. **Right of First Refusal to Purchase Premises.** If at any time during the term of this Lease Lessor receives from any third party a bona fide written offer to purchase the Premises ("Offer") at a price and on terms Lessor intends to accept, Lessor shall first give written notice of the Offer to Lessee ("ROFR Notice"). Lessee shall have ten (10) business days after receipt of the ROFR Notice to notify Lessor in writing (the "ROFR Acceptance Notice") of its intent to purchase the Property on the terms and conditions set forth in the Offer and ROFR Notice. If Lessee provides a timely ROFR Acceptance Notice, Lessor and Lessee shall within ten (10) business days of the ROFR Acceptance Notice, execute the Offer, replacing the Buyer's name with the Lessee's name (or if the Offer is not a purchase and sale agreement, execute the most current form of AIR Standard Purchase Agreement & Escrow Instructions for Purchase of Real Estate ("PSA") amended to comport with all material terms provided in the Offer), open escrow, and Lessor shall sell and convey the Property to Lessee on the terms set forth in the Offer (or a PSA, if one is executed), with a \$500,000 credit to Lessee towards the purchase price at close of escrow. If Lessee fails to provide a timely ROFR Acceptance Notice in accordance with the provisions of this Paragraph, Lessor may sell the Premises to the third party making the Offer on the same terms and conditions set forth in the Offer. If the Property is sold to any third party during the term of this lease, then the provisions of this Paragraph shall thereafter be of no further force or effect.

END.

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OPTION(S) TO EXTEND TERM STANDARD LEASE ADDENDUM

Dated: February 2, 2024

By and Between

Lessor: Via Corona, LLC, a California limited liability company

Lessee: Schools in Action, a California nonprofit public benefit corporation d.b.a. Arts in Action Community Charter School; d.b.a Arts in Action Middle School; d.b.a. Schools in Action School Food Authority

Property Address: 5136-5140 Via Corona Street, Los Angeles, California 90022
(street address, city, state, zip)

Paragraph: 64.

OPTION(S) TO EXTEND TERM. Subject to the terms, conditions and provisions of Paragraph 39, Lessor grants Lessee two (2) option(s) to extend the term of the Lease ("Extension Option(s)"), with each Extension Option being for a term of sixty (60) months, commencing when the prior term expires ("Option Term(s)"). In order to exercise an Extension Option, Lessee must give written notice of such election to Lessor and Lessor must receive such notice at least six (6) but not more than nine (9) months prior to the date that the applicable Option Term would commence, time being of the essence. If timely and proper notification of the exercise of an Extension Option is not given by Lessee and/or received by Lessor, such Extension Option shall automatically expire. Except as specifically modified, the terms, conditions and provisions of the Lease shall apply during Option Terms but the amount of Rent during Option Terms shall be established by using the following amount:

Fixed Percentage. At the start of each Option Term, monthly Base Rent shall be 103% of the monthly Base Rent for the previous full month of expiring Term or Option Term. The monthly Base Rent shall increase by three percent (3%) annually as of the one year anniversary of each Option Term.

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EXHIBIT A

COMMENCEMENT DATE AGREEMENT

THIS AGREEMENT made this _____ day of _____, 202__, between Via Corona, LLC, a California limited liability company (herein "Lessor") and Schools in Action, a California nonprofit public benefit corporation d.b.a. Arts in Action Community Charter School, Arts in Action Middle School, and Schools in Action School Food Authority (herein "Lessee").

WITNESSETH

WHEREAS, Lessor and Lessee have entered into that certain Lease dated February 2, 2024 ("Lease") for the Premises located at 55136 & 5140 Via Corona St., Los Angeles, CA 90022.

WHEREAS, Lessor and Lessee wish to set forth their agreements as to the commencement of the term of the Lease.

NOW THEREFORE, Lessor and Lessee agree as follows:

- 1. The Partial Delivery Date is _____, 202__.
- 2. The Delivery Date is _____, 202__.
- 3. The Commencement Date _____, 202__.
- 4. The initial Term of the Lease shall expire of _____, 202__.
- 5. There are currently no uncured defaults on the part of either Lessor or Lessee, except for the following (if none, so state): _____.

IN WITNESS WHEREOF, the parties hereto have executed this Agreement as of the day and year first above written.

LESSOR:

Via Corona, LLC, a California limited liability company

LESSEE:

Schools in Action, a California nonprofit public benefit corporation d.b.a. Arts in Action Community Charter School, Arts in Action Middle School, and Schools in Action School Food Authority

By: _____
Name: _____
Its: Authorized Representative

By: _____
Name: _____
Its: _____

Budget Narrative & Cash Flow Statement

Below is the financial information and narrative for the proposal of Arts in Action Community Charter ("AIAE"). The financial statements include a 4-year pro-forma annual budget and monthly cash flow statement (the planning year plus 3 years of operations for 2023-24 through 2026-27 inclusive).

Students: Enrollment, Demographics and Average Daily Attendance

Revenues for AIAE will largely depend on the number of students enrolled and their attendance. Average Daily Attendance (ADA) is the aggregate attendance during a reporting period divided by the number of days the school is in session during that period. ADA is used to calculate many of the revenue sources. To allow for conservatism, this budget assumes a 93% attendance rate in FY 2023-24 and a 95% attendance rate in the following years.

AIAE's 2023-24 enrollment is currently at 381, projected to start 2024-25 at 395 and remain constant through the next several years. The following table shows AIAE's projected enrollment and ADA.

Table A: Enrollment & ADA

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Projected Enrollment & ADA by Grade</i>				
TK	23	40	40	40
K	47	40	40	40
1st Grade	53	40	40	40
2nd Grade	59	65	65	65
3rd Grade	74	70	70	70
4th Grade	65	70	70	70
5th Grade	60	70	70	70
Total Projected Enrollment	381	395	395	395
<i>Average Daily Attendance (ADA)</i>				
ADA %	93%	95%	95%	95%
Total	354.33	375.25	375.25	375.25

Revenues

Factoring in all revenues at the school, per-pupil funding is expected to be approximately \$25,000/ADA at AIAE throughout the multi-year budget. State revenue streams provide the largest source of funding, making up an average of 61% of AIAE's total revenues. All revenues are monitored throughout the year as various funding estimates are refined and recalculated.

Table B: Summary of Projected Revenues

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Summary of Revenue Programs</i>				
State Aid - Revenue Limit	\$5,325,329	\$5,721,302	\$5,909,912	\$6,098,190
Federal Revenue	732,125	500,523	500,523	500,523
Other State Revenue	3,464,010	2,984,958	2,709,593	2,562,928
Other Local Revenue	52,337	55,427	55,427	55,427
Total Revenues	\$9,573,802	\$9,262,210	\$9,175,455	\$9,217,068
<i>State Revenues as % of Total</i>	<i>55.6%</i>	<i>61.8%</i>	<i>64.4%</i>	<i>66.2%</i>
<i>Revenues per ADA</i>	<i>\$27,019</i>	<i>\$24,683</i>	<i>\$24,452</i>	<i>\$24,562</i>

State Revenues

State Revenues are estimated based on specific programs as identified below, with the majority of funding dependent upon the annual State budget and the school's student population.

Principal Apportionment

The LCFF FCMAT calculator (FCMAT Version v24.2c) was used to determine the LCFF projections for each year of the above revenue projections which are based on expected student ADA and the expected unduplicated count of students at AIAE of 95.56%. This rate is higher than the demographics of LAUSD in entirety.

These projections show that in year 1, a total of \$1.2M of the principal apportionment ADA funding will be disbursed via the Education Protection Account. Approximately 22% of the LCFF revenues (or \$3,508 per ADA) are projected to be disbursed via In-Lieu Property Taxes.

Table C: Projected State Revenues

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>State Aid - Revenue Limit</i>				
LCFF State Aid	\$3,000,757	\$3,214,351	\$3,363,786	\$3,512,831
Education Protection Account	1,081,713	1,190,713	1,229,887	1,269,120
In Lieu of Property Taxes	1,242,859	1,316,238	1,316,238	1,316,239
Total State Revenue	\$5,325,329	\$5,721,302	\$5,909,912	\$6,098,190

Federal Revenues

Special Education

AIAE provides special education services and will work with the LAUSD Special Education Local Planning Area (SELPA) to ensure resources are provided to ensure compliant, efficient, and effective delivery of services. AIAE's state special education funding includes general state aid of \$979/ADA. In addition to

state special education funding, the revenue projection for AIAE also assumes \$245/ADA of federal special education funding.

Free and Reduced-Price Meal Eligibility

While AIAE operates a food program, all expenses and revenues are attributed to the Schools in Action Food Authority.

Title Programs

Based on an unduplicated pupil percentage of roughly 96%, AIAE has also included Title Funds in this budget.

Cares Act / Other Federal Revenue:

AIAE is projected to use \$145K in One Time Cares Act Funding in FY23-24, which will fully expend these Federal funds. Within Other Federal Revenue, AIAE projects that the current funding awarded for both Title IV, Part B. 21st Century Community Learning Centers Program and Title IV, Part A, Student Support and Academic Enrichment Grants will continue to be granted in future years at approximately \$198k and \$10k, respectively.

Table D: Projected Federal Revenues

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Federal Revenue</i>				
Special Education - Entitlement	\$86,676	\$91,794	\$91,794	\$91,794
Title I, Part A - Basic Low Income	156,903	166,167	166,167	166,167
Title II, Part A - Teacher Quality	12,329	13,057	13,057	13,057
Title III - Limited English	20,307	21,506	21,506	21,506
Other Federal Revenue	356,794	208,000	208,000	208,000
Prior Year Federal Revenue	99,116	-	-	-
Total Federal Revenue	\$732,125	\$500,523	\$500,523	\$500,523

Other State Revenues

Lottery & Mandated Block Grant

Lottery funding is based upon a projection of \$249 per ADA per year. Lottery funds are mainly allocated for general purpose use with nearly 25% of the funds restricted to instructional materials. Projections for the Mandate Block Grant are assumed at \$19.76/ADA for grades K-8 and \$54.91/ADA for grades 9-12.

The Lottery funds have been included in year one and an accrual and receivable at the end of year one as the funds will be paid as a prior year adjustment during year two of operations.

Charter School Facility Grant (SB740)

AIAE is projecting to have a UPP of 96%, and the geographic area of the school is within the boundaries of LAUSD elementary schools whose percentage of eligible students exceeds 85%. As a result, the budget does include the SB740 funding based on the lesser of \$1,478 per ADA or 75% of the budgeted lease cost.

Cares Act/Other State Funding

AIAE is projected to use \$2.7M in One Time Cares Act and/or Other Funding in FY23-24. This amount decreases annually over the next 3 years but remains in the revenue projections as noted below.

	2023-24	2024-25	2025-26	2026-27
	Current Year	Year 1	Year 2	Year 3
Other State Revenue				
State Special Education	\$346,790	\$367,265	\$367,265	\$367,265
School Facilities (SB740)	\$487,019	\$539,478	\$539,478	\$539,478
Mandated Cost	6,923	6,579	7,415	7,415
State Lottery	\$88,228	\$93,437	\$93,437	\$93,437
Prior Year Revenue	12,311	-	-	-
Other State Revenue	\$2,522,740	\$1,978,198	\$1,701,997	\$1,555,332
Total Other State Revenue	\$3,464,010	\$2,984,958	\$2,709,593	\$2,562,928

Other State Revenue is detailed below:

Table E: Projected Other State Revenues

Source	Resource	Expiration	Type	FY23-24	FY24-25	FY25-26	FY26-27
After School Education and Safety (ASES) **	6010	6/30/2024	State	152,612	150,000	150,000	150,000
American Rescue Plan (ARP) Consortium - Homeless Education Program (HEP)	5634	9/30/2024	LACOE	2,154			
Antibias Education Grant	6318	6/30/2026	State	56,278	51,160	51,160	-
Arts and Music in Schools (AMS) Funding Guarantee and Accountability Act (Prop 28)	6770	6/30/2024	State	61,934	60,000	60,000	60,000
Arts, Music & Instructional Materials Block Grant (AMIMBG)	6762	6/30/2026	State	-	116,300	108,092	-
CA Community School Partnership Program (CCSPP) - Planning Grant	6331	6/30/2024	State	100,000			
Child Dev: Universal Prekindergarten Planning & Implementation Grant (FY 2021-	6053	6/30/2024	State	43,845	-	-	-
Child Dev: Universal Prekindergarten Planning & Implementation Grant (FY 2022-	6053	6/30/2026	State	20,000	43,811	-	-
Educationally Related Mental Health Services (ERMHS) **	6546	6/30/2024	State	17,717	15,000	15,000	15,000
Educator Effectiveness Block Grant (EEBG)	6266	6/30/2026	State	15,000	21,000	88,313	-
Expanded Learning Opportunities (ELO) Grant (Prop 98)	7425	9/30/2024	State	131,198	-	-	-
Expanded Learning Opportunities (ELO)	7426	9/30/2024	State	52	-	-	-
Expanded Learning Opportunities Program (ELOP) FY23	2600	6/30/2024	State	700,126	-	-	-
Expanded Learning Opportunities Program (ELOP) FY24	2600	6/30/2024	State	824,683	885,000	885,000	885,000
In-Person Instruction (IPI) Grant	7422	9/30/2024	State	141,800	-	-	-
Learning Recovery Emergency Block Grant (LREBG)	7435	6/30/2028	State	-	180,300	130,200	231,100
Literacy Coaches and Reading Specialist	7810	6/30/2027	State	139,233	139,233	139,233	139,233
Option 3 - Impact Grant		6/30/2024-5	LAUSD	-	237,800	-	-
Option 3 - Innovation Grant	9003	6/30/2024	LAUSD	10,000		-	-
Option 3 - Program Development Grant (PDG)	9015	6/30/2024	LAUSD	86,668	78,595	75,000	75,000
Option 3 - TEA Round #1		6/30/2024	LAUSD	19,441		-	-
TOTAL				2,522,740	1,978,198	1,701,997	1,555,332

Other Local Revenues

Fundraising and interest have been projected conservatively based on past years' experience.

Expenditures

The projected expenditures through 2026-27 are shown below and are followed by a summary of assumptions for some of the larger expenses.

Table F: Summary of Projected Expenses

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Summary of Projected Expenses</i>				
Certificated Salaries	\$2,630,419	\$2,903,500	\$2,961,570	\$3,020,802
Classified Salaries	1,966,094	1,499,233	1,529,218	1,559,803
Employee Benefits	1,173,090	1,157,587	1,180,507	1,203,884
Total Compensation	\$5,769,603	\$5,560,321	\$5,671,296	\$5,784,489
Books and Supplies	527,090	580,249	580,829	549,421
Subagreement Services	344,094	341,410	348,239	355,203
Operations and Housekeeping	267,362	333,656	340,329	347,136
Facilities, Repairs and Other Leases	1,514,369	1,543,392	1,547,578	1,551,847
Professional/Consulting Services	611,633	448,607	450,285	455,208
Depreciation	55,664	87,664	87,664	87,664
Total Non-Comp	\$3,320,213	\$3,334,979	\$3,354,924	\$3,346,480
Total Expenses	\$9,089,816	\$8,895,300	\$9,026,220	\$9,130,969

Total Compensation - Salaries and Employee Benefits

Total compensation costs (salary and benefits) at capacity remain relatively constant near 63% of total expenditures. "Compensation" includes the salary costs of all staff, including those who work full-time and part-time, and includes all staff benefits including social security, Medicare, and workers' compensation.

AIAE's teacher staffing levels are based upon enrollment projections. Ratios of Students to Certificated Teachers is expected to be at or below 7.0:1 over the course of the full 4 years of operations.

Table G: Instructional Staff Ratio

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Instructional Staff Ratio</i>				
School Attendance	354.3	375.3	375.3	375.3
Certificated Teacher	29.0	29.0	29.0	29.0
Certificated Pupil Support (including SPED)	3.4	3.4	3.4	3.4
Classified Instructional Aides	38.1	27.6	27.6	27.6
Total Instructional Staff	70.5	60.0	60.0	60.0
<i>Student : Instructional Staff Ratio</i>	<i>5.4</i>	<i>6.6</i>	<i>6.6</i>	<i>6.6</i>

The staffing tables associated with our financial projections are shown below:

Table H: Staffing Summary

	2023-24	2024-25	2025-26	2026-27
	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>	<i>Year 4</i>
Total Staffing				
Instructional Staff				
Teachers				
TK-K	3.0	3.0	3.0	3.0
1st Grade	3.0	3.0	3.0	3.0
2nd Grade	1.0	1.0	1.0	1.0
3rd Grade	2.0	2.0	2.0	2.0
4th Grade	2.0	2.0	2.0	2.0
5th Grade	2.0	2.0	2.0	2.0
Other	16.0	16.0	16.0	16.0
Total Teacher	29.0	29.0	29.0	29.0
Other Instructional Staff				
Certificated Pupil Support (including SPED)	3.4	3.4	3.4	3.4
Classified Instructional Aides	38.1	27.6	27.6	27.6
Total Other Instructional Staff	41.5	31.0	31.0	31.0
Total Instructional Staff	70.5	60.0	60.0	60.0
Administrative Staff - Certified				
Principal	1.0	1.0	1.0	1.0
Dean	1.0	1.0	1.0	1.0
Other	1.7	1.7	1.7	1.7
Total Administrative Staff - Certified	3.7	3.7	3.7	3.7
Support and Administrative Staff				
Administrative - Classified (FTE)	1.8	1.3	1.3	1.3
Clerical Staff - Classified (FTE)	2.0	2.0	2.0	2.0
Other Staff - Classified (FTE)	17.0	17.0	17.0	17.0
Total Classified Staff	20.8	20.3	20.3	20.3
Total Staffing	95.0	84.0	84.0	84.0

For the current year of operations (2023-24), the School and Site Directors and other 12-month employees began on July 1, 2023.

The average salary structure for key FTE staff positions is listed in the table below. The budget assumes a cost-of-living adjustment of 0.76% in Year 1, 3.29% in Year 2 and 3.19% in Year 3. Note that the projected total salary amounts in Table E also includes support staff costs.

Table I: Average Budgeted Salary by Position

	2023-24	2024-25	2025-26	2026-27
	Current Year	Year 1	Year 2	Year 3
Average Budgeted Salary by Position				
Teacher (including SPED)	67,910	74,408	75,896	77,414
Administrative Staff - Certified	102,474	106,151	108,274	110,440
Classified Staff (Support and Administrative)	33,409	31,332	31,959	32,598

Table J: Employee Benefits

	2023-24	2024-25	2025-26	2026-27
	Current Year	Year 1	Year 2	Year 3
Employee Benefits				
STRS	\$475,737	\$554,569	\$565,660	\$576,973
OASDI	128,261	92,952	94,812	96,708
Medicare	66,882	63,840	65,116	66,419
Health and Welfare	438,639	354,960	362,059	369,300
State Unemployment	6,380	12,017	12,026	12,034
Workers' Compensation	49,216	48,430	49,399	50,387
Other Benefits	7,976	30,819	31,436	32,064
Total Benefits	\$1,173,090	\$1,157,587	\$1,180,507	\$1,203,884

The table above lists the total projected annual employer costs for all employee benefits, on a year-by-year basis. Within employee benefits, most benefits are statutory and are determined by either state or federal mandate and are based on current rate factors. These benefits differ by type of employee (i.e. certificated or classified) and by whether they are full-time, part-time and/or hourly employees. AIAE's employees participate in different combinations of STRS, Social Security, Medicare, and workers' compensation depending on position. For full-time certificated employees, who participate in the State Teachers' Retirement System (and not in the Federal Social Security system), the employer contribution per the Governor's proposed budget is 19.10% in 2023-24 and remains flat for all subsequent years.

Books and Supplies and Food Services

Many of the core programming cost projections are based upon a per pupil allotment for instructional supplies, online curricula, project materials and some assessments. These costs and additional enrichment/field trip opportunities for students may be supplemented in the future by private funding as it is secured, thus these estimates are conservative. AIAE will provide breakfast and lunch for all students and will participate in the National Free and Reduced Lunch Program. These costs and revenues are absorbed by the School Food Authority.

Table K: Books & Supplies

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Books & Supplies</i>				
Textbooks and Core Curricula	\$12,118	\$13,091	\$13,352	\$13,619
Books and Other Materials	43,426	46,909	47,848	48,805
School Supplies	190,529	205,814	209,930	192,716
Software	108,372	117,066	119,407	109,616
Office Expense	83,924	90,656	92,470	84,887
Business Meals	7,457	8,055	8,217	8,381
School Fundraising	2,491	2,541	2,592	2,643
Noncapitalized Equipment	78,772	96,116	87,014	88,754
Total Books & Supplies	\$527,090	\$580,249	\$580,829	\$549,421

The purchase of equipment will also be a critical part of the instructional program. The budget accounts for the purchase of this equipment (furniture and technology) per pupil, per full-time staff member and general purchases. As these items do wear out over time and need replacement, the budget accounts for the replacement of requisite devices over time in addition to the initial purchase.

Table L: Equipment Purchases

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Device Counts</i>				
Staff FTE Count for Devices	60	60	60	60
<i>Replacement Purchases</i>	6	6	6	6
Enrollment	381	395	395	395
New Student Purchases	-	14	-	-
<i>Replacement Purchases</i>	19	20	20	20
<i>Start-Up Element and Unit Cost</i>				
Student Desks and Chairs	\$6,668	\$11,813	\$6,913	\$6,913
Teacher Desks and Chairs	\$7,200	\$7,200	\$7,200	\$7,200
Student Technology	\$7,620	\$13,500	\$7,900	\$7,900
Teacher Technology	\$5,700	\$5,700	\$5,700	\$5,700
Other Non-Cap Equipment	\$51,584	\$57,903	\$59,301	\$61,041
Total Non-Cap Equipment in Line 4400	\$78,772	\$96,116	\$87,014	\$88,754

Other Expenses

Many of the operating cost projections are based upon historical averages experienced at AIAE, such as communication costs, utilities, insurance, and copier lease costs.

Table M: Subagreement Services

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Subagreement Services</i>				
Special Education	255,209	275,682	281,196	286,820
Transportation	73,645	49,984	50,983	52,003
Security	3,311	3,577	3,649	3,722
Other Educational Consultants	11,929	12,168	12,411	12,659
Total Subagreement Services	\$344,094	\$341,410	\$348,239	\$355,203

SPED Consultants

Special Education Consultant costs include all outside service provider costs estimated at \$255K in FY23-24 (plus COLA adjustments and increases based on population growth thereafter). This includes psychological, speech language and occupational therapy services to AIAE's students with IEPs. This cost is in addition to the in-house special education positions included in the personnel costs.

Table N: Professional Services

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Professional Services</i>				
IT	\$43,441	\$46,925	\$47,864	\$48,821
Professional Development	\$98,850	\$70,000	\$70,000	\$70,000
General Consulting	\$4,553	\$4,918	\$5,016	\$5,116
Special Activities/Field Trips	\$28,579	\$30,871	\$31,489	\$32,119
Bank Charges	\$184	\$198	\$202	\$206
Other taxes and fees	\$7,523	\$8,127	\$8,290	\$8,455
Management Fee	\$283,376	\$131,555	\$129,386	\$130,427
District Oversight Fee	\$53,253	\$57,213	\$59,099	\$60,982
County Fees	\$5,800	\$6,265	\$6,391	\$6,518
SPED Encroachment	\$85,367	\$91,812	\$91,812	\$91,812
Public Relations/Recruitment	\$708	\$722	\$737	\$752
Total Professional Services	\$611,633	\$448,607	\$450,285	\$455,208

Expenses shown in the table above are primarily based on historical averages at AIAE. We make note of items below as needed to explain our budgeting assumptions.

Management Fee

AIAE has contracted with their related Charter Management Organization (CMO) Schools in Action for managerial and support functions. Services within the agreement include costs such as: executive leadership, Human Resources, legal, financial contracts (audit, back-office service provider, payroll fees) and information technology services. Fees for these services are budgeted at 3% of total revenue.

Authorizer Oversight Fee

AIAE has projected that it will be required to pay a fee of 1% of general-purpose revenues.

Table O: Facilities, Repairs and Other Leases Expenses

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Facilities, Repairs and Other Leases</i>				
Rent	\$1,227,319	\$1,334,107	\$1,334,107	\$1,334,107
Equipment Leases	33,710	36,415	37,143	37,886
Other Leases	8,155	8,809	8,985	9,165
Repairs and Maintenance	245,185	164,061	167,342	170,689
Total Facilities, Repairs and Other Leases	\$1,514,369	\$1,543,392	\$1,547,578	\$1,551,847

Facilities Rent

AIAE has negotiated a lease for a third-party site. Facilities are projected to cost \$4,046 per student on a straight-line basis in accordance with the ASC 842 lease standard. In addition to the rent cost, the school budgeted \$1,000,000 in tenant improvement costs in May through Aug 2024 (see Property and Equipment in the cash flow section). As noted above, the facility is expected to be eligible for the Charter School Facility Grant (SB740) funds based on the demographics of the surrounding LAUSD schools.

Table P: Operations and Housekeeping

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Operations and Housekeeping</i>				
Auto and Travel	\$13,967	\$15,088	\$15,389	\$15,697
Dues & Memberships	\$2,972	\$3,211	\$3,275	\$3,340
Insurance	\$108,226	\$122,754	\$125,209	\$127,713
Utilities	\$76,920	\$101,091	\$103,113	\$105,175
Janitorial Services	\$14,477	\$24,638	\$25,131	\$25,633
Communications	\$49,925	\$65,930	\$67,248	\$68,593
Postage and Shipping	\$875	\$945	\$964	\$983
Total Operations and Housekeeping	\$267,362	\$333,656	\$340,329	\$347,136

Cash Flow

Cash flow is sufficient to maintain operations without the need for borrowing. Regardless, AIAE has secured a line of credit of \$3M at a rate of Prime plus ½ basis point with Hanmi Bank. Attached hereto is the Letter of Interest from Hanmi Bank for the line of credit that can be applied to the planned tenant improvement project, any surprise expenses, or any other cash shortfalls (like state payment deferrals).

Ending Cash Balance

The cash balance at the end of 2023-24 through 2026-27 is healthy and projected to grown annually. AIAE maintains a 15% cash balance as a percent of annual expenditures.

Table R: Statement of Activities & Cash Balance

	2023-24	2024-25	2025-26	2026-27
	<i>Current Year</i>	<i>Year 1</i>	<i>Year 2</i>	<i>Year 3</i>
<i>Statement of Activities</i>				
Revenues				
State Aid - Revenue Limit	\$5,325,329	\$5,721,302	\$5,909,912	\$6,098,190
Federal Revenue	732,125	500,523	500,523	500,523
Other State Revenue	3,464,010	2,984,958	2,709,593	2,562,928
Other Local Revenue	52,337	55,427	55,427	55,427
Total Revenues	\$9,573,802	\$9,262,210	\$9,175,455	\$9,217,068
Expenses				
Certificated Salaries	\$2,630,419	\$2,903,500	\$2,961,570	\$3,020,802
Classified Salaries	1,966,094	1,499,233	1,529,218	1,559,803
Employee Benefits	1,173,090	1,157,587	1,180,507	1,203,884
Books & Supplies	527,090	580,249	580,829	549,421
Subagreement Services	344,094	341,410	348,239	355,203
Operations and Housekeeping	267,362	333,656	340,329	347,136
Facilities, Repairs and Other Leases	1,514,369	1,543,392	1,547,578	1,551,847
Professional Services	611,633	448,607	450,285	455,208
Depreciation and Interest	55,664	87,664	87,664	87,664
Total Expenses	\$9,089,816	\$8,895,300	\$9,026,220	\$9,130,969
Increase/(Decrease) of Net Assets	\$483,986	\$366,910	\$149,235	\$86,099
	5.3%	4.1%	1.7%	0.9%
Beginning Cash Balance	2,903,427	634,331	1,396,833	1,301,505
Ending Cash Balance	\$634,331	\$1,396,833	\$1,301,505	\$1,207,794
Cash Balance (% of Expenditures)	7.0%	15.7%	14.4%	13.2%

Revenues

Since revenues fluctuate and are received from multiple sources, accurate cash projections are vital to the maintenance of a healthy financial position. The greatest cash flow challenge is correctly predicting the flow of federal and state revenue sources. California law specifies the payment schedule for State Aid funds. Although this schedule is subject to legislative and regulatory change, the California Department of Education (CDE) has committed to a 5-5-9 payment schedule. We have used this schedule to project our cash flow position for this year and the following three (3) years AIAE is in operation. To be conservative, we have assumed that all funds will be received in the month following their scheduled payment. We assumed no deferrals in these projections.

State Aid – Revenue Limit

The State Aid – Revenue Limit funds come from a combination of three sources: In Lieu Property Taxes, State Aid, and Education Protection Account. The district where the school is located pays the Charter School an In-Lieu Property Tax amount per ADA near the end of each month. State Aid is due from the state on or before the end of the month and is paid monthly from July to June on a 5-5-9 schedule. Based on the typical timing of funds coming through County Treasurer to a school bank account, we have assumed a one-month delay in the payments. The Economic Protection Account flows quarterly in September, December, March, and June. Again, for conservatism, we have assumed that all receipts will be delayed to the month following their scheduled payment.

California Lottery

State Lottery Revenues are paid according to the prior year's ADA and are paid quarterly.

Expenditures

The most significant part of AIAE's cost structure is staff compensation, which is generally paid evenly throughout the year except in July when staffing is limited to those working in summer school. Most of the curriculum costs are front-loaded to the beginning of the school year.

Fund Balance

The fund balance is expected to be above the CDE-recommended levels in each year of operations and grow to just over 36% by the end of year 3.

Table S: Statement of Fund Balance

	2023-24	2024-25	2025-26	2026-27
	Current Year	Year 1	Year 2	Year 3
Fund Balance				
Beginning Fund Balance	\$2,249,256	\$2,733,242	\$3,100,152	\$3,249,387
Increase/(Decrease) in Net Assets	483,986	366,910	149,235	86,099
Ending Fund Balance	\$2,733,242	\$3,100,152	\$3,249,387	\$3,335,486
Fund Balance (% of Expenditures)	30.1%	34.9%	36.0%	36.5%

FCMAT
FISCAL CRISIS & MANAGEMENT
ASSISTANCE TEAM

FCMAT
FISCAL CRISIS & MANAGEMENT
ASSISTANCE TEAM

Arts In Action Community School

Multi-Year Forecast

Revised 3/6/2024



	2023-24	2024-25	2025-26	2026-27
	Forecast	Forecast	Forecast	Forecast
Assumptions				
LCFF COLA	8.22%	0.76%	3.29%	3.19%
Non-LCFF Revenue COLA	n/a	0.00%	0.00%	0.00%
Expense COLA	2.00%	2.00%	2.00%	2.00%
Enrollment	381.00	395.00	395.00	395.00
Average Daily Attendance	354.33	375.25	375.25	375.25
Revenues				
State Aid - Revenue Limit				
8011 LCFF State Aid	\$ 3,000,757	\$ 3,214,351	\$ 3,363,786	\$ 3,512,831
8012 Education Protection Account	1,081,713	1,190,713	1,229,887	1,269,120
8096 In Lieu of Property Taxes	1,242,859	1,316,238	1,316,238	1,316,239
	5,325,329	5,721,302	5,909,912	6,098,190
Federal Revenue				
8181 Special Education - Entitlement	86,676	91,794	91,794	91,794
8290 Title I, Part A - Basic Low Income	156,903	166,167	166,167	166,167
8291 Title II, Part A - Teacher Quality	12,329	13,057	13,057	13,057
8293 Title III - Limited English	20,307	21,506	21,506	21,506
8296 Other Federal Revenue	356,794	208,000	208,000	208,000
8299 Prior Year Federal Revenue	99,116	-	-	-
	732,125	500,523	500,523	500,523
Other State Revenue				
8311 State Special Education	346,790	367,265	367,265	367,265
8545 School Facilities (SB740)	487,019	539,478	539,478	539,478
8550 Mandated Cost	6,923	6,579	7,415	7,415
8560 State Lottery	88,228	93,437	93,437	93,437
8598 Prior Year Revenue	12,311	-	-	-
8599 Other State Revenue	2,522,740	1,978,198	1,701,997	1,555,332
	3,464,010	2,984,958	2,709,593	2,562,928
Other Local Revenue				
8660 Interest Revenue	43,461	46,027	46,027	46,027
8699 School Fundraising	8,876	9,400	9,400	9,400
	52,337	55,427	55,427	55,427
Total Revenue	\$ 9,573,802	\$ 9,262,210	\$ 9,175,455	\$ 9,217,068
Expenses				
Certificated Salaries				
1100 Teachers' Salaries	1,969,391	2,157,820	2,200,977	2,244,996
1175 Teachers' Extra Duty/Stipends	19,991	84,660	86,353	88,080
1200 Pupil Support Salaries	261,881	268,260	273,625	279,098
1300 Administrators' Salaries	379,156	392,760	400,615	408,628
	2,630,419	2,903,500	2,961,570	3,020,802
Classified Salaries				
2100 Instructional Salaries	1,417,507	1,064,277	1,085,563	1,107,274

Arts In Action Community School

Multi-Year Forecast

Revised 3/6/2024



	2023-24	2024-25	2025-26	2026-27
	Forecast	Forecast	Forecast	Forecast
2200 Support Salaries	3,406	-	-	-
2300 Classified Administrators' Salaries	121,957	74,574	76,065	77,587
2400 Clerical and Office Staff Salaries	86,856	88,128	89,891	91,688
2900 Other Classified Salaries	336,368	272,254	277,699	283,253
	1,966,094	1,499,233	1,529,218	1,559,803
Benefits				
3101 STRS	475,737	554,569	565,660	576,973
3301 OASDI	128,261	92,952	94,812	96,708
3311 Medicare	66,882	63,840	65,116	66,419
3401 Health and Welfare	438,639	354,960	362,059	369,300
3501 State Unemployment	6,380	12,017	12,026	12,034
3601 Workers' Compensation	49,216	48,430	49,399	50,387
3901 Other Benefits	7,976	30,819	31,436	32,064
	1,173,090	1,157,587	1,180,507	1,203,884
Books and Supplies				
4100 Textbooks and Core Curricula	12,118	13,091	13,352	13,619
4200 Books and Other Materials	43,426	46,909	47,848	48,805
4302 School Supplies	190,529	205,814	209,930	192,716
4305 Software	108,372	117,066	119,407	109,616
4310 Office Expense	83,924	90,656	92,470	84,887
4311 Business Meals	7,457	8,055	8,217	8,381
4400 Noncapitalized Equipment	78,772	96,116	87,014	88,754
	527,090	580,249	580,829	549,421
Subagreement Services				
5102 Special Education	255,209	275,682	281,196	286,820
5104 Transportation	73,645	49,984	50,983	52,003
5105 Security	3,311	3,577	3,649	3,722
	344,094	341,410	348,239	355,203
Operations and Housekeeping				
5201 Auto and Travel	13,967	15,088	15,389	15,697
5300 Dues & Memberships	2,972	3,211	3,275	3,340
5400 Insurance	108,226	122,754	125,209	127,713
5501 Utilities	76,920	101,091	103,113	105,175
5502 Janitorial Services	14,477	24,638	25,131	25,633
5900 Communications	49,925	65,930	67,248	68,593
5901 Postage and Shipping	875	945	964	983
	267,362	333,656	340,329	347,136
Facilities, Repairs and Other Leases				
5601 Rent	1,227,319	1,334,107	1,334,107	1,334,107
5602 Additional Rent	-	-	-	-
5603 Equipment Leases	33,710	36,415	37,143	37,886
5604 Other Leases	8,155	8,809	8,985	9,165
5610 Repairs and Maintenance	245,185	164,061	167,342	170,689
	1,514,369	1,543,392	1,547,578	1,551,847

Arts In Action Community School

Multi-Year Forecast

Revised 3/6/2024



	2023-24	2024-25	2025-26	2026-27
	Forecast	Forecast	Forecast	Forecast
Professional/Consulting Services				
5801 IT	43,441	46,925	47,864	48,821
5804 Professional Development	98,850	70,000	70,000	70,000
5805 General Consulting	4,553	4,918	5,016	5,116
5806 Special Activities/Field Trips	28,579	30,871	31,489	32,119
5807 Bank Charges	184	198	202	206
5809 Other taxes and fees	7,523	8,127	8,290	8,455
5811 Management Fee	283,376	131,555	129,386	130,427
5812 District Oversight Fee	53,253	57,213	59,099	60,982
5813 County Fees	5,800	6,265	6,391	6,518
5814 SPED Encroachment	85,367	91,812	91,812	91,812
5815 Public Relations/Recruitment	708	722	737	752
	611,633	448,607	450,285	455,208
Depreciation				
6900 Depreciation Expense	55,664	87,664	87,664	87,664
	55,664	87,664	87,664	87,664
Total Expenses	\$ 9,089,816	\$ 8,895,300	\$ 9,026,220	\$ 9,130,969
Surplus (Deficit)	\$ 483,986	\$ 366,910	\$ 149,235	\$ 86,099
Fund Balance, Beginning of Year	\$ 2,249,256	\$ 2,733,242	\$ 3,100,152	\$ 3,249,387
Fund Balance, End of Year	\$ 2,733,242	\$ 3,100,152	\$ 3,249,387	\$ 3,335,486
	30.1%	34.9%	36.0%	36.5%
Cash Flow Adjustments				
Surplus (Deficit)	483,986	366,910	149,235	86,099
Cash Flows From Operating Activities				
Depreciation/Amortization	344,089	87,664	87,664	87,664
Public Funding Receivables	(1,947,172)	1,308,449	(6,128)	(37,980)
Grants and Contributions Rec.	(437,182)	-	-	-
Due To/From Related Parties	(1,185,960)	-	-	-
Prepaid Expenses	(297,149)	-	-	-
Accounts Payable	22,329	(39,111)	505	1,606
Accrued Expenses	(592,728)	-	-	-
Other Liabilities	870,870	(361,411)	(326,605)	(231,100)
Cash Flows From Investing Activities				
Purchases of Prop. And Equip.	(633,283)	(600,000)	-	-
Total Change in Cash	(3,372,199)	762,502	(95,328)	(93,711)
Cash, Beginning of Year	4,006,530	634,331	1,396,833	1,301,505
Cash, End of Year	\$ 634,331	\$ 1,396,833	\$ 1,301,505	\$ 1,207,794

Arts In Action Community School
Monthly Cash Flow/Forecast FY23-24

Revised 3/6/2024

ADA = 354.33



	Jul-23	Aug-23	Sep-23	Oct-23	Nov-23	Dec-23	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24	Year-End Accruals
Revenues													
State Aid - Revenue Limit													
8011 LCFF State Aid	-	292,638	263,374	263,374	346,714	346,714	346,714	346,714	64,233	64,233	64,233	64,233	537,582
8012 Education Protection Account	-	-	267,452	-	-	246,668	-	246,668	-	-	-	-	320,924
8096 In lieu of Property Taxes	73,751	147,501	98,334	98,334	98,334	98,334	98,334	98,334	139,307	69,654	69,654	69,654	83,333
	73,751	440,139	629,160	361,708	445,048	691,716	445,048	445,048	450,209	133,887	133,887	133,887	941,940
Federal Revenue													
8181 Special Education - Entitlement	5,115	10,231	6,820	6,820	6,820	6,822	6,820	7,715	5,903	5,903	5,903	5,903	5,903
8290 Title I, Part A - Basic Low Income	-	-	-	-	-	-	72,375	-	39,226	-	-	39,226	6,077
8291 Title II, Part A - Teacher Quality	-	-	-	-	-	-	-	-	3,082	-	-	-	6,165
8293 Title III - Limited English	-	-	-	-	-	-	10,664	-	5,077	-	-	4,566	-
8296 Other Federal Revenue	-	-	-	17,485	-	42,994	6,932	-	118,931	-	-	37,288	133,164
8299 Prior Year Federal Revenue	-	-	-	99,116	-	-	-	-	-	-	-	-	99,116
	5,115	10,231	6,820	123,421	6,820	49,816	96,791	7,715	53,287	124,834	5,903	90,065	151,307
Other State Revenue													
8311 State Special Education	20,271	40,542	27,028	27,028	27,028	27,028	27,028	30,868	23,994	23,994	23,994	23,994	23,994
8545 School Facilities (SB740)	-	-	-	-	-	-	-	-	243,509	-	121,755	-	121,755
8550 Mandated Cost	-	-	-	-	6,923	-	-	-	-	-	-	-	-
8560 State Lottery	-	-	-	-	-	-	32,125	-	-	21,814	-	-	34,289
8598 Prior Year Revenue	-	-	-	9,408	-	1,894	1,008	-	-	-	-	-	-
8599 Other State Revenue	-	1,418	1,418	41,161	89,220	2,552	21,993	-	630,685	-	-	-	1,734,293
	20,271	41,960	28,446	77,597	123,171	31,474	82,155	30,868	267,503	676,493	145,749	23,994	1,914,330
Other Local Revenue													
8660 Interest Revenue	4,733	6,028	4,943	3,758	3,000	3,000	3,000	3,000	3,000	3,000	3,000	3,000	-
8699 School Fundraising	-	4,807	737	58	468	468	468	468	468	468	468	468	-
	4,733	10,835	5,679	3,816	3,468	3,468	3,468	3,468	3,468	3,468	3,468	3,000	-
Total Revenue	103,870	503,165	670,105	566,542	578,507	776,474	627,462	487,098	774,467	938,682	289,006	259,946	3,007,477
Expenses													
Certificated Salaries													
1100 Teachers' Salaries	127,700	178,820	165,556	167,907	178,953	169,065	172,125	179,170	179,170	179,170	179,170	179,170	92,585
1175 Teachers' Extra Duty/Stipends	-	-	332	-	-	-	-	3,932	3,932	3,932	3,932	3,932	-
1200 Pupil Support Salaries	17,929	21,439	22,381	22,607	23,312	23,312	23,312	23,909	23,909	23,909	23,909	23,909	11,955
1300 Administrators' Salaries	31,704	31,560	31,055	31,883	30,956	30,146	31,410	32,088	32,088	32,088	32,088	32,088	-
	177,332	231,820	218,992	222,729	233,220	222,523	226,846	239,099	239,099	239,099	239,099	239,099	-
Classified Salaries													
2100 Instructional Salaries	61,608	129,712	133,243	142,512	129,113	103,013	141,667	127,544	127,544	127,544	127,544	66,462	-
2200 Support Salaries	3,439	1,090	-	(1,123)	-	-	-	-	-	-	-	-	-
2300 Classified Administrators' Salaries	4,643	5,101	9,639	13,020	10,933	10,845	12,136	11,128	11,128	11,128	11,128	11,128	-
2400 Clerical and Office Staff Salaries	6,687	7,445	7,638	8,119	7,163	6,327	7,478	7,200	7,200	7,200	7,200	7,200	-
2900 Other Classified Salaries	13,567	24,312	33,394	37,488	33,825	24,149	32,980	30,701	30,701	30,701	30,701	13,850	-
	89,944	167,659	183,915	200,016	181,034	144,334	194,260	176,573	176,573	176,573	176,573	98,640	-
Benefits													
3101 STRS	31,080	41,799	39,563	39,917	33,760	40,430	40,765	45,429	45,429	45,429	45,429	26,706	-
3301 OASDI	6,525	11,234	12,175	13,276	13,682	9,076	12,337	10,958	10,958	10,958	10,958	6,122	-
3311 Medicare	3,823	5,735	5,784	6,079	5,884	5,187	5,976	6,210	6,210	6,210	6,210	3,574	-
3401 Health and Welfare	7,634	25,165	32,364	39,852	29,784	59,341	42,082	40,483	40,483	40,483	40,483	40,483	-
3501 State Unemployment	-	-	-	-	2,764	5,528	2,764	2,884	2,884	2,884	2,884	2,768	-
3601 Workers' Compensation	2,764	2,764	15,564	2,764	2,764	831	320	876	876	876	876	802	-
3901 Other Benefits	330	378	654	738	418	831	831	876	876	876	876	802	-
	52,156	87,076	106,104	102,626	86,294	120,393	104,244	109,676	108,258	107,549	107,549	81,164	-
Books and Supplies													
4100 Textbooks and Core Materials	-	11,057	1,061	-	-	-	-	-	-	-	-	-	-
4200 Books and Reference Materials	13,049	1,885	8,118	3,236	6,769	-	10,369	-	-	-	-	-	-
4302 School Supplies	900	10,633	31,585	6,760	10,384	1,051	8,641	44,115	19,115	19,115	19,115	19,115	-
4305 Software	40,431	22,181	13,412	12,405	4,601	-	-	3,068	3,068	3,068	3,068	3,068	-
4310 Office Expense	4,353	8,797	10,980	11,874	8,017	4,004	3,439	6,492	6,492	6,492	6,492	6,492	-
4311 Business Meals	-	-	2,247	129	83	319	1,764	583	583	583	583	583	-
4312 School Fundraising Expense	-	-	1,602	889	-	-	-	-	-	-	-	-	-
4400 Noncapitalized Equipment	-	2,938	26,071	5,741	5,190	-	332	5,000	12,000	5,000	5,000	11,500	-
	58,733	57,491	95,076	41,034	35,044	5,375	24,544	59,259	41,259	34,259	34,259	40,759	-

Revenues

State Aid - Revenue Limit

8011 LCFF State Aid
8012 Education Protection Account
8096 In lieu of Property Taxes

Federal Revenue

8181 Special Education - Entitlement
8290 Title I, Part A - Basic Low Income
8291 Title II, Part A - Teacher Quality
8293 Title III - Limited English
8296 Other Federal Revenue
8299 Prior Year Federal Revenue

Other State Revenue

8311 State Special Education
8545 School Facilities (SB740)
8550 Mandated Cost
8560 State Lottery
8598 Prior Year Revenue
8599 Other State Revenue

Other Local Revenue

8660 Interest Revenue
8699 School Fundraising

Total Revenue

Expenses

Certificated Salaries

1100 Teachers' Salaries
1175 Teachers' Extra Duty/Stipends
1200 Pupil Support Salaries
1300 Administrators' Salaries

Classified Salaries

2100 Instructional Salaries
2200 Support Salaries
2300 Classified Administrators' Salaries
2400 Clerical and Office Staff Salaries
2900 Other Classified Salaries

Benefits

3101 STRS
3301 OASDI
3311 Medicare
3401 Health and Welfare
3501 State Unemployment
3601 Workers' Compensation
3901 Other Benefits

Books and Supplies

4100 Textbooks and Core Materials
4200 Books and Reference Materials
4302 School Supplies
4305 Software
4310 Office Expense
4311 Business Meals
4312 School Fundraising Expense
4400 Noncapitalized Equipment

ADA = 362.70

3,111,958 (111,201)
1,123,648 (41,935)
1,216,885 25,974

5,452,491 (127,162)

88,724 (2,047)
165,000 (8,097)
19,000 (6,671)
19,000 1,307
190,140 166,654
99,116 -

481,864 250,262

354,982 (8,192)
451,935 35,084
6,949 (26)
85,960 2,268
12,311 -
2,580,882 (58,142)

3,480,707 (16,697)

- 43,461
4,352 4,524
4,352 47,985

9,419,414 154,388

2,115,510 146,119
83,000 63,009
263,000 1,119
385,059 5,903

2,846,569 216,150

1,417,507 1,403,934 (13,573)
3,406 (3,406)
60,424 (61,533)
86,856 (456)
172,926 (163,442)

1,773,684 (242,411)

543,695 67,958
106,868 (21,392)
66,269 (613)
353,800 (84,839)
12,705 6,325
50,273 1,057
31,292 24,016

1,165,601 (7,489)

30,000 17,882
43,426 (13,426)
236,683 46,154
85,000 (23,372)
80,000 (4,924)
9,000 1,543
80,000 1,228

550,683 23,593

Arts In Action Community School
Monthly Cash Flow/Forecast FY23-24

Revised 3/6/2024

ADA = 354.33

Subagreement Services

5102 Special Education
5104 Transportation
5105 Security
5106 Other Educational Consultants

Operations and Housekeeping

5201 Auto and Travel
5300 Dues & Memberships
5400 Insurance
5501 Utilities
5502 Janitorial Services
5900 Communications
5901 Postage and Shipping

Facilities, Repairs and Other Leases

5601 Rent
5602 Additional Rent
5603 Equipment Leases
5604 Other Leases
5610 Repairs and Maintenance

Professional/Consulting Services

5801 IT
5804 Professional Development
5805 General Consulting
5806 Special Activities/Field Trips
5807 Bank Charges
5809 Other taxes and fees
5811 Management Fee
5812 District Oversight Fee
5813 County Fees
5814 SPED Encroachment
5815 Public Relations/Recruitment

Depreciation

6900 Depreciation Expense

Total Expenses

Monthly Surplus (Deficit)

Cash Flow Adjustments

Monthly Surplus (Deficit)
Cash flows from operating activities
Depreciation/Amortization
Public Funding Receivables
Grants and Contributions Rec.
Due To/From Related Parties
Prepaid Expenses
Accounts Payable
Accrued Expenses
Other Liabilities
Cash flows from investing activities
Purchases of Prop. And Equip.

Total Change in Cash

Cash, Beginning of Month

Cash, End of Month

	Jul-23	Aug-23	Sep-23	Oct-23	Nov-23	Dec-23	Jan-24	Feb-24	Mar-24	Apr-24	May-24	Jun-24	Year-End Accruals	Annual Forecast	Original Budget Total	Favorable / (Unfav.)
Subagreement Services																
5102 Special Education	8,317	6,510	11,488	21,094	25,716	17,117	25,786	23,182	23,182	27,818	27,818	27,818	14,000	255,209	255,000	(209)
5104 Transportation	2,200	-	-	3,475	-	-	45	500	500	500	500	500	-	8,221	120,000	111,779
5105 Security	-	45	720	-	-	-	-	-	-	-	-	-	-	765	6,000	5,235
5106 Other Educational Consultants	-	11,929	-	-	-	-	-	-	-	-	-	-	-	11,929	-	(11,929)
	10,517	18,484	12,208	24,568	29,754	23,873	28,461	34,591	34,591	39,228	39,228	34,591	14,000	344,094	381,000	36,906
Operations and Housekeeping																
5201 Auto and Travel	2,100	2,093	(1,950)	1,462	1,947	176	2,666	1,175	975	1,175	1,175	975	-	13,967	11,000	(2,967)
5300 Dues & Memberships	-	-	-	-	89	-	-	717	317	817	717	317	-	2,972	4,000	1,028
5400 Insurance	9,019	9,019	-	9,019	9,019	18,038	9,019	9,019	9,019	9,019	9,019	9,019	-	108,226	97,000	(11,226)
5501 Utilities	3,717	6,311	8,417	7,134	4,329	4,294	3,078	6,328	6,328	6,328	6,328	6,328	8,000	76,920	75,100	(1,820)
5502 Janitorial Services	1,181	1,181	986	1,681	1,181	1,181	1,181	1,181	1,181	1,181	1,181	1,181	-	14,477	14,200	(277)
5900 Communications	4,930	3,553	3,675	4,568	702	30	5,674	4,108	4,108	4,108	4,108	4,108	6,250	49,925	35,000	(14,925)
5901 Postage and Shipping	-	-	-	-	-	-	-	175	175	175	175	175	-	875	1,750	875
	20,947	22,156	11,128	23,864	17,268	23,719	21,619	22,702	22,102	22,802	22,702	22,102	14,250	267,362	238,050	(29,312)
Facilities, Repairs and Other Leases																
5601 Rent	1	98,885	98,885	98,885	94,880	101,643	92,754	108,500	108,500	108,500	108,500	108,500	-	1,227,319	1,320,000	92,681
5602 Additional Rent	-	-	-	-	-	-	-	-	-	-	-	-	-	-	22,135	22,135
5603 Equipment Leases	2,267	2,548	2,361	735	2,311	3,441	3,045	3,400	3,400	3,400	3,400	3,400	-	33,710	50,000	16,290
5604 Other Leases	-	-	1,254	1,361	-	-	-	700	700	700	700	700	2,040	8,155	8,400	245
5610 Repairs and Maintenance	1,835	4,599	6,687	8,793	6,803	-	3,470	37,000	93,000	49,000	17,000	17,000	-	245,185	200,000	(45,185)
	102,987	106,032	109,187	109,774	103,994	105,085	99,269	149,600	205,600	161,600	129,600	129,600	2,040	1,514,369	1,600,535	86,166
Professional/Consulting Services																
5801 IT	555	1,360	1,109	25,101	3,419	4,358	1,039	1,300	1,300	1,300	1,300	1,300	-	43,441	30,000	(13,441)
5804 Professional Development	1,310	15,797	2,917	24,092	9,282	(1,788)	7,742	7,900	7,900	7,900	7,900	7,900	-	98,850	100,000	1,150
5805 General Consulting	-	3,148	-	-	-	-	255	230	230	230	230	230	-	4,553	2,500	(2,053)
5806 Special Activities/Field Trips	-	4,092	1,719	3,000	679	-	876	1,800	1,700	1,700	8,133	4,880	-	28,579	25,000	(3,579)
5807 Bank Charges	-	-	15	-	49	-	-	40	-	40	-	40	-	184	500	316
5809 Other taxes and fees	690	279	1,095	103	3,047	-	893	283	283	283	283	283	-	7,523	7,000	(523)
5811 Management Fee	2,597	12,579	16,753	5,938	12,001	11,168	25,859	23,615	23,615	23,615	23,615	23,615	78,409	283,376	282,582	(794)
5812 District Oversight Fee	2,897	5,794	3,863	3,863	3,863	3,863	3,863	4,450	4,502	1,339	1,339	1,339	12,278	53,253	54,525	1,272
5813 County Fees	-	-	-	-	1,835	-	-	-	-	1,450	-	-	2,515	5,800	6,000	200
5814 SPED Encroachment	5,078	10,154	6,770	6,770	6,770	6,770	6,770	7,717	5,622	5,622	5,622	5,622	6,082	85,367	88,741	3,374
5815 Public Relations/Recruitment	-	-	-	-	-	-	-	146	146	146	146	146	-	708	3,500	2,792
	13,126	53,202	34,241	68,866	40,944	24,371	47,297	47,481	45,297	43,624	48,568	45,333	99,284	611,633	600,348	(11,285)
Depreciation																
6900 Depreciation Expense	4,594	4,776	4,581	4,581	4,581	4,587	4,587	4,676	4,676	4,676	4,676	4,676	-	55,664	56,000	336
	4,594	4,776	4,581	4,581	4,581	4,587	4,587	4,676	4,676	4,676	4,676	4,676	-	55,664	56,000	336
Total Expenses	530,335	748,696	775,432	798,058	732,132	674,259	751,127	843,657	877,056	829,411	802,254	597,426	129,574	9,089,816	9,162,470	72,654
Monthly Surplus (Deficit)	(426,466)	(245,530)	(105,327)	(231,516)	(153,625)	102,215	(123,665)	(356,559)	(102,989)	109,271	(513,248)	(346,480)	2,877,903	483,986	256,944	227,042
Cash Flow Adjustments																
Monthly Surplus (Deficit)	(426,466)	(245,530)	(105,327)	(231,516)	(153,625)	102,215	(123,665)	(356,559)	(102,989)	109,271	(513,248)	(346,480)	2,877,903	483,986		
Cash flows from operating activities	4,594	4,776	4,581	4,581	196,211	5,064	100,904	4,676	4,676	4,676	4,676	4,676	-	344,089		
Depreciation/Amortization	994,581	(36,641)	(384,507)	275,132	222,930	(12,036)	846	-	-	-	-	-	(3,007,477)	(1,947,172)		
Public Funding Receivables	-	(2,038)	-	(225,889)	(83,059)	(329,773)	203,577	-	-	-	-	-	-	(437,182)		
Grants and Contributions Rec.	(407,757)	(344,392)	(347,979)	584,480	(43,514)	(237,187)	(389,611)	-	-	-	-	-	-	(1,185,960)		
Due To/From Related Parties	(16,506)	2,804	(4,589)	10,352	18,720	(46,064)	44,898	(106,764)	(200,000)	-	-	-	-	(297,149)		
Prepaid Expenses	(129,242)	5,075	(4,072)	4,907	(4,944)	3,447	17,584	-	-	-	-	-	1,29,574	22,329		
Accounts Payable	(574,395)	122,480	(68,236)	(33,416)	(44,310)	(104,278)	109,427	-	-	-	-	-	-	(592,728)		
Accrued Expenses	152,419	42,124	42,124	179,235	(144,625)	49,352	550,241	-	-	-	-	-	-	870,870		
Other Liabilities	-	(10,931)	-	-	(1,317)	-	(21,035)	-	-	-	(300,000)	(300,000)	-	(633,283)		
Cash flows from investing activities	(402,772)	(462,274)	(868,005)	567,868	(37,533)	(569,260)	493,166	(458,647)	(298,313)	113,947	(808,572)	(641,804)	-			
Purchases of Prop. And Equip.	4,006,530	3,603,758	3,141,484	2,273,479	2,841,347	2,803,814	2,234,555	2,777,721	2,269,074	1,970,760	2,084,707	1,276,135	-			
Total Change in Cash	3,603,758	3,141,484	2,273,479	2,841,347	2,803,814	2,234,555	2,777,721	2,269,074	1,970,760	2,084,707	1,276,135	634,331	-			
Cash, Beginning of Month																
Cash, End of Month																

Arts In Action Community School

Monthly Cash Flow/Forecast FY24-25

Revised 3/6/2024

ADA = 375.25



Prior Year Forecast	Favorable / (Unfav.)
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ADA = 354.33

Revenues

State Aid - Revenue Limit

8011 LCFF State Aid	-	151,758	151,758	273,164	273,164	273,164	309,003	309,003	309,003	309,003	309,003	309,003
8012 Education Protection Account	-	-	-	270,428	-	270,428	105,299	105,299	105,299	105,299	105,299	105,299
8096 In Lieu of Property Taxes	-	78,974	157,949	105,299	105,299	105,299	184,273	184,273	184,273	184,273	184,273	184,273
	-	230,732	309,706	648,891	378,463	648,891	378,463	493,277	753,318	401,140	698,818	698,818

Federal Revenue

8181 Special Education - Entitlement	-	4,590	4,590	8,261	8,261	8,261	8,261	8,261	8,261	8,261	8,261	8,261
8290 Title I, Part A - Basic Low Income	-	-	-	41,542	-	41,542	-	-	-	-	-	-
8291 Title II, Part A - Teacher Quality	-	-	3,264	-	-	-	3,264	-	-	-	-	-
8293 Title III - Limited English	-	-	-	-	-	-	-	-	-	-	-	-
8296 Other Federal Revenue	-	-	-	10,193	-	25,064	4,041	-	69,333	-	21,738	77,630
8299 Prior Year Federal Revenue	-	-	-	-	-	-	-	-	-	-	-	-

Other State Revenue

8311 State Special Education	-	18,363	18,363	33,054	33,054	33,054	33,054	33,054	33,054	33,054	33,054	33,054
8545 School Facilities (SB740)	-	-	-	-	-	269,739	-	-	-	134,870	-	134,870
8550 Mandated Cost	-	-	-	-	-	6,579	-	-	-	-	-	-
8560 State Lottery	-	-	-	-	-	-	-	-	-	-	-	-
8598 Prior Year Revenue	-	-	-	-	-	-	-	-	-	-	-	-
8599 Other State Revenue	-	-	-	-	-	-	-	-	-	-	-	-

Other Local Revenue

8660 Interest Revenue	-	5,012	6,384	5,234	3,979	3,177	3,177	3,177	3,177	3,177	3,177	3,177
8699 School Fundraising	-	5,012	11,475	6,015	4,041	3,672	3,672	3,672	3,672	3,672	3,672	3,672

Total Revenue

5.012	265,160	383,480	704,441	1,709,279	499,899	991,018	423,450	583,070	1,385,548	580,997	488,876	1,241,978
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Expenses

Certificated Salaries

1100 Teachers' Salaries	139,918	195,930	181,396	183,972	196,075	185,241	188,593	196,313	196,313	196,313	101,444	-
1170 Teachers' Substitute Hours	-	-	-	-	-	-	-	-	-	-	-	-
1175 Teachers' Extra Duty/Stipends	-	-	-	1,404	-	-	-	16,651	16,651	16,651	16,651	-
1200 Pupil Support Salaries	18,365	21,962	22,926	23,158	23,879	23,879	23,879	24,491	24,491	24,491	12,246	-
1300 Administrators' Salaries	32,841	32,693	32,170	33,027	32,067	31,228	32,537	33,240	33,240	33,240	33,240	-

Classified Salaries

2100 Instructional Salaries	46,256	97,389	100,040	106,999	96,939	77,343	106,364	95,762	95,762	95,762	49,900	-
2200 Support Salaries	-	-	-	-	-	-	-	-	-	-	-	-
2300 Classified Administrators' Salaries	2,839	3,119	5,894	7,962	6,686	6,631	7,421	6,804	6,804	6,804	6,804	-
2400 Clerical and Office Staff Salaries	6,785	7,554	7,750	8,237	7,267	6,420	7,587	7,305	7,305	7,305	7,305	-
2900 Other Classified Salaries	10,981	19,678	27,029	30,343	27,378	19,546	26,694	24,849	24,849	24,849	11,210	-

Benefits

3101 STRS	36,230	48,726	46,118	46,531	39,355	47,130	47,520	52,957	52,957	52,957	31,132	-
3301 OASDI	4,729	8,141	8,624	9,622	9,916	6,578	8,941	7,942	7,942	7,942	4,436	-
3311 Medicare	3,649	5,474	5,521	5,802	5,617	4,951	5,704	5,928	5,928	5,928	3,411	-
3401 Health and Welfare	6,178	20,365	26,190	32,249	24,102	48,020	34,054	32,760	32,760	32,760	32,760	-
3501 State Unemployment	-	-	-	-	-	-	-	5,341	2,670	1,335	1,335	-
3601 Workers' Compensation	2,720	2,720	15,316	2,720	2,720	5,440	2,720	2,838	2,838	2,838	2,724	-
3901 Other Benefits	1,275	1,462	2,527	2,852	1,617	3,213	1,236	3,385	3,385	3,385	3,100	-

Books and Supplies

4100 Textbooks and Core Curricula Mat	-	11,944	1,146	-	-	-	-	-	-	-	-	-
4200 Books and Other Reference Mater	14,096	2,036	8,769	3,496	7,312	-	11,201	-	-	-	-	-
4302 School Supplies	972	11,486	34,119	7,302	11,217	1,136	9,334	47,654	20,649	20,649	20,649	-
4305 Software	43,675	23,961	14,488	13,400	4,970	-	3,314	3,314	3,314	3,314	3,314	-
4310 Office Expense	4,702	9,502	11,861	12,827	8,661	4,325	3,715	7,013	7,013	7,013	7,013	-
4311 Business Meals	-	-	2,427	139	90	345	1,906	630	630	630	630	-
4312 School Fundraising Expense	-	-	1,634	907	-	-	-	-	-	-	-	-
4400 Noncapitalized Equipment	-	3,585	31,812	7,006	6,332	-	405	6,101	6,101	6,101	14,032	-
	63,445	62,514	106,256	45,076	38,582	5,806	26,559	64,712	46,248	37,707	45,638	-

Arts In Action Community School

Monthly Cash Flow/Forecast FY24-25

Revised 3/6/2024

ADA = 375.25

	Jul-24	Aug-24	Sep-24	Oct-24	Nov-24	Dec-24	Jan-25	Feb-25	Mar-25	Apr-25	May-25	Jun-25	Year-End Accruals	Annual Forecast	Prior Year Forecast	Favorable / (Unfav.)
Subagreement Services	8,984	7,032	12,409	22,786	27,779	18,490	27,855	25,042	25,042	30,050	30,050	25,042	15,123	275,682	255,209	(20,473)
	1,493	-	-	2,358	2,741	4,586	1,785	7,404	7,404	7,404	7,404	7,404	-	49,984	8,221	(41,762)
	-	49	778	-	-	-	49	540	540	540	540	540	-	3,577	765	(2,812)
	-	12,168	-	-	-	-	-	-	-	-	-	-	-	12,168	11,929	(239)
	10,477	19,248	13,187	25,144	30,519	23,076	29,689	32,986	32,986	37,994	37,994	32,986	15,123	341,410	344,094	2,684
Operations and Housekeeping	2,268	2,261	(2,107)	1,579	2,103	190	2,880	1,269	1,053	1,269	1,269	1,053	-	15,088	13,967	(1,120)
	-	-	-	-	96	-	-	774	342	882	774	342	-	3,211	2,972	(238)
	10,230	10,230	-	10,230	10,230	20,459	10,230	10,229	10,229	10,229	10,229	10,229	-	122,754	108,226	(14,528)
	4,885	8,294	11,062	9,376	5,689	5,643	4,046	8,316	8,316	8,316	8,316	8,316	10,514	101,091	76,920	(24,171)
	2,010	2,010	1,678	2,861	2,010	2,010	2,010	2,010	2,010	2,010	2,010	2,010	-	24,638	14,477	(10,161)
5900 Communications	6,511	4,692	4,853	6,032	928	40	7,493	5,425	5,425	5,425	5,425	5,425	8,254	65,930	49,925	(16,005)
5901 Postage and Shipping	-	-	-	-	-	-	-	189	189	189	189	189	-	945	875	(70)
-	23,904	27,485	15,487	30,078	21,056	28,342	26,659	28,213	27,565	28,321	28,213	27,565	18,767	333,656	267,362	(66,294)
Facilities, Repairs and Other Leases	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	-	1,334,107	1,227,319	(106,788)
5601 Rent	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5602 Additional Rent	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
5603 Equipment Leases	2,449	2,752	2,551	794	2,496	3,718	3,290	3,673	3,673	3,673	3,673	3,673	-	36,415	33,710	(2,704)
5604 Other Leases	-	-	1,354	1,470	-	-	-	756	756	756	756	756	2,204	8,809	8,155	(654)
5610 Repairs and Maintenance	1,228	3,077	4,474	5,884	4,552	-	2,322	24,758	62,229	32,787	11,375	11,375	-	164,061	245,185	81,124
-	114,852	117,005	119,555	119,323	118,223	114,893	116,787	140,363	177,834	148,392	126,980	126,980	2,204	1,543,392	1,514,369	(29,023)
Professional/Consulting Services	599	1,469	1,198	27,114	3,693	4,707	1,122	1,405	1,405	1,405	1,405	1,405	-	46,925	43,441	(3,485)
5804 Professional Development	927	11,187	2,066	17,061	6,573	(1,266)	5,482	5,594	5,594	5,594	5,594	5,594	-	70,000	98,850	28,850
5805 General Consulting	-	3,400	-	-	-	-	275	248	248	248	248	248	-	4,918	4,553	(365)
5806 Special Activities/Field Trips	-	-	-	-	-	-	-	10,290	10,290	10,290	-	-	-	30,871	28,579	(2,293)
5807 Bank Charges	-	-	16	-	52	-	-	43	-	-	-	43	-	198	184	(15)
5809 Other taxes and fees	745	302	1,182	111	3,291	-	965	306	306	306	306	306	-	8,127	7,523	(604)
5811 Management Fee	1,206	5,840	7,777	2,756	5,571	5,184	12,005	10,963	10,963	10,963	10,963	10,963	36,401	131,555	283,376	151,821
5812 District Oversight Fee	-	2,307	3,097	6,489	3,785	3,785	6,489	3,785	4,933	7,533	4,011	4,011	6,988	57,213	53,253	(3,960)
5813 County Fees	-	-	-	-	1,982	-	-	-	-	1,566	-	-	2,717	6,265	5,800	(465)
5814 SPED Encroachment	-	4,591	4,591	8,263	8,263	8,263	8,263	8,263	8,263	8,263	8,263	8,263	-	91,812	85,367	(6,445)
5815 Public Relations/Recruitment	-	-	-	-	-	-	149	149	149	149	149	137	-	722	708	(14)
-	3,477	29,095	19,928	61,794	33,211	20,673	34,602	41,046	42,151	46,361	30,939	30,961	54,369	448,607	611,633	163,026
Depreciation	7,234	7,521	7,215	7,215	7,215	7,223	7,223	7,364	7,364	7,364	7,364	7,364	-	87,664	55,664	(32,000)
	7,234	7,521	7,215	7,215	7,215	7,223	7,223	7,364	7,364	7,364	7,364	7,364	-	87,664	55,664	(32,000)
Total Expenses	538,155	728,079	763,327	783,508	722,423	665,633	734,770	831,249	848,043	818,699	781,757	589,193	90,463	8,895,300	9,089,816	194,517
Monthly Surplus (Deficit)	(533,143)	(462,919)	(379,848)	(79,068)	986,857	(165,734)	256,249	(407,799)	(264,972)	566,849	(200,760)	(100,316)	1,151,515	366,910	483,986	(117,075)
Cash Flow Adjustments	(533,143)	(462,919)	(379,848)	(79,068)	986,857	(165,734)	256,249	(407,799)	(264,972)	566,849	(200,760)	(100,316)	1,151,515	366,910	483,986	(117,075)
	Monthly Surplus (Deficit)															
	Cash flows from operating activities															
	Depreciation/Amortization	7,234	7,521	7,215	7,215	7,223	7,223	7,364	7,364	7,364	7,364	7,364	-	87,664	55,664	(32,000)
	Public Funding Receivables	941,840	185,000	1,549,293	-	(1,066,574)	34,289	1,363,630	-	(457,050)	-	-	(1,241,978)	1,308,450	1,308,450	-
Accounts Payable	(129,574)	-	-	-	-	-	-	-	-	-	-	-	90,463	(39,111)	-	-
Accrued Expenses	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash flows from investing activities																
Purchases of Prop. And Equip.	(300,000)	(300,000)	-	-	-	-	-	-	-	-	-	-	-	(600,000)	-	-
Total Change in Cash	(13,643)	(570,399)	1,176,660	(71,853)	(72,503)	(124,222)	1,627,102	(400,435)	(257,609)	117,163	(193,396)	(454,364)	-	-	-	-
Cash, Beginning of Month	634,331	620,688	50,290	1,226,949	1,155,097	1,082,594	958,372	2,585,474	2,185,039	1,927,430	2,044,593	1,851,197	-	-	-	-
Cash, End of Month	620,688	50,290	1,226,949	1,155,097	1,082,594	958,372	2,585,474	2,185,039	1,927,430	2,044,593	1,851,197	1,996,833	-	-	-	-

Arts In Action Community School

Monthly Cash Flow/Forecast FY25-26

Revised 3/6/2024

ADA = 389.67



	Jul-25	Aug-25	Sep-25	Oct-25	Nov-25	Dec-25	Jan-26	Feb-26	Mar-26	Apr-26	May-26	Jun-26	Year-End Accruals	Annual Forecast	Prior Year Forecast	Favorable / (Unfav.)
Subagreement Services																
5102 Special Education	9,164	7,173	12,657	23,241	28,334	18,860	28,412	25,542	25,542	30,651	30,651	25,542	15,426	281,196	275,682	(5,514)
5104 Transportation	1,523	-	-	2,406	2,795	4,677	1,821	7,552	7,552	7,552	7,552	7,552	-	50,983	49,984	(1,000)
5105 Security	-	50	793	-	-	-	50	551	551	551	551	551	-	3,649	3,577	(72)
5106 Other Educational Consultants	-	12,411	-	-	-	-	-	-	-	-	-	-	-	12,411	12,168	(243)
	10,687	19,633	13,451	25,647	31,130	23,537	30,282	33,646	33,646	38,754	38,754	33,646	15,426	340,239	341,410	(6,220)
Operations and Housekeeping																
5201 Auto and Travel	2,314	2,306	(2,149)	1,610	2,145	194	2,938	1,294	1,074	1,294	1,294	1,074	-	15,389	15,088	(302)
5201 Auto and Travel	-	-	-	-	98	-	-	790	349	900	790	349	-	3,275	3,211	(64)
5300 Dues & Memberships	-	-	-	-	-	-	-	-	-	-	-	-	-	125,209	122,754	(2,455)
5400 Insurance	10,434	10,434	-	10,434	10,434	20,868	10,434	10,434	10,434	10,434	10,434	10,434	10,724	103,113	101,091	(2,022)
5501 Utilities	4,983	8,459	11,284	9,563	5,803	8,483	4,127	8,483	8,483	8,483	8,483	8,483	10,724	25,131	24,638	(493)
5502 Janitorial Services	2,050	2,050	1,711	2,918	2,050	2,050	2,050	2,050	2,050	2,050	2,050	2,050	8,419	67,248	65,930	(1,319)
5900 Communications	6,641	4,785	4,950	6,153	946	41	7,643	5,534	5,534	5,534	5,534	5,534	-	964	945	(19)
5901 Postage and Shipping	-	-	-	-	-	-	-	193	193	193	193	193	-	340,329	333,656	(6,673)
	26,422	28,035	15,797	30,679	21,477	28,909	27,192	28,777	28,116	28,888	28,777	28,116	19,143	1,334,107	1,334,107	-
Facilities, Repairs and Other Leases																
5601 Rent	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	-	37,143	36,415	(728)
5602 Additional Rent	-	-	-	-	-	-	-	-	-	-	-	-	-	8,809	8,809	(176)
5603 Equipment Leases	2,498	2,807	2,602	810	2,546	3,792	3,356	3,747	3,747	3,747	3,747	3,747	2,248	167,342	164,061	(3,281)
5604 Other Leases	-	-	1,381	1,500	-	-	771	771	771	771	771	771	-	1,543,392	1,543,392	(4,186)
5610 Repairs and Maintenance	1,252	3,139	4,564	6,001	4,643	-	2,368	25,253	63,474	33,443	11,603	11,603	-	47,864	46,925	(939)
	114,926	117,122	119,723	119,486	118,364	114,968	116,899	140,946	179,167	149,136	127,936	127,936	2,248	70,000	70,000	-
Professional/Consulting Services																
5801 IT	611	1,498	1,222	27,656	3,767	4,801	1,145	1,433	1,433	1,433	1,433	1,433	-	5,016	4,918	(98)
5804 Professional Development	927	11,187	2,066	17,061	6,573	(1,266)	5,482	5,594	5,594	5,594	5,594	5,594	-	31,489	30,871	(617)
5805 General Consulting	-	3,468	-	-	-	-	281	253	253	253	253	253	-	202	198	(4)
5806 Special Activities/Field Trips	-	-	-	-	-	-	-	10,496	10,496	10,496	-	-	-	8,290	8,127	(163)
5807 Bank Charges	-	-	17	-	54	-	-	44	-	-	-	44	-	129,386	131,555	2,169
5809 Other taxes and fees	760	308	1,206	113	3,357	-	984	312	312	312	312	312	35,801	59,099	57,213	(1,886)
5811 Management Fee	1,186	5,743	7,649	2,711	5,480	5,099	11,807	10,782	10,782	10,782	10,782	10,782	7,317	6,391	6,265	(125)
5812 District Oversight Fee	-	2,472	3,261	6,785	4,080	4,080	6,785	4,080	4,870	7,471	3,949	3,949	-	91,812	91,812	-
5813 County Fees	-	-	-	-	2,022	-	-	-	-	1,598	-	-	2,771	737	722	(14)
5813 County Fees	-	4,591	4,591	8,263	8,263	8,263	8,263	8,263	8,263	8,263	8,263	8,263	8,263	450,285	448,607	(1,678)
5814 SPED Encroachment	-	-	-	-	-	-	-	152	152	152	152	130	-	87,664	87,664	-
5815 Public Relations/Recruitment	-	-	-	-	-	-	-	-	-	-	-	-	-	87,664	87,664	-
	3,484	29,266	20,012	62,589	33,595	20,978	34,747	41,410	42,156	46,398	30,738	30,760	54,152	9,026,220	8,895,300	(130,920)
Depreciation																
6900 Depreciation Expense	7,234	7,521	7,215	7,215	7,215	7,223	7,223	7,364	7,364	7,364	7,364	7,364	-	149,235	149,235	-
	7,234	7,521	7,215	7,215	7,215	7,223	7,223	7,364	7,364	7,364	7,364	7,364	-	149,235	149,235	-
	5,464,487	739,445	772,263	795,566	733,497	676,469	746,504	844,244	860,064	831,086	793,476	596,151	90,968	8,895,300	8,895,300	(130,920)
Total Expenses	(541,475)	(457,854)	(372,351)	(61,548)	825,829	(146,993)	274,092	(391,216)	(283,256)	479,149	(218,741)	(113,537)	1,157,137	366,910	(217,675)	
Monthly Surplus (Deficit)																
Cash Flow Adjustments																
Monthly Surplus (Deficit)	(541,475)	(457,854)	(372,351)	(61,548)	825,829	(146,993)	274,092	(391,216)	(283,256)	479,149	(218,741)	(113,537)	1,157,137	149,235	149,235	-
Cash flows from operating activities	7,234	7,521	7,215	7,215	7,215	7,223	7,223	7,364	7,364	7,364	7,364	7,364	-	87,664	87,664	-
Depreciation/Amortization	698,818	134,870	46,719	-	-	-	361,571	-	-	-	-	-	(1,248,106)	905	905	-
Public Funding Receivables	(90,463)	-	-	-	-	-	-	-	-	-	-	-	-	(926,605)	(926,605)	-
Accounts Payable	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Other Liabilities	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
	74,114	(315,463)	(318,418)	(54,334)	833,043	(139,769)	642,886	(383,853)	(275,892)	486,513	(211,377)	(432,778)	-	-	-	-
Total Change in Cash	1,396,833	1,470,948	1,155,484	837,066	782,733	1,615,776	1,476,007	2,118,893	1,735,041	1,459,148	1,945,661	1,734,284	-	-	-	-
Cash, Beginning of Month	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-
Cash, End of Month	1,470,948	1,155,484	837,066	782,733	1,615,776	1,476,007	2,118,893	1,735,041	1,459,148	1,945,661	1,734,284	1,301,505				

Arts In Action Community School
Monthly Cash Flow/Forecast FY26-27

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Revenues

State Aid - Revenue Limit

8011	LFFF State Aid	-	175,642	175,642	316,155	316,155	316,155	316,155	316,155	316,155	316,155	316,155	316,155
8012	Education Protection Account	-	-	-	270,428	-	270,428	-	352,178	-	92,137	92,137	376,085
8096	In Lieu of Property Taxes	-	78,974	157,949	105,299	105,299	105,299	184,273	92,137	92,137	92,137	92,137	1,269,120
		-	254,616	333,590	691,882	421,454	691,882	421,454	500,428	760,470	408,291	784,377	1,316,238
		-	-	-	-	-	-	-	-	-	-	-	5,909,912
		-	-	-	-	-	-	-	-	-	-	-	188,278

Federal Revenue

8181	Special Education - Entitlement	-	4,590	4,590	8,261	8,261	8,261	8,261	8,261	8,261	8,261	8,261	91,794
8290	Title I, Part A - Basic Low Income	-	-	41,542	-	41,542	-	41,542	-	-	-	-	166,167
8291	Title II, Part A - Teacher Quality	-	-	3,264	-	3,264	-	3,264	-	-	-	-	13,057
8293	Title III - Limited English	-	-	-	-	-	-	-	-	-	-	-	21,506
8296	Other Federal Revenue	-	-	10,193	-	25,064	4,041	-	69,333	-	21,738	77,630	208,000
		-	4,590	49,396	18,455	8,261	78,132	12,303	8,261	53,067	77,595	8,261	500,523

Other State Revenue

8311	State Special Education	-	18,363	18,363	33,054	33,054	33,054	33,054	33,054	33,054	33,054	33,054	367,265
8545	School Facilities (58740)	-	-	-	-	-	269,739	-	-	-	134,870	-	539,478
8550	Mandated Cost	-	-	-	-	6,579	-	-	-	-	-	-	7,415
8560	State Lottery	-	-	-	-	-	-	-	-	23,359	-	-	93,437
8599	Other State Revenue	-	-	-	-	1,010,966	-	-	-	388,833	-	-	1,555,332
		-	18,363	18,363	33,054	1,044,020	39,633	326,152	33,054	445,246	167,923	33,054	2,562,928

Other Local Revenue

8660	Interest Revenue	5,012	6,384	5,234	3,979	3,177	3,177	3,177	3,177	3,177	3,177	3,177	46,027
8699	School Fundraising	-	5,091	780	62	495	495	495	495	495	495	-	9,400
		5,012	11,475	6,015	4,041	3,672	3,672	3,672	3,672	3,672	3,672	-	55,427

Total Revenue

5,012	289,044	407,364	747,432	1,477,408	542,891	1,034,009	466,442	590,222	1,286,983	588,149	496,028	1,286,086	9,217,068
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Expenses

Certificated Salaries

1100	Teachers' Salaries	145,570	203,845	188,724	191,404	203,996	192,725	196,213	204,244	204,244	204,244	204,244	2,200,977
1175	Teachers' Extra Duty/Stipends	-	-	-	1,461	-	-	-	17,324	17,324	17,324	17,324	86,353
1200	Pupil Support Salaries	19,107	22,849	23,852	24,093	24,844	24,844	24,844	25,481	25,481	25,481	25,481	273,625
1300	Administrators' Salaries	34,168	34,013	33,469	34,362	33,362	32,490	33,851	34,582	34,582	34,582	34,582	400,615
		198,846	260,707	246,045	251,320	262,203	250,058	254,908	281,631	281,631	281,631	281,631	2,961,570

Classified Salaries

2100	Instructional Salaries	48,125	101,323	104,082	111,322	100,856	80,468	110,662	99,630	99,630	99,630	99,630	1,085,563
2300	Classified Administrators' Salaries	2,954	3,245	6,132	8,283	6,956	6,899	7,721	7,079	7,079	7,079	7,079	76,065
2400	Clerical and Office Staff Salaries	7,059	7,859	8,063	8,570	7,561	6,679	7,894	7,601	7,601	7,601	7,601	89,891
2900	Other Classified Salaries	11,425	20,473	28,121	31,569	28,484	20,335	27,772	25,853	25,853	25,853	25,853	277,699
		69,562	132,900	146,398	159,744	143,856	114,382	154,048	140,163	140,163	140,163	140,163	1,559,803

Benefits

3101	STPS	37,694	50,694	47,982	48,411	40,945	49,034	49,440	55,096	55,096	55,096	55,096	565,660
3301	OASDI	4,920	8,470	9,180	10,010	10,316	6,843	9,302	8,262	8,262	8,262	8,262	94,812
3311	Medicare	3,796	5,695	5,744	6,037	5,844	5,151	5,934	6,167	6,167	6,167	6,167	66,419
3401	Health and Welfare	6,427	21,187	27,248	33,552	25,076	49,960	35,430	34,084	34,084	34,084	34,084	362,059
3501	State Unemployment	2,830	2,830	15,934	2,830	2,830	5,659	2,830	2,953	2,953	2,953	2,953	12,034
3601	Workers' Compensation	1,326	1,521	2,629	2,967	1,682	3,343	1,286	3,521	3,521	3,521	3,521	49,399
3901	Other Benefits	56,993	90,398	108,717	103,807	86,692	119,990	104,222	115,432	112,758	111,421	111,421	31,436

Books and Supplies

4100	Textbooks and Core Curricula Mat	-	12,427	1,193	-	-	-	-	-	-	-	-	13,619
4200	Books and Other Reference Mater	14,665	2,118	9,123	3,637	7,608	-	11,653	-	-	-	-	48,805
4302	School Supplies	910	10,755	31,948	6,837	10,503	1,063	8,740	44,622	19,335	19,335	19,335	209,930
4305	Software	40,895	22,436	13,566	12,547	4,654	-	3,104	3,104	3,104	3,104	3,104	119,407
4310	Office Expense	4,403	8,898	11,106	12,011	8,109	4,050	3,478	6,567	6,567	6,567	6,567	92,470
4311	Business Meals	-	-	2,525	144	94	359	1,983	655	655	655	655	8,217
4312	School Fundraising Expense	-	-	1,700	943	-	-	374	5,634	13,521	5,634	5,634	2,592
4400	Noncapitalized Equipment	-	3,310	29,375	6,469	5,847	-	-	-	-	-	-	87,014
		60,873	59,943	100,536	42,589	36,815	5,472	26,228	60,580	43,181	35,293	35,293	580,829

Arts In Action Community School

Monthly Cash Flow/Forecast FY26-27

Revised 3/6/2024

ADA = 389.67



	Jul-26	Aug-26	Sep-26	Oct-26	Nov-26	Dec-26	Jan-27	Feb-27	Mar-27	Apr-27	May-27	Jun-27	Year-End Accruals
Subagreement Services													
5102 Special Education	9,347	7,316	12,910	23,706	28,901	19,237	28,980	26,053	26,053	31,264	31,264	26,053	15,734
5104 Transportation	1,553	-	-	2,454	2,851	4,771	1,857	7,703	7,703	7,703	7,703	7,703	-
5105 Security	-	51	809	-	-	-	51	562	562	562	562	562	-
5106 Other Educational Consultants	-	12,659	-	-	-	-	-	-	-	-	-	-	-
	10,900	20,026	13,720	26,160	31,752	24,008	30,888	34,319	34,319	39,529	39,529	34,319	15,734
Operations and Housekeeping													
5201 Auto and Travel	2,360	2,352	(2,192)	1,643	2,188	198	2,996	1,320	1,095	1,320	1,320	1,095	-
5300 Dues & Memberships	-	-	-	-	100	-	-	805	356	918	805	356	-
5400 Insurance	10,643	10,643	-	10,643	10,643	21,286	10,643	10,643	10,643	10,643	10,643	10,643	-
5501 Utilities	5,082	8,629	11,509	9,755	5,919	5,871	4,209	8,652	8,652	8,652	8,652	8,652	10,939
5502 Janitorial Services	2,091	2,091	1,745	2,976	2,091	2,091	2,091	2,091	2,091	2,091	2,091	2,091	-
5900 Communications	6,774	4,881	5,049	6,276	965	42	7,796	5,645	5,645	5,645	5,645	5,645	8,587
5901 Postage and Shipping	-	-	-	-	-	-	-	197	197	197	197	197	-
	26,950	28,596	16,112	31,293	21,907	29,487	27,736	29,353	28,679	29,465	29,353	28,679	19,526
Facilities, Repairs and Other Leases													
5601 Rent	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	111,176	-
5602 Additional Rent	-	-	-	-	-	-	-	-	-	-	-	-	-
5603 Equipment Leases	2,548	2,863	2,654	826	2,597	3,868	3,423	3,822	3,822	3,822	3,822	3,822	-
5604 Other Leases	-	-	1,409	1,530	-	-	787	787	787	787	787	787	2,293
5610 Repairs and Maintenance	1,277	3,202	4,655	6,121	4,736	-	2,416	25,758	64,743	34,112	11,835	11,835	-
	115,001	117,241	119,894	119,653	118,508	115,043	117,014	141,542	180,527	149,896	127,618	127,618	2,293
Professional/Consulting Services													
5801 IT	623	1,528	1,247	28,210	3,842	4,897	1,168	1,461	1,461	1,461	1,461	1,461	-
5804 Professional Development	927	11,187	2,066	17,061	6,573	(1,266)	5,482	5,594	5,594	5,594	5,594	5,594	-
5805 General Consulting	-	3,537	-	-	-	-	287	258	258	258	258	258	-
5806 Special Activities/Field Trips	-	-	-	-	-	-	-	10,706	10,706	10,706	-	-	-
5807 Bank Charges	-	-	17	-	55	-	-	45	-	45	-	45	-
5809 Other taxes and fees	775	314	1,230	115	3,424	-	1,004	318	318	318	318	318	-
5811 Management Fee	1,195	5,790	7,711	2,733	5,524	5,140	11,902	10,869	10,869	10,869	10,869	10,869	36,089
5812 District Oversight Fee	-	2,546	3,336	6,919	4,215	4,215	6,919	4,215	5,004	7,605	4,083	4,083	7,844
5813 County Fees	-	-	-	-	2,062	-	-	-	-	1,630	-	-	2,827
5814 SPED Encroachment	-	4,591	4,591	8,263	8,263	8,263	8,263	8,263	8,263	8,263	8,263	8,263	-
5815 Public Relations/Recruitment	-	-	-	-	-	-	155	155	155	155	155	132	-
	3,521	29,492	20,197	63,300	33,957	21,249	35,024	41,885	42,630	46,905	31,002	31,025	55,022
Depreciation													
6900 Depreciation Expense	7,234	7,521	7,215	7,215	7,215	7,223	7,223	7,364	7,364	7,364	7,364	7,364	-
	7,234	7,521	7,215	7,215	7,215	7,223	7,223	7,364	7,364	7,364	7,364	7,364	-
Total Expenses	549,882	746,825	778,834	805,081	742,905	686,914	757,291	852,269	871,250	841,667	803,375	602,103	92,574
Monthly Surplus (Deficit)	(544,870)	(457,781)	(371,470)	(57,649)	734,503	(144,023)	276,719	(385,827)	(281,028)	445,316	(215,226)	(106,076)	1,193,512
Cash Flow Adjustments													
Monthly Surplus (Deficit)	(544,870)	(457,781)	(371,470)	(57,649)	734,503	(144,023)	276,719	(385,827)	(281,028)	445,316	(215,226)	(106,076)	1,193,512
Cash flows from operating activities	-	-	-	-	-	-	-	-	-	-	-	-	-
Depreciation/Amortization	7,234	7,521	7,215	7,215	7,215	7,223	7,223	7,364	7,364	7,364	7,364	7,364	-
Public Funding Receivables	731,730	134,870	46,719	-	-	-	334,787	-	-	-	-	-	(1,286,086)
Accounts Payable	(90,968)	-	-	-	-	-	-	-	-	-	-	-	92,574
Other Liabilities	-	-	-	-	-	-	-	-	-	-	-	-	(231,100)
Total Change in Cash	103,126	(315,390)	(317,537)	(50,434)	741,718	(136,800)	618,730	(378,463)	(273,665)	452,680	(207,863)	(329,812)	-
Cash, Beginning of Month	1,301,505	1,404,631	1,089,241	771,704	721,270	1,462,988	1,326,188	1,944,917	1,566,454	1,292,789	1,745,469	1,537,606	-
Cash, End of Month	1,404,631	1,089,241	771,704	721,270	1,462,988	1,326,188	1,944,917	1,566,454	1,292,789	1,745,469	1,537,606	1,207,794	-



Kalin Balcomb, Executive Director
 Schools In Action, Inc.
 Arts in Action Community Charter Schools
 5115 Via Corona Street
 Los Angeles, CA 90022

January 16, 2024

Dear Ms. Balcomb

Hanmi Bank (“**Bank**”) is pleased to provide this Conditional Letter of Interest which sets forth the terms by which the Bank proposes to provide a credit facility to support business needs for you **which supersedes all previous correspondence.** This letter outlines, in summary format, some general terms and conditions pursuant to which Bank proposes to establish a credit facility. **This is not a commitment to extend credit in any form and remains subject to further due diligence, Bank credit committee approval and execution of formal loan documentation all in a form satisfactory to Bank and its counsel in its sole discretion.**

The basic points, terms and conditions for the proposed credit facility include, but are not limited to the following:

<i>Borrower(s)</i>	Schools In Action, Inc. (SIA)
<i>Type of Facility</i>	Revolving Line of Credit
<i>Loan Amount</i>	Up to \$3,000,000.00 Master Revolving Line of Credit with up to \$1,200,000.00 Reserved for Tenant Improvements.
<i>Sub-Notes</i>	This loan may have multiple sub-notes, including one for the Tenant Improvements. The amount outstanding on the sub-notes cannot exceed the total commitment. Advances for each sub-note go into the respective DDA account for that school or program. Each sub-note is paid from the respective DDA account for that school or program. Each school or program has its own respective restricted account for receipt of ADA based funding (State, Local and Federal) and other revenues.
<i>Purpose</i>	The RLOC provides working capital financing for SIA to facilitate its operations and to allow it to provide support as needed to the SIA

	Schools and the SIA Meal Program for growth, seasonal needs and working capital and for tenant improvements.
<i>Rate</i>	The rate will be Wall Street Journal Prime plus 0.50%; floating. The indicative rate as of the date of this letter would be 9.00% (8.50%+0.50%). Options can be available to fix the rate on the Tenant Improvement Sub-Note once fully advanced.
<i>Repayment</i>	Interest only payable monthly on Revolving Advances. Principal due at maturity. The Tenant Improvement Sub-Note would have up to six months to draw the funds and then would be repaid in equal principle payments plus interest monthly through maturity.
<i>Maturity</i>	One Year with annual renewals for the RLOC, with the Sub Note for Tenant Improvements of up to Three Years.
<i>Loan Fee</i>	Annual loan fee of 0.25% of the loan amount (up to \$7,500 if the full \$3,000,000 is requested, up to \$3,000.00 if only \$1,200,000 is requested). \$500.00 all-inclusive documentation fee.
<i>Closing Costs</i>	Please be aware that these costs are <u>estimates</u> . In addition to the fees disclosed above, Borrowers pay actual costs including but not limited to the following: 1) Outside legal expense, if necessary 2) Cost of periodic Asset audits, if required
<i>Collateral</i>	1 st Position UCC-1 broad form filing on all assets of SIA, except for any filings related to the bond financing, where HB may be in a second position.
<i>Advance</i>	Advances on the RLOC may be made using Borrower's HB online treasury management access in addition to by facsimile, email or telephone. Quarterly, within 30 days of each quarter-end, Borrower to supply an Advance Certification Form to include a certification by Borrower of SIA's current aggregate ADA as of the most recent quarter end, compared to the aggregate ADA for the corresponding quarter end from one year ago, has not declined by more than 10%, along with its Quarterly ADA reporting. Borrower to certify that PTLAM rent has been paid current prior to each loan advance. Advances on the tenant improvements sub-note to be made based on invoices submitted to Bank.
<i>Guarantor(s)</i>	None. Borrower is a 501c3 non-profit corporation with no shareholders.

General Requirements:

1. CPA audited financial statements annually, as soon as available but before the later of (i) December 15th, or (ii) by the following February 15 with evidence of extension by the authorizing authority.
2. Company prepared financial statement on a quarterly basis within 45 days of each quarter end.
3. Advance Certification Form, certifying that SIA's current aggregate ADA as of the most recent quarter end compared to the aggregate ADA for the corresponding quarter end from one year

ago, has complied with the requirement below, along with a copy of its ADA Report for that quarter end, within 30 days of each quarter end.

4. All due diligence being satisfactory to the Bank;
5. Submission of all required documents;
6. Verification of all financial documents;
7. No adverse material changes prior to loan funding;
8. Completion and execution of documentation and UCC filing satisfactory to the Bank;

Key Loan Provisions:

A Loan Agreement will be executed which will include but not be limited to the following key provisions evaluated quarterly on a combined basis for SIA:

- Maintain minimum liquidity level to be determined. Liquidity is defined as cash and cash equivalents plus readily marketable securities.
- A minimum Bank debt to Adjusted EBITDA to be maintained and evaluated quarterly, with adjusted EBITDA measured on a rolling four-quarter basis, of not greater than 4.0:1.0. Adjusted EBITDA is adjusted for rent and bond payments.
- A minimum Debt Service Coverage Ratio (DSCR) of at least 1.00:1.00 for SIA along with a minimum Adjusted DSCR for SIA of at least 1.35:1.0. The Adjusted DSCR will adjust EBITDA and Debt Service for the rent and bond payments. Both ratios to be maintained and evaluated on a rolling four-quarter basis.
- SIA's ADA level to not decline more than 10% from the immediately prior "P2" ADA level certified by the California Department of Education.
- Borrower to certify in its quarterly and annual compliance certificates that it is in compliance with all Bond requirements.
- Borrower to move its primary deposit and treasury management relationship to Bank within 90 days of loan funding.

Other Requirements: To be determined & discussed with Borrower prior to loan documentation.

The Bank's ability to pursue this loan request is further contingent upon the following terms and conditions, to include, but not limited to:

- Final credit approval by Hanmi Bank credit department
- Satisfactory underwriting review conducted by Hanmi Bank upon all required information pursuant to the underwriting guidelines of Hanmi Bank as applied by the Bank in its sole discretion.
- Any and all other items as may be required by Hanmi Bank to satisfactorily complete the Bank's underwriting requirements for the proposed credit accommodation.

The contents of this Letter are confidential and are intended for use exclusively by the parties, their advisors and legal counsel in connection with the proposed Loan and may not be disclosed to any third party by you or your representatives without Bank approval.

Hanmi Bank's willingness to make the Loan is subject to full and complete underwriting, due diligence, documentation, and internal approvals. Neither party hereto shall have any legal or financial obligations to the other with respect to the proposed Loan contemplated herein unless and until all the terms and conditions of the proposed Loan have been negotiated and agreed to by the parties hereto and set forth in a final, binding Loan Agreement which has been properly approved, authorized and executed by the parties, neither party may claim any legal rights against the other by reason of the signing of this Letter, or the taking of any action in reliance thereon.

If you wish Hanmi Bank to proceed and process your request for the credit facility stated herein, please sign below and return the signed copy of this Letter of Interest, along with a check or wire transfer in the amount of **\$3,000.00** as a Letter of Interest fee (the "Letter of Interest Fee") no later than ten days after acceptance of this Letter of Interest. The Letter of Interest Fee shall be credited against the Loan Costs and Fees at funding, if the Loan funds substantially according to the terms of this Letter of Interest. If the Bank agrees to fund the Loan on substantially similar terms to those specified in this Letter of Interest, and the Borrower for any reason does not complete the transaction in the period specified, no portion of the Letter of Interest Fee shall be refunded. If the Bank refuses to fund the Loan for any reason on substantially similar terms to those specified in this Letter of Interest, the Borrower shall be entitled to a refund of all of the Letter of Interest Fee, except such amounts as have been spent for out of pocket expenditures related to the Loan.

We really appreciate the opportunity to continue to earn your business and maintain our mutually beneficial banking relationship with you. We believe this Letter of Interest is reflective of Hanmi Bank's interest to support your business and growth objectives. If you have any questions, please contact me at 949-203-2790.

Sincerely,



Ben Sottile
Senior Vice President & Manager
Specialty Lending Department

ACCEPTED AND AGREED TO THIS _____ DAY _____, 2024

By:

Signature

Name

Title